



एकीकृत जोखिम प्रबंधन प्रभाग

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INTEGRATED RISK MANAGEMENT DIVISION

HEAD OFFICE, PLOT NO. 4, SECTOR 10, DWARKA, NEW DELHI - 110075

TO ALL OFFICES

Date: 26-12-2024

In Supersession of			
IRMD Cir	Date	IRMD Cir	Date
37/2019	31-12-2019	09/2023	03-04-2023
22/2021	06-07-2021	03/2024	31-01-2024
21/2022	07-05-2022	47/2024	04-11-2024
02/2023	07-01-2023	48/2024	17-12-2024

IRMD CIRCULAR No. 50/2024

CONSOLIDATED CIRCULAR: CREDIT RISK RATING – MODELS, APPLICABILITY OF RATING MODELS, AUTHORITY FOR RATING AND APPROVAL OF RATING/VETTING AND OTHER GUIDELINES

1. Reserve Bank of India has laid down guidelines on Risk Management Systems in Banks" for implementation by the banks. In terms of these guidelines, banks should have a comprehensive risk scoring / rating system that serve as a single point indicator of diverse risk factors of a counter party and for taking credit decisions in a consistent manner. The risk rating system should be designed to reveal the overall risk of lending, for setting pricing and non-pricing terms of loans and also to present meaningful information for review and management of loan portfolio.
2. Each separate legal entity to which the bank is exposed must be separately rated irrespective of the nature of the limits and constitution of the borrower.
3. Detailed guidelines in respect of Credit Risk Rating Models, their applicability, authority for approval and other guidelines have been issued vide number of Circulars and manuals issued from time to time.
4. To obviate reference to various circulars & for the purpose of convenience of the users at field level these Circulars are consolidated into a Master Circular consisting of Section A to T covering all Credit Risk Rating Models on PNB-Trac.

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5. The Particulars of subject covered by different sections are as under:

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6. All concerned are advised to ensure meticulous compliance of guidelines contained in this circular.

(Amit Kumar Srivastava)
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Section A: Credit Risk Rating – Models, Applicability of Rating Models, Authority for Rating and Approval of Rating/Vetting and other Guidelines.

1. Introduction

All borrowers having (FB+NFB) limits above Rs.1 Crore are invariably eligible for internal Credit Risk Rating excluding the categories of advances mentioned at **Section M** below.

For this purpose, Bank has developed comprehensive Credit Risk Rating solution named **PNB- TRAC**. Bank has devised and implemented **12 Credit Risk Rating Models** (Six default rating models, two transaction rating models, one Counterparty Rating Model for Banks/ FIs, one dynamic rating model, one NPA marking model and one super scorer model) as detailed below. ***The detailed procedural guidelines in respect of each model has been given in the respective manual and operating instruction for users have been given under Help menu option at the home page of PNB Trac.***

S. No.	Credit Risk Rating Model	Applicability		
		Sector	Aggregate Bank Exposure	Turnover/ Cost of project
1	Large Corporate	Manufacturing/ Service	Above Rs.50 Cr (OR)	Turnover Above Rs.250 Cr
		Trading	Above Rs.100 Cr (OR)	Turnover Above Rs.500 Cr
2	Mid Corporate	Manufacturing / Service	Above Rs.10 Cr upto Rs. 50 Cr (OR)	Turnover Above Rs.50 Cr and upto Rs.250 Cr.
		Trading	Above Rs.10 Cr upto Rs.100 Cr (OR)	Turnover Above Rs.50 Cr upto Rs.500 Cr
3	New Project Rating Model	Manufacturing/ Service	Above Rs.10 Cr (OR)	Cost of Project above Rs.30 Cr
4	Small Loan	Manufacturing/ Service/ Trading	Above Rs.1 Cr upto Rs.10 Cr (AND)	Turnover upto Rs.50 Cr
5	ENBM	Manufacturing/ Service	Borrower setting up new business and requiring finance above Rs.1 Cr upto Rs.10 Cr (AND)	Cost of Project upto Rs.30 Cr
		Trading	All new trading concerns irrespective of bank limits	
		New Non-Banking Financial Companies (NBFCs)/New Micro Finance Institutions (MFIs)		
		New borrower entities, setting up new business requiring only working capital/NFB limits but not involving setting up of any project as such (irrespective of bank exposure)		

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		Projects already completed with own finance, audited results for first year of operations are not yet available and proposal is only for sanction of WC/NFB/TL facilities (irrespective of bank exposure). Existing borrower proposing to avail credit limits above Rs.1.00 Cr. and upto Rs. 10.00 Cr. undertaking a major expansion i.e. value of block assets being added are more than 50% of existing gross block assets value as per the latest audited accounts and value of gross block assets being upto Rs. 30.00 Cr. after expansion.
6	NBFC	All Non-banking Financial Companies (NBFC), Financial Institutions (FIs), State Financial Companies (SFCs), Housing finance Companies (HFCs) and Power Finance Corporations (PFCs) irrespective of the limits or turnover except new NBFC/ and MFIs
7	Counterparty Model	All Banks and Financial Institutions
8.	Facility (Expected Loss) Rating Model	Assigning rating to facility sanctioned to the borrower based on default rating and securities available
9.	Future Lease Rental Model	Advances to property owners against future lease rentals with exposures above Rs.1.00 crore.
10.	Dynamic review of credit risk rating	A. Mandatory Review: i. Borrowers having exposure more than Rs 50.00 crores and all listed borrowers, irrespective of limits, on expiry of 5 months from date of last rating except 1.1. Borrower already rated as PNB-C1/C2/C3. 1.2. All facilities to the borrower entity are guaranteed by Centre/State Govt. ii. Borrowers (eligible to be rated in PNB Trac) that are being reviewed/renewed based on provisional financials of last FY and IRR in regular rating model based on ABS of preceding to last FY is overdue. B. Optional Review: For other borrowers, as and when branch feels that rating needs to be reviewed, keeping in view of any recent adverse developments. C. However, on expiry of 13 months from the month of confirmation of rating or 19 months from the date of balance sheet, on which last rating was carried out, whichever is earlier, rating of all borrowers shall mandatorily be reviewed in Dynamic Review Rating Model.

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11.	NPA Model	For marking NPA accounts in PNB-Trac.
12.	PNB Super Scorer	For Capturing changes in risk dynamics post regular rating more than 3 months old while considering all fresh/enhancement/additional limit proposals. For accounts falling within vested power of ZOCAC and above (i.e., Rs.30 crore and above).

For adequate mitigation of risk, it is essential to carry out rating in applicable rating model, as applicability clauses are defined keeping in view type of borrower, level of expansion etc. Accordingly separate sets of parameters are available in the rating model to evaluate the risk associated with the borrower. To facilitate it, model selection has been automated in the system and a suggested model is prompted on common detail page based on applicability clauses of rating models.

If user feels that the model indicated in “**Suggested model field**” is not correct, user is allowed to select and conduct rating in a different rating model. However, system prompts user to mention the reasons of such deviation. The reason mentioned by users shall be analyzed and clarification may be sought from the concerned office, if required.

2. Credit Risk Rating Grades

The credit risk rating model provides for evaluating the borrower on a 10 point scale from ‘**PNB- A1**’ to ‘**PNB-C3**’, with **PNB-A1** indicating “**Minimum Risk**” and **PNB-C3** indicating “**Exceptionally High Risk**”.

Default rating grades along with their risk significance, risk description, risk profile and Investment grades have been detailed below:

S. N.	Score Band	Rating Grades	Risk Significance	Risk Description	Risk Profile
1	Above 80	PNB-A1	Minimum Risk	Excellent business credit, asset quality and excellent track record of debt repayment capacity and coverage.	Low Risk
2	Above 70.00 up to 80.00	PNB-A2	Marginal Risk	Very good business credit, asset quality and liquidity, debt repayment capacity and coverage.	
3	Above 64.00 up to 70.00	PNB-A3	Modest Risk	Good business credit, asset quality, debt paying capacity and coverage.	
4	Above 58.00 up to 64.00	PNB-A4	Lower Risk	Satisfactory business credit, asset quality, liquidity, good debt repayment capacity and coverage.	

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S. N.	Score Band	Rating Grades	Risk Significance	Risk Description	Risk Profile
5	Above 52.00 up to 58.00	PNB-B1	Average Risk	Acceptable business credit with average risk, acceptable asset quality, modest debt capacity. However, adverse economic conditions or changing circumstances are more likely to lead to a weakened capacity of the obligor to meet its financial commitments.	Average Risk
6	Above 46.00 up to 52.00	PNB-B2	Marginally Acceptable Risk	An obligor is less vulnerable in the near term. However, it faces major ongoing uncertainties and exposure to adverse business, financial, or economic conditions which could lead to the obligor's inadequate capacity to meet its financial commitments.	
7	Above 40.00 up to 46.00	PNB-B3	Cautiously Acceptable Risk	An obligor is more vulnerable than the obligors rated 'B2', and currently the obligor has the capacity to meet its financial commitments. Adverse business, financial, or economic conditions will likely impair the obligor's capacity or willingness to meet its financial commitments.	Borderline Risk
8	Above 35.00 up to 40.00	PNB-C1	High Risk	Not creditworthy, generally acceptable on case to case basis, currently vulnerable and dependent on favorable business, financial and economic conditions to meet financial commitments.	High Risk
9	Above 25.00 up to 35.00	PNB-C2	Very High Risk	Not creditworthy. An obligor has minimal margin of principal and interest payment protections, currently highly vulnerable, and is totally dependent upon favorable business,	

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S. N.	Score Band	Rating Grades	Risk Significance	Risk Description	Risk Profile
				financial and economic conditions to meet its financial commitments.	
10	25.00 and below	PNB-C3	Exceptionally High Risk	Unacceptable business credit, currently highly vulnerable obligations, normal repayment in jeopardy, inadequate projected net worth and paying capacity. Default of some kind appears imminent.	

3. Credit Risk Rating- Initiating, Vetting and Approving Authority

The Initiating, Vetting and Approving Authority of Credit Risk Rating in respect of loan amount will be as under:

Loan Amount	Initiating Authority of Credit Risk Rating	Vetting Authority of Credit Risk Rating ¹	Approving Authority of Credit Risk Rating
Above Rs.1 Cr upto Rs 10 Crore ²	Officials assigned the work of rating in PLP/ MCC ³	Scale IV and above at ZRMC. Credit rating of exposure up to Rs. 5 cr can also be vetted by Scale III at ZRMC.	ZRMC Head(not below the level of AGM ⁴)
Above Rs 10 crore upto Rs 30 Crore	Rater at ZRMC	Scale IV and above at ZRMC	ZRMC Head (not below the level of AGM ⁵)
Above Rs 30 crore and upto Rs 50 crore	Corresponding ZRMC	Scale IV and above at ZRMC (For Renewal proposal except in case of upgradation of rating)	ZRMC Head (not below the level of AGM ⁵)
		Scale IV at HO (For Renewal proposal in case of upgradation of rating and for Fresh & Enhancement proposals)	GM IRMD-HO/ AGM IRMD-HO in absence of DGM
Above Rs 50 crore	Corresponding ZRMC	Scale IV at HO IRMD	GM, Industry Desk/ Credit Risk/ IRMD, HO through DGM/ AGM at HO IRMD.

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Loan Amount	Initiating Authority of Credit Risk Rating	Vetting Authority of Credit Risk Rating ¹	Approving Authority of Credit Risk Rating
Irrespective of Loan amount	Overseas branches	Scale IV at HO IRMD	GM, Industry Desk/Credit Risk/IRMD, HO

¹ Vetting authority and Approving authority shall not be the same.

² Credit Risk Ratings of exposure above ₹1 Crore and up to ₹10 Crore can also be both initiated and vetted by ZRMCs, in case of need, subject to availability of audited/certified documents (required for conducting CRR) in public domain and/or Bank domain

³ Internal Credit Risk Ratings (Exposure above ₹1 crore and up to ₹10 crore) where MCC does not exist, the same shall be initiated by concerned PLP and will be submitted to ZRMC for vetting.

⁴ In the absence of ZRMC Head, the rating shall be approved by Scale-IV & above at ZRMC (as delegated by way of office order), however it shall be ensured that vetting and approving authority shall not be the same. Such ratings, as approved in the absence of ZRMC Head, shall be placed for sighting before ZRMC Head once he/she resumes duties.

⁵ In the absence of AGM/DGM ZRMC, the approving authority shall be DGM IRMD-HO or AGM IRMD-HO (as delegated by way of office order issued by GCRO)

⁶ As delegated by way of office order issued by GCRO

All ratings submitted to HO: IRMD shall be accompanied by mandatorily signed industry desk report (IDR)

The authority responsible for approving of rating must ensure that all eligible standard accounts of his office have been rated and approved on the basis of latest audited results.

4. Vetting Authority in case of variance in Internal and External Rating:

In cases where internal ratings are having variance of more than one notch with the ratings assigned by approved external rating agency, the vetting authority shall be one step higher than the extant vetting/confirming authority. In case external rating is assigned after the approval of internal rating then the rating shall be reviewed and vetted on the basis of variation in the rating as defined above by the respective vetting/confirming authority. HO Power accounts shall continue to be vetted at IRMD, HO

- i. **“Vetting Authority”** Field is available on common details page as per screenshot appended below to streamline the process of selection of vetting authority in case the external rating is more than one notch higher/lower than internal risk rating.

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Constitution	Public Ltd Company
Sector	Manufacturing
Industry	Leather
Activity	other nbfc
Date of Last Sanction, if applicable	01-01-2014 Month May Day 1 Year 2017
Sanctioning authority of proposed limits	Head Office
Vetting Authority	Head Office

DETAILS OF BORROWER

- ii. In case, level of “**Vetting Authority**” is to be changed in terms of guidelines, users need to change the same in the field at common detail page, before proceeding further, as shown in screenshot above.
- iii. When user clicks on “View Rating Report” button to view the rating report of the borrower then System will pop up the following message:
“While viewing the report, please ensure that variation between Internal Rating and External Rating of the borrower is of only up to one notch. In case variation is of more than one notch, please modify the “Vetting Authority” on common detail page”. In case, level of “Vetting Authority” is to be changed in terms of guidelines, users need to change the same in new field created at common detail page, before proceeding further

5. Portfolio Analysis of rated accounts

For the purpose of analysis of the rated portfolio, the Large Corporate, Mid Corporate and Small Loans, are defined as under:

Category	Exposure Ceiling
Large corporate	Aggregate exposure above Rs. 50 crore
Mid Corporate	Aggregate exposure above Rs. 10 crore and up to Rs. 50 crore
Small loans	Aggregate exposure above Rs. 1 crore and up to Rs.10 crore

Note : *It should be ensured that rated accounts for portfolio analysis or for any other analysis are reported under large corporate, mid corporate, small loan categories etc. in accordance to total sanctioned limits and not in accordance to risk rating models applied for rating.*

It is desired that before proceeding to rating, user to go through the individual rating model manual thoroughly.

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Section B: Large Corporate Rating Model

1. Applicability:

The Large Corporate Rating model is applicable to all the borrowal accounts having completed two full years of operations and which are:

- i). Engaged in Manufacturing or Service activities and availing total limits (fund based and non-fund based) of more than Rs.50 crore **OR** having total sales/ income of more than Rs.250 crore.
- ii). Engaged in Trading activities and availing aggregate limits from our bank above Rs.100 crore **OR** having total sales/ income above Rs.500 crore.

2. Credit Rating Evaluation Process

The credit risk-rating model considers the following broad areas in evaluating the default risk of a borrower:

S.No.	Areas	Weight in Total Score
A	Financial Evaluation	40%
B	Business Evaluation	25%
C	Management Evaluation	25%
D	Conduct Evaluation	10%

The rating model is focused on the above-mentioned areas for assessing the credit risk rating of a company. The areas are bifurcated into sub-areas and each sub-area is further split into a number of parameters. The sub-areas as well as parameters used in the different sections have been explained in detail in a separate Manual for Large Corporate Rating model.

All financial figures in the Large Corporate Rating Model should be entered in Rs. crore only.

3. Peer Comparison

Peer comparison is a unique feature in Large Corporate Rating Model for financial evaluation and business evaluation. For industry comparison, proper selection of peer companies is of utmost importance as the benchmarks are decided on the basis of ratios of peer companies and our borrower's performance is evaluated against these. While evaluating a company against the industry the following points should be kept in mind by the rater/vetter.

- 3.1** The data used to rate companies should be annualized and it should be comparable before it is used for rating purpose.

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- 3.2** The company's value should be compared only with peers.
- 3.3** Size / capacity / volume are indicative factors in selecting peers in terms of sales.
- 3.4** The sample of companies chosen for the industry comparison should be identical as far as possible for rating all companies under one particular industry having similar size / capacity / nature of activity.
- 3.5** The number of companies in sample should be reasonable i.e. neither too low nor too high.
- 3.6** The sample size should be of at least 5 entities. The number of entities in sample should be reasonable (12 to 18) i.e. neither too low nor too high so that the impact of one or two peer companies shall not have much effect on the score of the company and the impact of the industry as a whole should be factored in peer group comparison by considering 12-18 companies.
- 3.7** The sample should be first selected from the activities in which company is operating. If adequate sample is not available from the same segment of the industry, then other companies operating in other segments but within the same industry should be selected.
- 3.8** There may be cases when equitable peers may not be available as certain companies are unique. In such cases, a common factor, say intensiveness of the technology etc. may be determined to select its peers. Peer comparison being a very important facet in segregating good, bad, not so good companies, utmost endeavor should be made in selecting the peers and justification for selecting peers in such one off situation must be provided in the rating format.
- 3.9** For companies where industry data is not available, data for other 'comparable' industries can be used. For example, blade manufacturing companies can be compared with combined sample of companies manufacturing blade and other shaving products etc. Similarly, Hindustan Aeronautics Ltd. may be compared with other heavy engineering companies, which also uses intensive technologies and have a similar size, say in terms of sales turnover.
- 3.10** In case latest data of peers is not available for industry comparison, then last available data, not more than one year old, may be considered.
- 3.11** It should be ensured that staff responsible for assigning the credit risk rating of large corporate accounts is well equipped and properly trained in peer selection.

Capitaline Database for Credit Risk Rating:

Bank has tied up with M/s Capital Market Publishers India Pvt Ltd for installation of centralized database solution containing financial and non-financial data of companies to facilitate the feeding of financial data in standardized form and to capture financials for peer comparison in the Large Corporate Rating Model in PNB Trac.

- i) The database is accessible to all branches at CBS platform. A link at Finacle Home page has been provided to access the Capitaline database. The database can be used to generate the financial statement (Balance sheet, Profit & Loss) and peer

file of the company to upload in PNB-Trac. The path of the link is as follows:
“Finacle Home Page > Non CBS Applications > IRMD > Capitaline Neo”.

- ii) Branches can generate the BSM.txt/BSS.txt (Balance sheet) file and Main.txt (peer file) in the above database under tab “Customized screens” to upload the same in PNB-Trac.
- iii) Branches can also use the database for other information like financial reports, Management details, Auditors detail, Bankers, Credit ratings, quarterly/half yearly results, Industry, Share prices, Disclosures etc. under tab “Capitaline Neo” on the home page.
- iv) All the concerned offices can login the database with allotted user id and password. User id and password both will be six digits Sol id of the respective office.

*****Detailed operational guidelines (User manual for Capitaline Neo) is given in the IRMD circular no. 17/2021 dated 04/06/2021.***

Feeding sheet format of Large Corporate rating model as per Schedule III of Companies Act 2013

The Companies Act 2013 came into force w.e.f. 12th Sept. 2013, replacing the Companies Act 1956. As per the Companies Act, 2013, every company registered under the Act shall prepare its Balance Sheet, statement of Profit and Loss and notes thereto in accordance with the manner prescribed in Schedule III of the Act. In line, the feeding sheet of the Large Corporate Rating Model is designed as per the Companies Act 2013.

4. Hurdle Points –Downgrading of Ratings- Large Corporate Rating Model

It has been observed that the high risk in certain critical parameters, which may substantially affect the ability or willingness of the borrower to repay its dues as per terms of agreement, is not fully captured due to the limitations of the model. As such, borrower may get a better rating due to these limitations.

In order to address these limitations, it has been decided to introduce the following hurdle points:

- 4.1 Financial Evaluation:** The various parameters are evaluated to assess the ability of a borrower to meet its commitments on due dates.

Insufficient future cash flows of a borrower to meet its commitments coupled with high TOL/TNW ratio may be very risky and increase the Probability of Default (PD). Hence it has been decided that if: -

- a. The total financial score (after subjective assessment and trend adjustment) is equal to or less than 40%

AND

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b. Score under the parameter “Future cash flow adequacy” is ‘0’ (i.e. future cash flow adequacy-company is likely to default)

AND

c. Score under the parameter “TOL/TNW” is ‘0’ (i.e. the ratio of TOL/TNW is >5)

The Rating of the borrowal may be downgraded to ‘PNB-B3. If the borrower’s rating is already ‘PNB-B3’ or below then it will be downgraded by one notch.

4.2 Management Evaluation: The various parameters are evaluated to assess the management’s competency and their willingness to pay its dues as per terms of agreement. If commitment & sincerity of the management is doubtful and the accounts of the company/group companies are irregular with Banks/FIs/other institution or statutory liability is overdue or the payments are delayed, the probability of default increases substantially. As such

- If score under the parameter “Commitment and Sincerity” OR “Track Record in Debt Repayment” is ‘0’

The Rating of the borrowal may be downgraded to ‘PNB-B3’. If the borrower’s rating is already ‘PNB-B3’ or below then it will be downgraded by one notch.

- If the aggregate score under the parameters “Commitment & Sincerity” and “Track Record in Debt Repayment” upto ‘1’;

The Rating may be downgraded by one notch

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Section C: Mid Corporate Rating Model

1. Applicability:

The Mid Corporate Rating model is applicable to all the borrowal accounts having completed two full years of operations and which are:

i). Engaged in Manufacturing or Service activities and availing total limits (fund based and non-fund based) of more than Rs. 10 crore and upto Rs. 50 crore **OR** having total sales/ income of more than Rs. 50 crore and upto Rs. 250 crore.

ii). Engaged in Trading and availing aggregate limits from our bank above Rs.10 crore and up to Rs. 100 crore **OR** having total sales/ income above Rs.50 crore and up to Rs. 500 crore.

All financial figures in the Mid Corporate Rating Model should be entered Rs. in Lacs only

2. Credit Rating Evaluation Process

The credit risk-rating model considers the following broad areas in evaluating the default risk of a borrower:

S. No.	Areas	Weight in Total
A	Financial Evaluation	42%
B	Business Evaluation	20%
C	Management Evaluation	25%
D	Conduct Evaluation	13%

The rating model is focused on the above-mentioned areas for assessing the credit risk rating of a company. The areas are bifurcated into sub-areas and each sub-area is further split into a number of parameters. The sub-areas as well as parameters used in the different sections have been explained in detail in a separate manual for Mid Corporate Rating model.

3. Hurdle Points –Downgrading of Ratings-Mid Corporate Rating Model

It has been observed that the high risk in certain critical parameters, which may substantially affect the ability or willingness of the borrower to repay its dues as per terms of agreement, is not fully captured due to the limitations of the model. As such, borrower may get a better rating due to these limitations.

In order to address these limitations, it has been decided to introduce the following hurdle points:

3.1. Financial Evaluation: The various parameters are evaluated to assess the ability of a borrower to meet its commitments on due dates.

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Insufficient future cash flows of a borrower to meet its commitments coupled with high TOL/TNW ratio may be very risky and increase the Probability of Default (PD). Hence it has been decided that if: -

- a. The total financial score (after subjective assessment and trend adjustment) is equal to or less than 40%

AND

- b. Score under the parameter "Future cash flow adequacy" is '0' (i.e. future cash flow adequacy company is likely to default)

AND

- c. Score under the parameter "TOL/TNW" is '0' (i.e. the ratio of TOL/TNW is >5)

The Rating of the borrowal may be downgraded to 'PNB-B3. If the borrower's rating is already 'PNB-B3' or below then it will be downgraded by one notch.

3.2. Management Evaluation: The various parameters are evaluated to assess the management's competency and their willingness to pay its dues as per terms of agreement. If commitment & sincerity of the management is doubtful and the accounts of the company/group companies are irregular with Banks/FIs/other institution or statutory liability is overdue or the payments are delayed, the probability of default increases substantially. As such

- If score under the parameter "Commitment and Sincerity" OR "Track Record in Debt Repayment" is '0'

The Rating of the borrowal may be downgraded to 'PNB-B3'. If the borrower's rating is already 'PNB-B3' or below then it will be downgraded by one notch.

- If the aggregate score under the parameters "Commitment & Sincerity" and "Track Record in Debt Repayment" upto '1',

The Rating may be downgraded by one notch

Section D: New Project Rating Model

1 Applicability:

The model is applicable to all borrowers under Manufacturing/ Service sector setting up New Projects with total project cost of above Rs. 30 crore **OR** approaching our bank for aggregate credit limits (fund based and non-fund based) of above Rs. 10 crore. Rating under new project is done in two stages, first, under implementation when the project is under progress and second, after implementation i.e, after the achievement of commercial date of operation (COD)/ commencement of production. The model is applicable upto 2 years of operations (after commencement of production). After two years of operations, the accounts will be rated on the respective applicable models.

In view of the peculiar nature of Road projects in terms of implementation period, repayment period & annuity-based cash flows, Bank has introduced a new variant in NPRM- Upto and After Implementation in PNB Trac for IRR of Road-BOT and Road-HAM projects. The system automatically asks for the required parameters & sub-parameters as and when the users select the industry as Roads on Common details page in PNB-Trac.

Single Point Score

New Project Rating Model is also applicable for existing borrowers undertaking substantial investments in diversified activities/major expansion. The substantial investment is defined as investments (in value) exceeding 50% of gross value of block assets at the end of last financial year. In such cases, credit risk rating will be undertaken both for a) existing operations on the applicable model and b) for the proposed activities on the new projects model. Since single point score captures composite risk with the implementation of project, the commensurate turnover are therefore factored in to arrive at a single point score.

Considering that while lending under PNB Corporate Residential Accommodation, underlying asset does not contribute to the revenue generation and lacks business synergy, coupled with the fact that no future/ projected income shall be considered for loan assessment under the scheme, CRMC, vide its 6th meeting for FY 2024-25 dated 09.07.2024, has exempted single-point rating for the applicants under the purview of PNB Corporate Residential Accommodation Finance Scheme i.e., credit risk rating shall be undertaken for existing operations on the applicable model only.

2 Credit Rating Evaluation Process

The credit risk-rating model considers the following broad areas in evaluating the default risk of a borrower.

1. Quality of Management
2. Business Performance
3. Financial Projections
4. Industry Outlook

The credit Risk-Rating Model incorporates and includes above possible factors of risk for determining the credit rating of the borrower. These risks could be internal and specific to the project/ company, the industry in which the project is set up/company is operating or the entire economy and can influence the repayment capacity and / or willingness of the company. For after implementation projects, model also assess the conduct of accounts of borrowers.

The tool evaluates the credit risk rating of a borrower on a scale of PNB-A3 to PNB-C3 with PNB-A3 indicating Modest Risk and PNB-C3 indicating Maximum Risk. However, no borrower will get final score of more than 61 (Rating Grade PNB-A4) except rating carried out under single point, NPRM-HAM and renewal wherein borrower may be assigned rating grade upto PNB-A3.

3 Feeding sheet for Financial Evaluation in New Project- (After implementation) module

- 3.1** The model is applicable for up to two years of operations (after start of production) and from the third year onwards the Company / Project is rated on applicable Model, as the case may be since, by then three years of fully audited financial figures are available.
- 3.2** The credit risk rating of the borrower under this model is conducted on two different modules. In the first module i.e. New Project- Upto implementation, the rating is conducted up to Date of Commercial Production on the basis of financial projections given by the Company & stage of Implementation of Project. In the second module, New project – After implementation, the rating is conducted up to two years from the Date of Commercial Production and is based on achievement of projected financials besides Business and Management Evaluation.
- 3.3** To ensure consistency and standardization, the ratios are calculated automatically in the new project rating model (after implementation) which facilitates the rating process and early disposal of ratings. The checks and balances are inbuilt in the model.
- 3.4** Conditions required for using the feeding sheet:
 - (i)** The project has been completed and commercial operation started.
 - (ii)** The financial statements used for comparison with projections must be audited.
 - (iii)** Audited financial statement must be for a period of six months or more

Further, the user is required to feed the period of both projected and audited profit and loss accounts in number of months. If the periods fed by user are same then the figures are used directly for comparison otherwise the figures of profit and loss accounts will be annualized and then compared by the system itself.

4 Feeding sheet for Financial Evaluation in New Project- (Upto implementation) module

Feeding sheet comprises of complete figures of balance sheet and Profit & loss to facilitate comparability of projected financials and synchronize with the data feeding sheet of New Project (After Implementation).

5 General Guidelines:

- 5.1 All ratings under the New Projects Rating Model also have to be updated once a year as in respect of other models.
- 5.2 Further, at the time of updation of ratings, the raters may observe some changes in the project economics that may have taken place during the period before implementation of a project. In this regard, it may be observed that, our rating model already provides for such changes through the computation of Sensitivity Analysis based on 5% decline in revenue and in price of critical inputs.
- 5.3 The assessment of the standing/reputation of the appraiser as well as the risk on account of longevity of the project implementation also covers this risk.
- 5.4 In the case of long-term projects, some impact of the anticipated change in the economics is also drawn in the original project itself. As such, there may not be any necessity to obtain fresh project report for every updation of the rating. However, the borrower would be required to submit a progress/status report giving the details of major changes, if any, in the project economics viz. Costs, rates, over-runs, etc. Vis-à-vis the earlier project report. In case of any major change(s) in the project economics, the rater can reflect them while undertaking subjective evaluation of the Business. However, in the case of up gradation of risk rating during the project implementation period, i.e. upto implementation”, the upgradation is to be restricted only upto one notch with the maximum ceiling of PNB-A3 rating as specified in our model.

Section E: Small Loans Rating Model

1. Applicability:

The credit risk rating model is applicable to all small borrowal accounts under **STANDARD** category availing aggregate limits (Fund Based, TL and Non-Fund Based) above Rs.1 crore and upto Rs.10.00 crores **AND** having turnover upto Rs.50 crores per annum.

All borrowers under small loans category i.e. manufacturing concerns, Traders, Contractors, Service Sector etc. including borrowers who are already in operation except NBFCs, Banks and Financial Institutions for which separate rating models are in place irrespective of limit.

The rating should be done on the basis of latest Audited Financial Statements (not more than 1 year old) only and should be for a complete year of operations.

2. Credit Rating Evaluation Process:

The credit risk-rating model considers the following broad areas in evaluating the default risk of a borrower

1. Financials
2. Business Performance
3. Quality of Management
4. Conduct of account

The Credit Risk Rating shall be assigned to the party on the basis of the score obtained out of the maximum score of 100 on 10 scales from PNB-A1 to PNB-C3 as applicable to all other models. The parameters used in the different sections, their meaning, relevance and methodology of computation of scores for each of the parameter and the underlying factors are discussed in detail in the manual for Small Loan Rating Model.

3. General Guidelines:

- 3.1.** It is to be ensured that each parameter of the Credit Risk Rating format is evaluated and no parameter should be left un-assessed. However, in case of existing borrowers coming to our fold for the first time, the conduct of account and Achievement of Sales vis-à-vis Estimates and Achievement of Profits vis-à-vis Estimates may not be available. Every effort should be made to obtain these information. If the information is not available, these parameters should be made not applicable and the score obtained shall be converted to score out of 100.
- 3.2.** The rater should have knowledge about the business/industry, management and conduct of account of the borrower.
- 3.3.** The score to each parameter should be done after careful analysis and evaluation of each parameter and on the basis of guidelines given in the manual so that the rating should truly reflect the credit risk in the account.
- 3.4.** Since the pricing is to be linked to credit risk rating, utmost care should be taken to ensure that the rating has been done objectively and accurately as per guidelines given in the manual.

4. Hurdle Points –Downgrading of Ratings-Small Loan Rating Model

It has been observed that the high risk in certain critical parameters, which may substantially affect the ability or willingness of the borrower to repay its dues as per terms of agreement, is not fully captured due to the limitations of the model. As such, borrower may get a better rating due to these limitations.

In order to address these limitations, it has been decided to introduce the following hurdle points:

5.1. Financial Evaluation: The various parameters are evaluated to assess the ability of a borrower to meet its commitments on due dates.

Insufficient future cash flows of a borrower to meet its commitments coupled with high TOL/TNW ratio may be very risky and increase the Probability of Default (PD). Hence it has been decided that if: -

- a. The Net Score of financials is equal to or less than 40%
AND
- b. The score under the 'Estimated cash profit of current year to Net Repayment Obligations of current year' is '0' (i.e. the ratio is less than 100%)
AND
- c. Score under the parameter "TOL/TNW" is '0' (i.e. the ratio of TOL/TNW is >5)

The Rating of the borrowal may be downgraded to 'PNB-B3. If the borrower's rating is already 'PNB-B3' or below then it will be downgraded by one notch.

5.2. Management Evaluation:

- If score under the parameter "Commitment and Sincerity" And "Track Record in Debt Repayment" is '0'

The Rating of the borrowal may be downgraded to 'PNB-C1'. If the borrower's rating is already 'PNB-C1' or below then it will be downgraded by one notch.

- If the aggregate score under the parameters "Commitment & Sincerity" and "Track Record in Debt Repayment" upto '1',

The Rating may be downgraded by one notch

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Section F: NBFC Rating Model

1. Applicability:

The model is applicable to all Non-banking Financial Companies, Financial Institutions, State Financial Companies, Housing Finance Companies, and Power Finance Corporations irrespective of the limits or turnover. The credit risk rating Model has been developed with a view to provide a standard system for assigning a credit risk rating category to the Finance Companies dealing with the bank herein after referred as, NBFC borrowers, according to their risk profile.

NBFC Model is also being used for rating all different types of NBFCs such as:

- a) **Housing Finance**
- b) **Primary Dealer (PD)**
- c) **Construction Equipment Finance**
- d) **Consumer Durable Finance**
- e) **Gold Loan**
- f) **Infrastructure Finance**
- g) **Micro-Finance Institution**
- h) **Retail Finance-Auto**
- i) **Other NBFCs**

The rater has to select the applicable category from the drop down list of industry, available on the common details page.

Inputs to the model are the financial data of the borrower, industry/business information and the evaluation of the borrower on various other parameters.

Output of the model is a determined credit rating category for the borrower on a scale of **PNB-A1** to **PNB-C3** with **PNB-A1** indicating minimum risk and **PNB-C3** indicating maximum risk.

The credit risk-rating model for the finance companies includes possible factors of risk for determining the credit rating of the borrower under this segment. These risk factors could be internal/ external and could be specific to the company, the business segment or the geography in which the company is operating or it could be relevant with the entire economy and all these factors could influence the repayment capacity of the company

2. Sources of risk factors

The credit risk rating tool considers the following broad areas in evaluating the default risk of a borrower.

- a) **Financial Evaluation**
- b) **Business Evaluation**
- c) **Management Evaluation**
- d) **Conduct Evaluation**

The rating tool is focused on the above-mentioned areas for assessing the credit risk rating of a company. The areas are bifurcated into sub-areas and each sub-area is further split into a number of parameters.

The sub-areas as well as parameters used in the different sections have been explained in detail in the Manual for NBFC Rating.

The number of industries in industry outlook (circulated via L&A industry rating circulars) are changed from time to time and presently industry scenario of 7 NBFCs are available namely, "Construction Equipment Finance", "Consumer Durable Finance", "Gold Loan", "Housing Finance", "Infrastructure Finance", "Microfinance Institution" & "Retail Finance-Auto". While doing rating, industry outlook for Primary dealers and Other NBFCs is considered as "Neutral". However, in case of Housing Finance Companies, Industry outlook is taken from Industry Outlook circulars being updated time to time by ClaSD at IRMD-HO.

3. Important factors to be considered in the rating process:

- 3.1** The rating tool contains several qualitative parameters that are to be evaluated subjectively. It is, therefore, necessary to be familiar with the company and the segment of financing activities, analyzing the financial data of the company and visiting the company and interacting with its management. Adequate information relevant for rating should be collected about the company from all possible sources to conduct this exercise accurately in an authentic and objective manner.
- 3.2** The data used to rate companies should be normalized and annualized before it is used for rating purposes. Normalization should be done in case there has been any change in accounting policies, merger, acquisition, sell-off etc. In the period, which is being considered for rating. Sometimes the process is called "Cleaning the data" before use so that every company is rated on the basis of data of similar cleanliness, otherwise the rating cannot be considered unpolluted.
- 3.3** Wherever a particular parameter is not applicable, no score will be given. Instead, the weight-age assigned to that parameter will be distributed among the other parameters in that section.
- 3.4** For companies, which have not been banking with PNB earlier, the PNB Sajag 2.0 score will not be available. For such companies, the score obtained excluding under conduct of account will be scaled up to 100 and the rating assigned accordingly.

4. Hurdle Points –Downgrading of Ratings- NBFC

It has been observed that the high risk in certain critical parameters, which may substantially affect the ability or willingness of the borrower to repay its dues as per terms of agreement, is not fully captured due to the limitations of the models. As such, borrower may get a better rating due to these limitations.

In order to address these limitations, it has been decided to introduce the following hurdle points:

4.1 Management Evaluation:

Under this various parameters are evaluated to assess the management's competency and their willingness to pay its dues as per terms of agreement. As such:

- a. If score under the parameter 'Commitment and Sincerity' OR 'Track Record in Debt Repayment' is '0',

Rating of the borrowal may be downgraded 'PNB-B3'. If in such case, the rating is 'PNB-B3' or below, the rating will be downgraded by one notch.

- b. If the score under the parameters "Commitment & Sincerity" and "Track Record in Debt Repayment" is greater than '0', and upto '1',

The rating may be downgraded by one notch.

4.2 Business Evaluation:

Various parameters are evaluated to assess NBFCs ability to sustain its business based on its operating efficiency which may also affect its repaying capacity. As such:

If Average Cost of Funds > Average return on advances by 5% and Overdue% is above 15%.

The rating may be downgraded by one notch.

Section G: Entrepreneur-New Business Model

1. Applicability:

This credit risk-rating model shall be applicable to:

- 1.1.** Entrepreneur setting up new business with total project cost up to **Rs.30 crore** and approaching our bank for aggregate credit limits above **Rs.1 crore** and up to **Rs.10 crore** in manufacturing and service sector. However, all new trading business irrespective of limits shall be rated under this model.
- 1.2.** Existing borrowers proposing to avail credit limits above Rs.1 crore and up to Rs.10 crore undertaking a major expansion i.e. value of block assets being added are more than 50% of existing gross block assets value as per the latest audited accounts and value of gross block assets being up to Rs.30 crore after expansion.
- 1.3.** New Non- Banking Financial Companies (NBFCs) / New Micro Finance Institutions (MFIs).
- 1.4.** New borrower entities, setting up new business requiring only working capital / NFB limits but not involving setting up of any project as such (irrespective of bank exposure).
- 1.5.** Projects already completed with own finance, audited results for first year of operations are not yet available and proposal is only for sanction of WC/NFB/TL facilities (irrespective of bank exposure).
- 1.6.** The above rating model can also be used for arriving at single point score in combination of corresponding turnovers

2. Salient Features of the model:

This credit risk rating model is broadly based on the structure of the rating models for 'small loan borrowal accounts' and 'new project' with additional features to take care of factors, which reflect the credit risk in smaller size new businesses.

Specific features of the model are as under:

- 2.1.** The model will take care of the proposals received for consideration of credit facilities to an entrepreneur setting up a new business at different stages such as:
 - 2.1.1. For Term loan/W.C. limits:** Before implementation/ expansion of project or during implementation period.
 - 2.1.2. For Working capital limits:** During the implementation period or after implementation of the project/ setting up of business.

In both the above situations, the entrepreneur shall be evaluated under this model. However, in case of receipt of proposal for working capital after implementation of the

project/setting up of business, the credit risk rating under this model shall be evaluated up to the receipt of first audited balance sheet covering upto nine months of operations (in case of seasonal industries, the operations should cover up to one season) of the borrower and thereafter credit risk rating of borrower would be done under the existing small loan borrowal account credit risk rating model.

2.2. Separate set of parameters have been identified for evaluation of 'Business' of Manufacturing, Services and Trading sector.

2.3. The score arrived as above on a scale of 0 to 100 is then translated into a rating category for each company on a scale from PNB-A4 to PNB-C3 according to a pre-defined range as given in Section A. Hence, no borrower will get final score of more than 61.

3. Most Crucial Factor

3.1 The concept of Single most crucial risk factor, if any, which may substantially affect the implementation, stabilization, and operational efficiency/viability of the project has been incorporated in the model. The Credit Risk Rating is determined based on evaluation of normal risk factors under management, business and financials. To take care of any major credit risk perceived under management, business and financials, it is proposed that the key risk factor such as non-obtaining of major Govt. clearances and un-tied gap in the means of finance of the proposed cost etc. be identified and considered as most crucial factors at the time of rating.

3.2 Further implementation risk is generally very high in New Projects and is captured separately in our Credit Rating Model applicable to New Projects (Mid & Large). But as most of the accounts within the purview of this model shall have specific asset financing instead of project financing, the implementation risk is not captured separately. Hence, the projects where implementation risk may arise, the rater shall evaluate the impact of implementation risk under most crucial factor. Some of the cases where the implementation risk may arise are plant and machinery being installed is very technical/complex and has not been tested earlier, funds for the project may not been tied up, etc.

In such cases, the rating may be downgraded by "one notch".

Section H: Facility Rating Model

1. Background:

Facility Rating is applicable to all accounts where borrower (default) rating is conducted. The model rates all Credit facilities i.e. Fund Based, Non Fund Based & Term Loan. Facility rating should be conducted afresh whenever there is a change in the default rating / facilities / securities etc.

The Basel Accord prescribed by RBI attempts to apply efficient financial methodologies/ techniques for prescription of Capital Adequacy. The committee has proposed two approaches, viz., Standardized Approach and Internal Rating Based (IRB) Approach for estimating regulatory Capital for credit risk. Within IRB approach the committee has proposed IRB Foundation Approach and IRB Advanced Approach. Banks adopting IRB approach may be benefited, as capital requirement for credit risk will depend on the asset quality.

Under the IRB Approach, Bank shall measure credit risk based on assessments of the risk characteristics of both the borrower and the specific type of transaction (Facility offered such as CC, Term Loan etc and the extent & the type of securities). The probability of default (PD) of a borrower is the basic concept on which the IRB approach is built. The probability of default shall be determined for various rating categories. However, PD alone may not be sufficient for determining the potential credit loss in a borrowal account. The Banks will also have to measure how much they will lose if the borrower defaults on an obligation i.e. Loss Given Default (LGD). Besides, PD, potential loss is contingent upon two more factors viz., %age of likely loss on the exposure i.e. Loss Given Default (LGD) and Exposure at Default (EAD) which is the amount to which the Bank shall be exposed to the borrower at the time of default. These three risk components (PD, LGD and EAD) combine to provide a measure of expected loss. The risk weights of loan assets shall be derived using the estimates of the PD, LGD, EAD and Maturity that are associated with an exposure. Under IRB foundation approach the Bank would use its own estimated data of PD whereas the components LGD, EAD would be provided by the regulator. In case of IRB advanced approach all the risk components will be estimated by the Bank. Facility rating model, facilitates this process by providing LGD.

2. Bank's Preparedness:

To adopt IRB Approach, banks need to fulfill certain minimum conditions such as:

1. Internal rating mechanism for all type of assets (Sovereign, Banks, Corporate, Retail etc.),
2. Having track record of minimum 3 years for using internal rating systems,
3. Having data on PD for 3 to 5 years and on Exposure at Default & Loss Given Default for 5-7 years,
4. Compliance of strict disclosure norms etc.

Bank has taken various initiatives to meet these requirements. We have developed and implemented various credit risk rating models for different categories of borrowers covering all accounts with total exposure of above Rs. 1 crore for arriving at default risk rating. This default risk rating differentiates amongst borrowers depending on the default risk and facilitates estimation of PD. These models have been installed in the on line PNB-Trac credit risk rating system and are in use. The process of tracking migration of rating and default instances to estimate PD is being done at H.O.

Default Risk Rating assesses the Default risk in an account whereas the expected %age of credit loss also depends on Loss Given Default (which is a function of features of the facility allowed to the borrower/credit mitigations like securities etc). Facility Rating of a borrower also considers the features of the facilities allowed and the securities available.

Therefore, a separate LGD rating has been devised which incorporates transaction specific factors/credit mitigations, enabling us to put in place a system for estimation of LGD %age and deriving Facility Rating based on percentage Expected Loss derived from Default risk rating and LGD rating.

3. Facility Rating Mechanism:

For the purpose of facility rating, the facilities sanctioned to a borrower can be broadly divided into three parts based on the purpose of the facility i.e. i) facilities extended by bank for the operation of the business such as working capital limits, term loans & non-fund based limits, ii) Investments made by bank in instruments such as debentures/bonds/equities/CPs etc, and iii) any specific exposure taken by bank not covered by i) and ii) above such as advance against lease rentals/equities/deposits/govt. securities etc.

Since the categories given in iii) above are exempted from the purview of credit risk rating, the software for Facility Rating provides for only the first two categories.

The detailed methodology for rating has been provided in the Manual for Facility Rating.

3.1 Eligible Collateral / Securities:

It includes both primary and collateral. The securities proposed to be recognized for the purpose of LGD rating as stated in Basel Accord are given in the Manual for Facility Rating.

3.2 Minimum Conditions for recognizing the security:

The eligible securities shall be restricted only to the securities having first charge (including first charge on pari-passu basis) in favour of the Bank. The security must satisfy the following:

- It should be Legally enforceable under all applicable laws and statutes
- The Claims on securities must be properly filed on a timely basis
- The claims should be duly registered with the proper authority.

All documentation must be binding on all parties and include detailed description of the securities. Banks must have appropriate legal opinions to verify this, and update them as necessary to ensure continuing enforceability.

- i) **Market value of securities:** The securities must be valued at or below the current fair value at which the securities can be sold in the market. Bank's guidelines issued from time to time in this regard must be followed meticulously.
- ii) **Frequent revaluation:** The value of the securities must be monitored on a frequent basis as prescribed in bank's guidelines issued from time to time. The securities must be valued afresh at least once in a year.
- iii) **Adequately insured:** The bank must ensure that the properties and other physical securities are adequately insured against all kind of damages or deterioration.
- iv) **Permissible prior claims:** The bank must monitor on an ongoing basis the extent of any permissible prior claims (e.g. tax, statutory liabilities etc.) on the securities. Such claims must be deducted from the value of the securities.
- v) **Other conditions:** The securities should be pledged/ hypothecated/ assigned/ mortgaged for at least the life of the exposure.

3.3 Eligible guarantors:

Credit protection given by the following entities may be recognized:

- Guarantee extended by Central / State Govt., Public Sector Undertakings and banks including RBI.
- Other entities rated 'A2' and above by our bank.

3.4 Minimum conditions for Guarantee:

- A guarantee must represent a direct claim on the guarantor and must be explicitly referenced to specific exposures.
- It must be irrevocable and unconditional.
- Any guarantee taken must be legally enforceable under all applicable laws and statutes. All documentation must be binding on all parties.
- The guarantee covers all types of exposures/ facilities the underlying borrower is expected to take. If the guarantee is restricted to a certain exposure only then the rating of guarantor shall be substituted with the rating of borrower for that exposure and such guarantee will not be considered for overall exposure of borrower.

4. LGD rating Grades:

Neither RBI nor Basel Committee has specified any minimum number of LGD Rating grades. However, for operational convenience, we have considered 8 grades. The

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different LGD grades have been carried out on the basis of LGD percentage from 0 to 100.

The LGD Grades including the LGD bands are given as under: -

S.No	LGD Grade	Loss given default (%)
1	LGD Grade – 1	0 to 10%
2	LGD Grade – 2	> 10% up to 20%
3	LGD Grade – 3	> 20% up to 30%
4	LGD Grade – 4	> 30% up to 40%
5	LGD Grade – 5	> 40% up to 50%
6	LGD Grade – 6	> 50% up to 60%
7	LGD Grade – 7	> 60% up to 70%
8	LGD Grade – 8	>70%

5. Probability of Default:

The rating category wise probability of default or default rates (DR) have been decided based on our experience in respect of Rating Model. These rates have been modified using statistical techniques to remove statistical errors. For facility ratings, Bank computes PD estimates for the corporate asset class borrowers based on the model wise grade wise default rates of the bank.

These PD estimates are utilized in the Facility Rating model for the assessment of LGD grade and corresponding EL bands. for example, PD Large corporate Rating Model and Mid Corporate Rating Model is illustrated below.

Rating Grade	Large Corporate	Mid Corporate
PNB-A1	0.03%	0.03%
PNB-A2	0.05%	0.11%
PNB-A3	0.11%	0.39%
PNB-A4	0.73%	0.55%
PNB-B1	1.57%	2.10%
PNB-B2	3.22%	3.66%
PNB-B3	6.53%	8.23%
PNB-C1	8.53%	12.79%
PNB-C2	20.58%	22.33%
PNB-C3	25.18%	22.33%

6. Expected Loss Grade / Facility Rating Grades:

Expected Loss Grade / Facility Rating Grades are calculated by multiplying PD with LGD associated with the Credit Risk Rating Grade Facility.

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Classification of bands for assigning facility ratings are based on Expected loss i.e, PD and LGD. The upper band for each facility rating grades is determined based on the PD associated with each category and Max LGD (i.e, 65% in case of unsecured exposure).

Illustrative Facility Rating Grades of large corporate including the EL bands are given as under:

S.No	Facility Rating Grade	Minimum EL (%)	Maximum EL (%)	Description
1.	PNB-LA1	≤ 0.02		Highest Safety
2.	PNB-LA2	> 0.02	≤ 0.03	Higher Safety
3.	PNB-LA3	> 0.03	≤ 0.07	High Safety
4.	PNB-LA4	> 0.07	≤ 0.47	Adequate Safety
5.	PNB-LB1	> 0.47	≤ 1.02	Modest Safety
6.	PNB-LB2	> 1.02	≤ 2.09	Marginal Safety
7.	PNB-LB3	> 2.09	≤ 4.24	Inadequate Safety
8.	PNB-LC1	> 4.24	≤ 5.54	Risk Prone
9.	PNB-LC2	> 5.54	≤ 13.38	Substantial Risky
10.	PNB-LC3	> 13.38		Exceptionally High Risky

The Facility Rating Grades of Mid corporate including the EL bands are given as under:

S.No	Facility Rating Grade	Minimum EL (%)	Maximum EL (%)	Description
1.	PNB-LA1	≤ 0.02		Highest Safety
2.	PNB-LA2	> 0.02	≤ 0.07	Higher Safety
3.	PNB-LA3	> 0.07	≤ 0.25	High Safety
4.	PNB-LA4	> 0.25	≤ 0.35	Adequate Safety
5.	PNB-LB1	> 0.35	≤ 1.36	Modest Safety
6.	PNB-LB2	> 1.36	≤ 2.38	Marginal Safety
7.	PNB-LB3	> 2.38	≤ 5.35	Inadequate Safety
8.	PNB-LC1	> 5.35	≤ 8.31	Risk Prone
9.	PNB-LC2	> 8.31	≤ 14.51	Substantial Risky
10.	PNB-LC3	> 14.51		Exceptionally High Risky

Following prefix are added to the Facility Rating of the borrower for different exposures.

- a) 'L' for "loan exposures" against operation of business such as working capital

limits, term loans and non-fund based limits.

- b) 'I' for "treasury investments" in debentures, bonds, equities, commercial papers etc.
- c) 'S' for any other "specific exposure" such as equities/deposits/government securities etc.

For example if final rating of an investment is PNB-A1, then it will be denoted by PNB- IA1, and if final rating of a loan is PNB-A1, then it will be denoted by PNB-LA1.

The facility-rating framework upgrades the present default rate rating system on the basis of security available in the account/ facility. The effect of security is given to default rating based on a detailed methodology, which draws its assumptions from Basel-II Document and draft guidelines of RBI on implementation of New Capital Adequacy Framework.

7. Applicability of LGD rating and Facility Rating Mechanism:

LGD rating and the Facility Rating mechanism, which shall be an extension of default rating mechanism, shall be applied to all categories of borrowers, which are eligible for credit risk rating.

8. Frequency of LGD rating/ Facility Rating and Approving Authority:

The extant guidelines applicable to Credit Risk Rating shall also be applied to LGD rating uniformly.

As per guidelines, the Default Risk rating as per the existing models is to be done once in a year after the receipt of audited balance sheet without linking the rating process to loan proposal. However, the LGD rating shall be linked with loan/investment proposal and the Expected loss % shall be assigned at the time of sanction of various facilities to a borrower.

Whenever any fresh exposure is taken or any fresh investment is made, LGD rating for that particular exposure should be done based on the proposed exposure and the available securities thereof. Facility rating of borrowers on the basis of Expected loss % shall be assigned to that exposure by impacting LGD rating grade over the latest Default-rating grade.

Operating instructions and a list of frequently asked Questions and their answers in respect of Facility Rating is available at Annexure-1 & 2 respectively

Section I: Future Lease Rental Model

1. Applicability:

Our Bank has developed a credit risk rating model to rate advances against future lease rentals. Our other existing rating models work out the default ratings of the borrowers. In contrast, advance against future lease rental model is a transaction rating model and is intended to rate the transaction per se rather than a borrower. It is a type of specialized lending.

The Advance against Future Lease Rental Model shall be applicable if:

- 1.1** The exposure is above Rs. 1 crore.
- 1.2** The primary source of repayment of obligation is the rental income generated by the property.

2. Salient features of the model:

The rating model is divided into three independent evaluations namely, Transaction evaluation, Lessor evaluation and Lessee evaluation. A brief description of these evaluations is given below:

- 2.1 Transaction evaluation:** It captures the marketability and rent ability of the leased premises based on its location and property attributes, sufficiency of lease rentals to repay the proposed loan and security coverage in the event of default by the borrower.
- 2.2 Lessor Evaluation:** Lessor to the transaction is our borrower and in case the leased premises is vacated by the lessee or lease agreement entered into by the lessor fails to generate requisite cash flows due to any other contingency, the lessor would be primarily responsible for repayment of the bank loan. The evaluation comprises of the evaluation of means and standing of the lessor entity. Further, as the corporate lessor and individual lessor have different risk attributes, separate parameters based on entity for risk assessment have been identified.
- 2.3 Lessee Evaluation:** The repayment of loan is primarily dependent on the lease rentals, which in turn is dependent on the capacity of the lessee to pay; hence it becomes inevitable to evaluate the lessee. In the course of this evaluation our focus is to evaluate the capacity of the lessee to pay the lease rentals.

In case of multi-tenanted properties, lessee evaluation has been bifurcated into two parts. The first part comprise of lessees contributing significant rentals to the transaction, say 10% or more and in respect of which definite information is available about their credentials so as to evaluate their capacity to pay committed rentals. Second part of the evaluation comprise of residuary lessees. As individual contribution of residuary lessees to overall transaction is not so significant and also in the absence of reliable information about their credentials, credibility of lessor assumes more importance and hence score of lessor evaluation is substituted

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The overall score of the evaluation shall be worked out by summing up the scores of individual lessees in proportion to their contribution to overall rental value of the transaction. The detailed write up on each parameter given in the model in terms of meaning, relevance, method of computation, unit of measurement and special points, have been provided in the manual on the 'Advance against Future Lease Rental Model'.

3. Rating Scale:

In order to distinguish the ratings relating to Specialized Lending class from the default and facility ratings, SL has been prefixed to rating grades to denote specialized lending. Therefore the rating of advance against future lease rentals under this model is awarded on ten scales as under:

Score Obtained	Rating	Description
Above 80.00	PNB SL-A1	Minimum Risk
Above 70.00 upto 80.00	PNB SL-A2	Marginal Risk
Above 64.00 upto 70.00	PNB SL-A3	Modest Risk
Above 58.00 upto 64.00	PNB SL-A4	Lower Risk
Above 52.00 upto 58.00	PNB SL-B1	Average Risk
Above 46.00 upto 52.00	PNB SL-B2	Marginally Acceptable Risk
Above 40.00 upto 46.00	PNB SL-B3	Cautiously Acceptable Risk
Above 35.00 upto 40.00	PNB SL-C1	High Risk
Above 25.00 upto 35.00	PNB SL-C2	Very High risk
25.00 and below	PNB SL-C3	Exceptionally High Risk

4. Hurdle Points –Downgrading of Ratings:

4.1 Lessor Evaluation:

A. Circumstances in which Rating of the borrower may be downgraded to 'PNB SL-C1'. If the borrower's rating is already 'PNB SL-C1' or below then it will be downgraded by one notch.

S. No	Parameter	Score	Description
1.	Credit history(In case of individual lessor)	0	CIBIL score below 600 / Account is NPA with balance outstanding and yet to be recovered.

B. Circumstances in which Rating will be downgraded to 'PNB SL B3'. If the rating of the transaction is already 'B3' or below then it will be downgraded by one notch.

S.No	Parameter	Score	Description
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1.	Commitment and Sincerity (In case of corporate lessor) OR	0	Members of top management / promoters could be dubious / wilful defaulters / involved in criminal suits
2.	Credit history (In case of individual lessor) OR	0.50	No CIBIL data but availed loan from the banks/ Financial institutions and account was NPA and adjusted through compromise/write-off
3.	Track Record in Debt Repayment	0	The accounts of the company/group companies are irregular with banks/FIs/other institutions or statutory liabilities are overdue

4.2 Lessee Evaluation:

Where the total percentage score under the lessee evaluation is less than 40%, as weak lessee would enhance chances of default in payment of lease rentals.

Rating will be downgraded to 'PNB SL-B3'. If the rating of the transaction is already 'PNB SL-B3' or below then it will be downgraded by one notch.

5. Most Crucial Risk Factor:

The rating of an account will be downgraded by one notch on the basis of any crucial factor which may affect the operating efficiency/viability of the lease transaction substantially such as:

- 5.1 Absence of willingness/capability of the lessees to serve the lease rentals as per agreed terms and conditions.
- 5.2 Substantial impairment in the value of property.
- 5.3 Any major change in Govt. policies having substantial impact on the performance of lease agreement.
- 5.4 The property leased out should be in an approved locality and the construction / floor space should be as per approved plan / FSI and as far as possible, completion certificate for the property should be available. In case any major deficiency / deviation are observed on this count which may have material bearing on the bank loan, the same may be factored under this parameter.
- 5.5 Effects of any major developments, which are not yet clear, court judgment on environmental threats, involvement of promoters/company in excise/FERA/tax-evasion, recovery suit/winding-up petition filed by Creditors/FIs/Banks, any civil/criminal proceedings against the promoters/company, change of management etc.

In such cases "Rating may be downgraded by 'one notch' e.g. from PNB SL-A3 to PNB SL-A4 or from PNB SL-B2 to PNB SL-B3."

6. Periodicity of Credit Risk Rating:

The ratings conducted on the model shall be valid for a period of 12 months from the date of approval of ratings, after expiry of the period of 12 months the ratings shall be treated as DUE for a period of three months and after expiry of period of 15 months the ratings shall be treated as OVERDUE. However, in the following circumstances lease rentals rating required to be renewed immediately:

- a. Vacation of leased premises by the lessee/substitution of lessee contributing 10% or more share in the total lease rentals.
- b. Any other change in circumstances which have a material effect on the transaction.

7. Changes in terms and conditions of sanction- Important:

Unlike default credit risk rating models used to rate borrowal accounts, advance against future lease rentals model confers ratings for the Transaction per se and therefore it assigns ratings based on the amount of loan and terms and conditions thereof. Any change in terms of sanction, viz., amount of loan, rate of interest, value of security, nature of security, amount of lease rentals, etc. shall have bearing on the rating.

Therefore, whenever any change is proposed in the terms and conditions of sanction affecting any of the rating parameters of the model, a fresh rating of the transaction shall have to be worked out.

Section J: Dynamic Review Rating Model

1. Brief Background:

In line with RBI guidelines on Risk Management Systems, our bank has in place various Credit risk rating models covering accounts availing aggregate limits over Rs. 1 crore. RBI, in their guidelines on risk rating stated that updating of the credit ratings should be undertaken normally at quarterly intervals or at least at half yearly intervals, in order to gauge the quality of the portfolio at periodic intervals. Accordingly, Bank has an in house model for dynamic review of credit risk ratings. The salient features of the model are elaborated in following paragraphs.

2. Applicability of the model:

The model is applicable for all borrowers rated in PNB Trac (i.e. borrower having exposure more than Rs 1 crore).

Midterm review of rating shall be carried out in dynamic review rating model as per frequency mentioned below:

A. Mandatory Review:

- i. Borrowers having exposure more than Rs 50.00 crores and all listed borrowers, irrespective of limits, rating shall mandatorily be reviewed on expiry of 5 months from date of last rating except:
 - Borrower already rated as PNB-C1/C2/C3
 - All facilities to the borrower entity are guaranteed by Centre/State Govt.
- ii. Borrowers (eligible to be rated in PNB Trac) that are being reviewed/renewed based on provisional financials of last FY and whose IRR in regular rating model based on ABS of preceding to last FY is overdue.

B. Optional Review:

For other borrowers (borrower not listed and having exposure upto Rs 50.00 crores), rating shall be reviewed in dynamic rating model as and when branch feels that rating needs to be reviewed, keeping in view of any recent adverse developments or invocation of any of the trigger points given at Annexure-14 in the borrowal account. However, on expiry of 13 months from the month of confirmation of rating or 19 months from the date of balance sheet, on which last rating was carried out, whichever is earlier, rating of all borrowers shall mandatorily be reviewed in Dynamic Review Rating Model.

3. Period of Review:

A. Mandatory Review of rating:

Midterm review of rating falls due on expiry of 5 months from date of last rating and should necessarily be completed within next 1 month.

B. Review when regular rating falls Due for renewal:

Review of rating in dynamic review rating model to be completed before expiry of 14 months from the month of confirmation of rating or 20 months from date of balance sheet, whichever is earlier.

4. Methodology and broad risk factors:

Dynamic Review Rating Model primarily consist of four sections namely - Financial, Business, Management and Conduct evaluation, depending upon the default rating model in which last rating of the borrower was approved. Borrowers are evaluated on scale of 0-4 in each risk parameter under these four sections to assess the level of default risk associated with them.

Various risk parameters covered in different sections of the model are given in IRMD Cir. No. 06/2023 dated 02.03.2023 Some of the parameters in the Dynamic Review Rating Model are purely subjective in nature, which may be evaluated based on best judgement of the rater/Vetter, keeping in view any adverse developments related to the borrower:

- that may have taken place after approval of last rating of the borrower and/or
- there has been increase in severity/ impact level of risk factors already factored in last rating.

However, Conduct Evaluation is to be done on the basis of latest Sajag Rank or based on subjective parameters as per latest conduct status.

Important Note: For borrowers rated under Single Point, the score assigned to the borrower for existing operations (i.e., score assigned under Large/Mid/Small Loan rating model) shall be re-calculated based on inputs by the user in dynamic review rating model. The score assigned for the proposed operations (i.e., score assigned under NP/ENBM) in the last rating shall remain static. The single point score will be arrived at by combining scores, allocating the weights in proportion to their turnover contribution in the total business.

Indicative trigger points identified for Dynamic review of credit risk rating are given in Annexure-14.

5. Hurdle Points

The various parameters under Management Evaluation are evaluated to assess the management's competency and their willingness to pay its dues as per terms of agreement. If commitment & sincerity of the management is doubtful and/ or the accounts of the company/group companies are highly irregular with Banks/FIs/other institution or statutory liability is overdue or the payments are delayed etc, the probability of default increases substantially. **Therefore, the following situations**

shall act as hurdle points and shall result in downgradation of rating of the borrower to PNB-B3. However, if the rating is already 'PNB-B3' or below, the rating will be downgraded by one notch:

- I. If level of impact is selected as "**Severe Impact**" under the Parameter "**Impact of Raid/Arrest/Seizure by Govt/ Revenue authorities on borrower/promoters**" OR
- II. If A/c is reported as "**Downgraded, classified as NPA or Red flagged**" in Parameter "**Conduct of borrower/group accounts with Banks**" OR
- III. External rating of the borrower downgraded to "**Downgraded to Default rating grade or Suspended/ Withdrawn**" (i.e., not renewed by any external rating agency) in eligible cases.

Important Note: Documentary proof of factors forcing invocation of any of the above-mentioned hurdle points may be held on record.

6. Vetting authority for rating done in Dynamic Review Rating Model:

- ❖ All review ratings (mandatory as well as optional) carried out in Dynamic Review Rating Model shall be initiated and vetted at concerned ZRMC.
- ❖ For Overseas Branch/Office (all ratings irrespective of sanctioning authority): Vetting shall be done by vetting authority at concerned Branch/ Office.

Important Note: Guidelines on change in vetting authority in case variance between internal & external rating is more than one notch, shall not be applicable for review of ratings carried out in Dynamic Review Rating Model.

7. Extension in validity of existing rating:

The validity period of the existing rating may be extended while carrying out review of rating in Dynamic Review Rating Model for a maximum period of 3 months in a single dynamic review, irrespective of sanctioning authority. Further, the validity period of the last rating may be extended for a maximum period of 6 months.

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Important Note: It is clarified that the system takes into consideration validity period of last approved rating and period of extension applied by the user during dynamic review of rating is computed based on the same to arrive at extended period of validity. The following pop-up message is displayed in PNB Trac wherever ratings remain overdue despite review in Dynamic Review Rating Model:

PNB TRAC

All rates have been applied properly and accepted

DRAFT RATING YET TO BE APPROVED

VALID UPTO 30-APR-16

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Credit Risk Rating Report for Dynamic Review Rating Model

1. Name of Borrower:
3. Date:
6. Industry:
7. Balance Sheet date:
9. Rating ID:
11. Last Rating Model:
13. Date of Last Rating:

Message from webpage

! The rating will remain Overdue despite Dynamic Review of rating. Please carry out rating on latest financials in regular rating model or apply extension of validity

OK

Parameters	Rate
Impact of Unhedged Foreign Currency	1.00
Delay in filing of returns with Govt	1.00
Impact on quality of Inventory/Inputs	4.00
Impact on realisability of receivables	4.00
Parameters	
Impact of adverse changes in Govt pol	4.00
Impact of adverse change in available	4.00
Impact of change in risk related to op	4.00
Impact of natural calamities or other	4.00
Parameters	
Impact of change in Management setup	4.00
Impact of contravention of provisions of Applicable Laws/Sanction Terms, if any	4.00
Impact of Bad/Arrest/Seizure by Govt/Revenue authorities on borrower/promoters	4.00
Conduct of borrower/group accounts with Bank	4.00
Impact of downgradation of external rating of the borrower	NA
	NA

8. Penal Charge during Extended Validity Period:

During the extended validity period of the rating penal charge@0.50% (within overall cap) shall be chargeable, till the rating is not renewed in regular rating model.

Competent Authority to waive penal charges for extension of validity period:

The competent authority to waive penal charges is as detailed below:

- **For facilities sanctioned by PLP/MCC/CO/ZO/HO level committee: ZOCAC** is empowered to waive the penal charges.
- **For LCBs/ELCBs, reporting directly to HO: HOCAC I** is empowered to waive the penal charges.
- **For Overseas Branch/Office:** Sanctioning authority is empowered to waive penal charges for extended validity period.

While permitting waiver of penal charges, it should be ensured that there are genuine reasons to extend the validity and there is no default on part of the borrower in submission of necessary information. Further, proper justification should be recorded in writing while permitting waiver of penal charges.

9. Review ratings of borrowers falling under vulnerable accounts list shared by RBI

List of vulnerable accounts identified by RBI from time to time will be shared by HO Compliance Division and the same shall be circulated to all the concerned ZRMCs (as

and when received) for conducting Dynamic Review of the reported borrowers on priority basis.

10. Treatment of overdue:

If ratings are not renewed within the validity period/extended validity period and rating falls overdue, then rating shall be treated as **PNB-B3 (Except borrowers rated in Credit Risk Rating Model for Banks/FIs)** and re-priced accordingly, from the day on which rating falls overdue, till rating is renewed in regular rating model. However, if the rating is already 'PNB-B3' or below, the rating shall be treated one notch down for pricing.

Important Note: The overdue treatment shall also be available to borrowers rated in Future Lease Rental Model.

11. Exemption from dynamic review of credit risk rating:

Following category of borrowers are exempted from purview of Dynamic Review Rating Model.

- ❖ Borrowers rated in Credit Risk Rating Model for Banks/FIs (i.e. Counter party rating model)
- ❖ Borrowers rated in Future Lease Rental rating model. However exemption shall not be available, if the borrower is also rated in any model other than future lease rental model (i.e. Large, Mid, New Project etc).

No proposal for Review/Renewal/Enhancement/Adhoc/TOD limits or amendment in terms & conditions related to security/ROI shall be placed before sanctioning authority, unless:

- Borrower is having valid credit risk rating and
- Review of rating is carried out in Dynamic Review Rating Model, if applicable.

12. Capturing Quarterly Financial Ratios of Listed Entities:

EASE agenda specified "monitoring (quarterly for P&L elements, annual for balance-sheet elements) of those financial ratios of **listed entities** which were evaluated at the time of sanction and linking of these financial ratios to Dynamic review of Internal risk rating.

Following parameters have been incorporated in this model & are detailed below:

- **OPBDIT/Sales** – In default rating this ratio is captured on annual balance sheet basis and is scored based on the position in peer comparison. This ratio is evaluated for the present period applicable vis-à-vis corresponding period of last year in dynamic review rating model. The score is calculated based on band and weight applicable.
- **Profit Margin** – This profitability ratio is not captured in default rating however, it

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is applicable for dynamic rating as this ratio is quarterly disclosed in results and it shows the margin percentage the company earns in sales. This ratio is evaluated for the present period applicable vis-à-vis corresponding period of last year.

- **Interest Coverage** - This ratio is presently captured in default rating done on annual balance sheet basis and is scored based on absolute comparison basis i.e. score based on a pre-defined scale. This ratio is evaluated for the present period applicable vis-à-vis corresponding period of last year in dynamic review rating model.
- **Fresh Debt raised** – The increase/decrease in level of debt from the sanctioned level is captured here, subjectively.
- **Change in security-** The position of security and level of debt is rationalized and scored in this new parameter, i.e., with the increase in debt with bank the borrower's security position (Primary, secondary or collateral) is gauged and captured in the rating.

Out of the five parameters available in the system, data for the first three parameters i.e. OPBDIT/Sales, Profit Margin and Interest Coverage is provided by Capitaline Neo database managed by M/s Capital Market Publishers India Ltd which is used for peer group comparison, Group risk and Group leverage study or other industry or companies" related data or news in our internal rating system presently. The data is customized by Capitaline Neo under "Quarterly PNB" tab made available under Customized Screens and the rest two parameters i.e, Fresh debt raised by the borrower and Change in security (than as offered at the time of sanction) is to be obtained from verifiable open sources like Media reports, Filing under LODR obligations, information provided by borrower to bank, Half yearly B/S filing (if applicable) or other such sources.

Process flow for this quarterly financial parameter

The user shall be required to first select whether the borrower is listed with stock exchange or not. On selection of the entity as listed, the parameters shall be populated under heading "Quarterly financial position" in the present dynamic review rating model. The parameters are scored and accessed independently based on weight assigned to each parameter.

The final score obtained under heading "Quarterly financial position" will decide the discounting factor applicable on the financial score of the borrower. The discounting will be in range of 0-10% in progressive manner.

The above functionality shall be **applicable only for Listed Entities**.

13. Rationalization of check

The checks for completion of Dynamic Review Rating have been detailed as under:

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- i. Under this check, system will allow rating under regular model or allow initiating new rating after branch submits all the dynamic ratings to higher office (i.e., Accounts of higher office power) or approved dynamic rating of their own power i.e. no dynamic rating is pending or present in their worklist.

After branch submits all the dynamic ratings to higher office i.e., ZMRC, the check will shift subsequently to ZRMC and the functionality of check will work in same manner. If in case a higher office returns the rating to lower office, the check will shift to lower office and the loop will continue till the rating is approved by the vetting authority.

- ii. For those borrowal accounts where data is not available & rating is due for Dynamic Review, the rater/vetter shall have the option to mark the non-availability of data (User Home- Update-Dynamic Marking) so that system will allow it as an exception for 21 days. After the lapse of timeline, the system will prompt to do the rating under Dynamic Review.

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Section K: PNB-Super Scorer

1. Brief Background:

PNB-Super Scorer has been developed in compliance of EASE reforms for FY 2019-20 and to strengthen the credit risk assessment for all fresh/ enhancement/ additional limit proposals in standard accounts and to capture changes in risk dynamics post regular rating. PNB Super Scorer is quantified majorly on objective criteria to serve as an additional tool on top of regular rating in PNB Trac to capture fine-tuned riskiness/change in riskiness of borrower since the previous recent rating.

2. Applicability:

PNB-Super Scorer/Risk Side Review shall be applicable to all fresh/enhancement/additional limit proposals in standard accounts falling within vested powers of ZOCAC and above(i.e., ₹30 Crore and above) where regular rating is more than 3 months old at the time of sanction.

The Risk parameters have been classified under five sub-categories i.e.

- i) Borrower entity,
- ii) Security Coverage,
- iii) Conduct of Account,
- iv) Promoter & Group entities
- v) Industry/Sector.

Detailed parameter wise details are provided in rating manual, based on the total score obtained above identified parameters, the PNB Super Scorer will classify the account into four categories as under:

S. No	Total Score (Out of 400)	Risk Categories	Go/No-Go Classification
1	Above 260	Low Risk	Go
2	Above 160 & upto 260	Medium Risk	Go with additional Stipulations
3	Above 120 & upto 160	High Risk	Go only if certain critical conditions fulfilled
4	120 & below	No- Go	No- Go

The Risk parameter wise summary of Scores under Objective & Subjective evaluation is as under:

Risk Parameters	Company/ Borrower Risk	Security Coverage Risk	Conduct Risk	Group Risk	Industry Risk	Total Score
Total Objective Score	124	30	40	114	40	348

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Total Subjective Score	10	0	0	10	32	52
Grand Total	134	30	40	124	72	400

The Percentage of Objective evaluation score in the model is 87%, therefore making it technically an Objective model and leaving little/no scope for judgment of the user for risk categorization.

3. Usage of PNB Super Scorer

PNB Super Scorer shall serve as an additional tool on top of regular rating in PNB Trac in the account to capture fine-tuned riskiness/change in riskiness in borrower since the previous recent rating.

If the PNB Super Scorer outcome indicates “High Risk”, then the credit decisions shall be directed accordingly. I.e. Risk-Return trade-off shall be enhanced or decision to sanction the proposal or not shall be taken.

4. Data Requirement

The Scoring under PNB Super Scorer shall be conducted after regular rating in the account has been approved. The indicative list of documents/information required to conduct the scoring are as under:

- i) Approved Rating sheet along with Vetting/Industry Desk Report, Risk Information Report.
- ii) Appraisal Note.
- iii) Audited Balance Sheets, Auditor's report, Annual Report, Director's Report.
- iv) Latest Stock Audit Report/Credit Audit & Review Report/Other report observations, if any.
- v) Latest Lender's Independent Engineer Report/Observations, if any.
- vi) Latest External rating.
- vii) Latest report in PNB Sajag 2.0
- viii) Latest Industry Outlook.
- ix) CIR reports/Observations, if any, of the Borrower/Promoters/Directors/Guarantors.
- x) CRILIC reports/Observations, if any.
- xi) Fraud Risk Management Information System (FRMIS) report/Observations, if any.
- xii) News/Media reports if any, on company/Industry/Promoters/Directors/Guarantors etc.
- xiii) Central Economic Intelligence Bureau(CEIB)reports/Observations, if any
- xiv) Group Risk data from Capitaline Neo.

xv) Any other supporting documents.

5. Rating/Vetting Authority

Rater and Vetter for PNB Super Scorer shall be **‘other than the Rater/Vetter’** who have conducted the Regular Rating in the account, this will ensure Independence and Objectivity of the process and strengthen the credit risk assessment. IRMD, H.O./ZPMC. will conduct scoring under PNB Super Scorer and submit the PNB Super Scorer rating sheet/matrix to Credit Division/IBD/ZO, which shall append the same in the proposals submitted to competent authority, invariably so that sanctioning authority/screening committee can take appropriate view before taking credit decisions. The scoring sheet along with final Go/No- Go classification shall be printed and signed by the Rater & Vetter invariably.

6. Exemption from Scoring under PNB Super Scorer

Ratings conducted only under Future Lease Rental Model shall be exempted from Scoring under PNB Super Scorer as the same is a transaction rating model and is intended to rate the transaction per se rather than a borrower.

7. Process Flow of PNB Super Scorer

- Credit Division/IBD/ZO will provide list of accounts (Fresh/Enhancement cases) to be placed in Credit Committees.
- IRMD, H.O./ZPMC will conduct scoring under PNB Super Scorer and submit the PNB Super Scorer rating sheet/ matrix to Credit Division/IBD/ZO.
- Credit Division/IBD, H.O./ZO along with the proposal for Enhancement/Fresh Sanction of credit facilities, shall place the PNB Super Scorer Matrix classification/weakness identified before the Credit Committees for necessary information.

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Section L: NPA Rating Module in PNB-Trac

1. Background:

The model is applicable to all Non Performing Accounts in Sub Standard, Doubtful & Loss category. All NPA accounts marked NPA in CBS are automatically marked NPA in PNB-Trac.

Three NPA rating grades are defined in the system which are as mentioned below:

Score Obtained	Rating Grade	Description
Defaulted Accounts (Accounts that have slipped to NPA category)	PNB-NS	NPA - Sub-Standard
	PNB-ND	NPA - Doubtful (I,II and III)
	PNB-NL	NPA - Loss

The NPA ratings classifications are automatically marked, which will be treated as new ratings, as and when a rated account becomes NPA and again as and when there is change in Asset Classification of NPA account in the following manner:

- 1.1 The account is rated as Sub-standard when it is classified as sub- standard account.
- 1.2 When the same account is classified as Doubtful, it is rated as doubtful account.
- 1.3 When the same account is classified as Loss, it is again rated as loss account.
- 1.4 If an account is directly classified as Doubtful or Loss, it is directly rated as doubtful or loss as the case may be without rating it as sub-standard or doubtful account.

Any subsequent upgradation of asset into performing category would require fresh rating of borrower as per the extant guidelines.

Operational instructions for NPA rating model are available in PNB Trac

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Section M: Exempted Categories of Accounts

The categories of accounts exempted from individual credit risk rating/ credit scoring are as under:

1. Categories of advances exempted for Credit Risk Rating (PNB-Trac)

- a) All accounts with sanctioned limits of Rs.1 crore and below.
- b) All advances against security of Bank's own deposits.
- c) All advances against Government securities including NSCs/KVPs/IVPs etc.
- d) All loans against shares and debentures, units of mutual funds, life insurance policies.
- e) All staff Loans.
- f) Advances to Central/State Govt. Departments. Undertaking/ Establishments, which are not running on commercial basis (e.g. Industrial/Agricultural/Rural Development Boards of various State Govts.). An organization may be treated as not running on commercial basis if the borrower is not required to draw Profit & Loss A/c (including income & expenditure) and Balance sheet (statement of affairs) under the law.
- g) Advances under Retail Banking Schemes / SME schemes/ Farm Sector Schemes for which separate Credit Scoring models are available.
- h) Loans to individuals, against mortgage of IPs where market value of IP is at least 150% of the loan amount, who are not engaged in any activity for which annual accounts are required to be prepared.
- i) Advances to individuals under Agriculture (Direct), Agriculture (Indirect), Other Priority Sectors including Transporters, Artisan and Handicrafts.
- j) Loans under LUCC and advances against warehouse receipts of CWC.
- k) Borrowers who are availing only those loans/limits where full powers have been granted as per loaning power chart e.g. purchase of cheques drawn by Central & State Govts and drafts of public sector banks, ILCs/FLCs where full cover is held by way of deposits till maturity, etc. # (Please refer note below)
- l) Advances against clearing instruments/ bills/ clean overdrafts permitted within the vested loaning powers at various levels where the client is not availing any other loan/limit for which risk rating is applicable as per guidelines. # (Please refer note below).
- m) Borrowers dealing with our bank and availing only Bill Purchasing/Discounting/Negotiating Limit, against LC of approved Banks as permitted by extant Bank guidelines. Exemption shall not be available to borrowers who are availing Bill Purchasing/Discounting/ Negotiating limit along with other credit facilities from our Bank.

The exemption from credit risk rating under (k) and (l) shall be subject to the condition that the loan/limit allowed is for a short period and is for a specific transaction. The exemption from rating should be exercised only in exceptional circumstances and wherever possible, credit risk rating in appropriate rating model be conducted. In case the borrower is availing any other limit, risk rating as

per guidelines shall be applicable.

- n) Further in addition to above Exempted categories of Credit, exemption can be sought in respect of following.

The overseas branches handling proposals having following characteristics:

- i. The borrower company, normally incorporated outside India, is wholly owned subsidiary (WOS) of major Indian Corporate,
- ii. These subsidiaries work as an investment arm of the Indian Corporate and do not have their own operations or revenue flows,
- iii. Their balance sheets mostly reflect funds raised towards margin requirement (from parent company; by way of debentures / unsecured loan/ investment etc) and debt raised from international banks,
- iv. These funds are in turn invested in acquiring companies, capital expenditure and other projects; through their WOS / group companies; by way of onward lending.
- v. The loan is backed by the guarantee of parent company.

The major Indian companies are floating such WOS mainly in view of ECB interest rate cap and favorable taxation structure.

In such cases, credit risk rating conducted based on standalone financial statements / financial projections of borrowing company may not be relevant for taking credit decisions in view of following:

- i) The funds raised by borrowing company (WOS) are invested in the acquiring companies, capital expenditure and other projects of group concerns. Hence, the revenues from such investments are not reflected in the financial statements of the borrowing company. Further, as the amount is invested in various projects of subsidiaries, financial projections are also not available in such cases.
- ii) The loan is proposed to be repaid from the sources of the holding company of borrowing company as sources of subsidiary company are generally inadequate.
- iii) The credit exposure is considered on the basis of creditworthiness and reputation of Indian parent and /or appraisal of project and corporate guarantee is provided by the holding company.

Further, such proposals are not covered under general exemption as stated above.

It has, therefore, been decided that in respect of aforementioned proposals exemption on case to case basis may be permitted by GM (IBD) from internal credit risk rating on the following conditions:

- i) The borrower entity is an overseas investment arm of major Indian Corporate/ holding company, not having its own operations,
- ii) repayment of loan is proposed from the sources of holding company,

- iii) the loan is backed by the guarantee of holding company having adequate Tangible Net worth, and
- iv) Internal credit risk rating of the Indian corporate / holding company is not below investment grade.

2. Categories of advances exempted for scoring in PNB Score

- a. Advances under Retail Banking Schemes pertaining to Loan against Gold & Jewellery and PNB Baghban are presently exempted from scoring in PNB Score

3. Categories of advances exempted for scoring in PNB Score SME

- a. All accounts with sanctioned limits of Rs.2 lakh and below.
- b. Advances to Documentary Films (on themes like family planning, social forestry, energy conservation and commercial advertising).

4. Categories of advances exempted for scoring in PNB Farm Score

- a. Cash Credit/Production Credit loan upto Rs 3.00 lakhs and investment Credit/Term Loan upto Rs 1.00 lakh
- b. Schemes which are being classified in Agriculture, but to be evaluated through other scoring models

5. Following Advances are exempted from the purview of both Credit Risk rating and scoring models:

- a. All advances against security of Bank's own deposits.
- b. All advances against Govt. securities including NSCs/KVPs/IVPs etc.
- c. All Staff Loans

Section N: Validity of Internal Ratings in Rating Reports

1. The validity period of the credit risk rating assigned to a borrower is as under:

Due: Rating shall become due for updation after the expiry of 12 months from the month of confirmation of rating or 18 months from the date of balance sheet on the basis of which credit risk rating was assigned, whichever is earlier.

Overdue: Rating shall be treated as overdue after the expiry of 15 months from the month of confirmation of rating or 21 months from the date of balance sheet on the basis of which credit risk rating was assigned, whichever is earlier.

2. After the expiry of the above period the rating will be considered as '**Due**' or '**Overdue**' for renewal as the case may be and the word 'Due for renewal' or 'Overdue for renewal' will be suffixed along-with the rating, wherever it is quoted.

3. It is further advised that fresh rating should be assigned to a borrowal account, irrespective of the validity period stated above in Point 1, if any material development/information on the borrower comes to light, which may affect the rating adversely.

4. In case a borrower has extended the accounting period, the vetting authority may consider the extension of the validity of earlier rating on the merits of each case.

5. The above guidelines shall be applicable to all accounts irrespective of the categories of borrowal accounts i.e. Large Corporate, Mid Corporate and Small Loan borrowal Accounts or any other rating model.

Further, in order to promote discipline amongst the borrowers with respect to timely submission of financial data thereby timely renewal of Internal Credit Risk Ratings on latest financials, treatment to overdue internal ratings is automated at system (PNB Trac) level. Accordingly, all internal ratings that are overdue as on the last day of the month shall be downgraded automatically in PNB Trac on 1st day of succeeding month.

A report has been customized in PNB Trac enlisting the details of all the borrowers of which internal credit risk ratings have been downgraded due to application of overdue treatment. The report can be accessed through: PNB Trac → Reports → Details of Downgraded borrowers.

Further, the list of overdue/ downgraded ratings may also contain some of the borrowers which are pending to be marked as "Closed/ Inactive" in PNB Trac under any of the 5 categories as listed below:

- Borrower Shifted to PNB Score/SME Score OR
- The account stands adjusted and closed as on date OR
- The account was rated but not sanctioned OR
- Facilities were sanctioned but not availed OR
- Duplicate Borrower ID. Rating Desk,

ZRMCs to take up with field functionaries to identify all such borrowers and take necessary action.

However, in order to avoid scope of ambiguity on account of aforesaid guidelines, to facilitate the users / authorities in knowing the validity of a particular rating from the rating report itself, rating report has been customized to indicate the validity of rating after the final rating of the borrower by giving the following notation:

VALID UPTO: *Respective Date* (One day prior to the date on which the rating becomes overdue) unless revised earlier.

E-mail alerts for Due and Overdue Credit Risk Ratings

The ratings conducted on the credit risk rating models have validity period for the credit risk rating assigned to a borrower. Our system allows three months period for renewal of a rating after it becomes due. The Rating is categorized as Overdue if the Rating is not renewed within three months of its becoming due.

To make the follow up of Due and Overdue ratings more effective and system driven, an automatic E-mail alert is being sent to the Borrowers and respective office whenever the ratings become Due / or overdue.

Further, instead of sending separate email for each borrower, a consolidated email for due/overdue ratings is being sent to the concerned branch.

Therefore, for better monitoring and effective follow up for renewal of Due/Overdue ratings, the frequency of reminder message is 15 days for due and overdue ratings and email will be sent to concern office for due/overdue ratings.

The frequency and working of revamped alert email message is detailed below:

A. For Borrower:

- ❖ **Due Rating:** An email message will be sent to the borrower, one month before rating falls due and reminder message will be sent after every 15 days till renewal of rating.
- ❖ **Overdue Rating:** An email message will be sent to the borrower once rating falls Overdue and reminder message will be sent after every 15 days till renewal of rating.

B. For BO/PLP/MCC/LCB/ELCB/ZRMC

- ❖ **Due Rating:** System will send a consolidated email to concerned BO PLP/MCC/LCB/ELCB/ZRMC, one month before the rating falls due and reminder message will be sent after every 15 days till the rating is renewed.
- ❖ **Overdue Rating:** System will send a consolidated email to concerned BO/PLP/MCC/LCB/ELCB/ZRMC, once rating falls due and reminder message will be sent after every 15 days till the rating is renewed.

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Formats of Email message for Borrower and BO/PLP/MCC/LCB/ELCB/ZRMC are given in Annexure-7 and Annexure-8 respectively.

All field functionaries are advised to update the Customer Email Id and Mobile No/Telephone Number in PNB-Trac so that system driven email alert gets correctly delivered.

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Section O: Industry Desk Report & Risk Information Report

The risk rating desk at HO/ZRMC prepares Industry Desk Report and Risk Information Report which deliberates on various risk side responses to the credit proposal. These industry desk report and Risk Information Report form part of credit proposals wherein mitigants to these observations are discussed and closed.

In order to enhance the efficiency and efficacy of our internal systems & processes, and by adopting best industry practices, Credit Division is already placing industry desk report issued by Risk Management department covering pros & cons from risk point of view along with credit proposals placed before credit committees for approval along with suitable actions.

The Industry Desk Report contains discussions on the following broad topics:

- ❖ Brief Background of Borrowers
- ❖ Credit Risk rating movement
- ❖ Industry Rating
- ❖ Rating by external Agency
- ❖ Facilities sanctioned/proposed and securities stipulated
- ❖ Group Leverage
- ❖ The major risk factors identified and factored in the Credit Risk rating Report, that may require attention for taking any credit decision.
- ❖ Other Major Risks not incorporated elsewhere that may require attention for taking any credit decision.

Similarly, the **“Risk Information Report”** contains discussions on the following broad topics

- ❖ Industry Outlook
- ❖ Credit Risk rating & migration detail
- ❖ External Rating & migration thereof
- ❖ Industry Ceiling
- ❖ Exposure Ceiling
- ❖ Additional provisioning requirement
- ❖ Industry & borrower specific risk factors etc.

The detailed format of **“Risk Information Report”** is placed in **Annexure-10**.

The detailed format of **“Industry Desk Report”** is placed in **Annexure-11**.

As the manual preparation of these 2 reports (IDR and RIR) for every Internal Credit Risk Rating is a time-consuming process, A functionality for system-based generation of these 2 reports in PNB Trac application to minimize manual intervention in preparation of the reports has been developed for all rating models.

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Section P: Loan Related Actions due to decline in Dynamic Review Rating

Government of India advised Banks under EASE reforms to ensure tracking of business projections from the loan proposal and declared financial results of listed companies, assess their financial health, detecting stress and initiating remedial action and reviewing internal risk rating to carry out specific loan related actions such as asking for additional collateral/Equity infusion, interest rate reset, loan facility adjustment.

The objective of dynamic review rating model is to ensure early detection of any possible deterioration in credit quality. Presently, any rating downgrade under dynamic risk rating is linked with revision in pricing. The reason for decline in the rating grade under dynamic review rating model needs to be analyzed on the basis of the parameters rated and suitable remedial measures shall be taken by the branch.

However, it is felt that since rating downgrade may increase the chance of default, specific loan related action(s) in addition to revision in pricing, is/are to be exercised to safeguard bank's interest.

In view of the above, Board approved the following loan related actions in cases of downgrade in Dynamic Review Rating.

S No.	Change in notches/category	Loan related actions
(1)	Downgrade Upto 2 rating grades (Within Investment grade) eg. PNB A1 to PNB A2; PNB A3 To PNB B2	- Revision in pricing - Withdrawal of all existing concessions.
(2)	Downgrade more than 2 rating grades (within Investment grade) eg. PNB A1 to PNB A4	In addition to (1), - Option if cancelling un-availed limits may be examined. - Risk Mitigants such as additional collaterals/ guarantees/increase in margins may be prescribed.
(3)	Downgrade from Investment grade to non-investment grade eg. PNB B2 to PNB B3	Loan facility adjustment/possibility be explored for exit.

The reason for decline in the rating grade under dynamic review rating model has to be analyzed on the basis of the parameters rated and suitable remedial measures are to be taken by the branch.

The above measures are illustrative only. Branches may also consider additional suitable measures, if any in this regard to secure bank's interest.

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The above mentioned measures are to be complied with before the next due date for dynamic review rating or regular risk rating, whichever is earlier unless waiver for the same has been obtained from the competent authority.

- (i) Competent Authority to waive specific loan related actions discussed in table above are as under:
- For facilities sanctioned by PLP/MCC/CBB/CHCAC: The next higher authority not below the level of CHCAC shall have the power to waive specific loan related actions.
 - For facilities sanctioned by ZOCAC and above: Full powers within their vested loaning powers.
 - For LCB/E-LCB/Overseas Branch/Office: HOCAC-I and above shall have full powers within their vested loaning powers.
 - While permitting waiver of specific loan related action(s), it shall be ensured that proper justification is recorded in writing while permitting waiver specific loan related action.

The loan related actions proposed are risk mitigating measures to safeguard bank's interest and at the same time inculcate a sense of credit discipline among borrowers.

Section Q: Capturing MSME Classification of Borrowers in PNB-Trac

Credit scoring models for limits up to Rs 1.00 Cr. are applicable to evaluate credit risk of the loan proposals (new and existing accounts) under SME (Manufacturing /Service) in 8 different models under PNB-SME Score, classified on the basis of limit, type of activities and borrower type (New/Existing). For Limit above Rs 1.00 Cr. MSME borrowers are rated on PNB-Trac, where it is required to capture the details related to MSME entity and its classification as per regulator for data analysis and reporting purpose.

For capturing the MSME details, 2 tabs are available in PNB Trac. First tab with label "Whether MSME" is available where 2 options namely **"YES"** & **"NO"** in dropdown type are available. User has to select one as per information available. If user selects **"NO"** from the drop down menu, the rating will proceed as per normal procedure. However, if the selected option is **"YES"**, a new tab labeled "Category of MSME" will be enabled with 2 options in drop down type namely MSME- Services & MSME- Manufacturing, wherein the rater will mark one as his option as per borrower classification. Data reporting under EASE-Reform requires the 90 DPD migration tables and rated portfolio of borrowers separately for Corporate and MSME category, this marking will facilitate in identifying MSME borrowers being rated on PNB-Trac for analysis purpose as well as reporting purpose.

The Process flow of capturing the MSME details in PNB Trac is placed at Annexure-12.

Section R: Capturing of Sanction/ Rejection of Loan Proposals

Under “Purpose of Rating” tab in PNB-Trac Home Page, three options are available for selection, wherein the rater needs to select one of the options. The three options available are (i) Fresh cases, (ii) Enhancement/Reduction from existing limits and (iii) Review/Renewal/vetting.

- 1. Fresh/ New cases for rating:** In such case Borrower Type will be New and after rating gets approved, a separate page will be displayed before the User home- work list screen prompting the Rater/vetter to select options to mark the rating as Sanctioned, not sanctioned/ disbursed and under consideration or process at various level. This display of list of borrower with borrower name and purpose of rating will be on every rater/vetter of the sol where the rating is initiated. Once it is marked Yes or No the process will be completed with a marking on the borrower id. If the user has selected 3rd option i.e. Under consideration/ process the functionality will be repeated after every 21 days till the user mark it as sanctioned or not sanctioned.
- 2. Enhancement/Reduction Cases for rating:** In such case Borrower Type will be either Existing or New with us. The functionality will be the same as the case with Fresh/new rating case.
- 3. Review/Renewal/vetting cases of rating:** In such case Borrower Type will be Existing with us. As it is just a routine vetting of the rating, no changes are proposed and the functionality will remain same as present.

The Process flow of capturing the details is annexed at **Annexure-13**.

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Section S: Operating Guidelines for carrying out Credit Risk Rating

1. The credit risk rating models contain several qualitative parameters that are to be evaluated subjectively hence while assigning the credit risk rating to the borrower, the rater must take all relevant information into account. Information should be collected from all possible sources to conduct rating exercise completely, accurately, and in an authenticated manner. Information used in rating process must be current.
2. Sufficient human judgment and assessment is necessary to ensure that all relevant information, including those outside the scope of the model, is also taken into consideration, and that the model is used appropriately.
3. The data used to assign rating should be annualized and comparable. Similarly, the financials of the company should be made comparable with peers in case of change in accounting policies, merger, de-merger, acquisition, sell-off etc.
4. For multi-divisional companies, which are involved in more than one activity/product/industry, business parameters should be evaluated separately for each activity/industry (upto 3 major activities) whereas financial, management, conduct of account evaluation should be done for company as a whole.
5. Given the difficulties in forecasting future events and the influence they will have on a particular borrower's financial condition, a conservative view of projected information should be taken.
6. The complete rating sheet, justification, financial ratios (if computed manually) and all relevant information must be sent to vetting authority for each rating. While doing the ratings, it should be ensured that the latest version of software for credit risk rating models is only used.
7. The record of rating exercise and history of ratings should be kept on record for further references, uses, and audit etc.
8. The final/approved rating should be informed to the office from where the rating originated by the vetting authority immediately after its approval by the competent authority.
9. The credit risk rating along with date of approval and date of balance sheet must be stated in all references made to competent authorities for taking any credit decision in the account.
10. Secrecy of the rating mechanism has to be maintained and it should be ensured that the exercise on the rating of the borrower i.e. format/rate assigned to various parameters and the notes on justification for assigning the rate etc. should not be provided to the borrower/consortium/other bank under any circumstances. However,

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the final rating may be informed to the borrower/consortium members etc.

11. The most important characteristics of a good rating system is that it should be robust and the rating of a borrower should not be substantially affected by the subjective assessment of officers conducting the rating. In order to bring uniformity and standardization in credit risk ratings across the bank, the broad guidelines for awarding the scores are given in the respective Rating Manual and subsequent circulars issued from time to time. Besides, with a view to familiarize the concerned officers on the credit risk rating models and awarding the scores, workshops are also conducted at the Staff Training College/Zonal Training Centers.
12. A system should be evolved to collect and store data on borrowers to provide effective support to credit risk-rating process. All relevant available information should be taken into account in assigning rating to the borrowers and information must be up-to-date. Estimates must be supported by historical experience and empirical evidence and not based purely on subjective or judgmental consideration. Given the uncertainties in forecasting future events, a margin of conservatism that is related to the likely range of errors should be factored into its estimates. There should be an effective system to obtain and update relevant information on the borrower's financial condition.
13. The risk rating is an important tool facilitating the credit decision process. A borrower's rating must represent his ability and willingness to contractually perform despite adverse economic conditions or the occurrence of unexpected events. By not assigning an appropriate rating to a borrower we may miss the opportunity to invest in good accounts or may end up in having invested in high risk accounts. As such, a **casual approach** in using the tool may not only defeat the purpose of the exercise but also have serious consequences. The analysis of credit portfolio based on such Risk Rating may not give a true picture and our default rates corresponding to different risk category shall be higher than the international experience, jeopardizing our efforts to effectively manage our balance sheet risk.
14. It is therefore necessary to maintain proper records based on which risk rating has been carried out, both at the office responsible for conducting the risk rating and the office responsible for vetting/confirmation of such risk rating.
15. A borrower rating must represent the borrower's ability and willingness to contractually perform despite adverse economic position or the concurrence of unexpected events. If the subsequent rating of any borrower slips more than one notch when compared to the previous rating, the vetting authority should make a detailed evaluation of all such previous ratings to know if there had been a negligence /casual approach in assigning previous rating to a borrower. If warranted, staff side should be initiated against the erring officers. Similar exercise is required when a better rated account turns NPA.
16. New/multiple Borrower Ids for a borrower are created whenever a new rating is carried out without caring to find out if borrower Id already exists in the system. This

renders the task of tracking movement of ratings for a single borrower and other analysis on the basis of borrower ids impossible. **For one borrower, only one borrower id should be created and when a new rating is to be conducted, the same borrower id must be used.** If there is any amendment in borrower's name or constitution, users should edit the same in the existing borrower id instead of creating a borrower id afresh. **Using an existing borrower id automatically populates the financial data of a borrower in a new rating id wherever available in the previous rating of the borrower, which saves efforts to feed financial data afresh.**

17. The credit ratings approved by the vetting authorities are not submitted into the system promptly. Approved ratings, unless submitted into the system, do not form part of the database and therefore, not available for analysis.
18. CBS Ids should be properly fed In the fields meant for CBS Id, As there is CBS check in PNB Trac in which data such as Borrower Name , PAN Phone Address etc are fetched from CBS and user has to validate the same before generation of rating report.
19. All concerned staff members are advised to go through the guidelines given in the respective manuals and operating instructions before undertaking risk rating exercise and should adhere to definitions/explanations given in the manual to achieve consistency in the rating process.
20. **Secrecy of the Model:** In order to maintain the secrecy of the rating mechanism and prevent its misuse, it is advised that all the offices will maintain the secrecy of the rating mechanism and shall not hand over any exercise on the rating i.e. format/rate assigned to various parameters and the notes on justification for assigning the rate, etc. to the borrower/ any other bank and to be marked and kept confidential.
21. To strengthen the data integrity and to obviate the data inconsistency, IRMD has implemented the integration of CBS customer ID with PNB-Trac system. Therefore, before initiating the Credit Risk Rating, creation/availability of Customer ID in CBS system is to be ensured. CBS Customer ID & other related details fetched from CBS server shall be verified and accepted by the users at rating initiating office.
22. Various Roles & Responsibilities of each and every subcell/ personnel of ZRMC are defined in chapter-4 (Roles & Responsibilities), ZRMC Operations Guide of MPD circular no. 12/2020. ZRMCs are advised to be guided as per the instructions given in MPD circular and any revised guidelines issued from time to time.
23. Indicative checklist of documents/ information required for credit risk rating are mentioned under **Annexure-15**.

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Section T: Other Important Guidelines in respect of Credit Rating Models

RBI has advised that rating assignments and periodic rating reviews must be carried out or approved by an officer who is not directly involved in sanction process to ensure the independence of rating assignment and approval process.

1. Mapping of Rating Grades with External Agency Rating Grades as per IRMD Consolidated Circular No. 26/2023 dated 16.12.2023.

To compare/analyze internal rating with external rating of the borrowers for risk assessment during internal rating process, internal rating grades have been mapped with external rating grades as under:-

Internal Rating Grades	External Rating Grades
PNB-A1	AAA
PNB-A2	AA
PNB-A3	A
PNB-A4 & PNB-B1	BBB
PNB-B2	BB
PNB-B3 & PNB-C1	B
PNB-C2 & PNB-C3	C
NPA	D

The aforementioned mapping shall apply mutatis mutandis to rating grades of other external rating agencies already approved/to be approved by RBI/SEBI.

2. Common Guidelines Regarding Applicability of Most Crucial Factors

2.1 The concept of most crucial factor is applied while carrying out the credit risk rating to take care of any major risk factor involved, the impact of which is not crystallized at the time of carrying out of the rating. It is observed that in many cases, positive comments have been given under the most crucial factor which leads to down gradation of credit risk.

2.2 To obviate frequent reference to various circulars, the relevant guidelines on the subject are reiterated below:

“The rating of an account may be downgraded by one notch by the Vetting Authority on the basis of any crucial factor coming to the notice after the date of audited balance sheet (on which rating is done) and which may affect the operating efficiency/viability of the unit substantially such as:

- i. Absence of willingness/capability of the promoters to repay the debt as per agreed terms and conditions.
- ii. Substantial impairment in the value of assets (including block assets/loans and advances/investments, inventory/debtors)
- iii. Obsolescence of the product or any major change in Govt. policies having

substantial impact on the performance of the company.

iv. Effects of any major developments, which are not yet cleared, major damage to plants/stocks, court judgment on environmental threats, involvement of promoters/company in excise/FEMA/tax-evasion, recovery suit/winding-up petition filed by Creditors/FIs/Banks, any civil/criminal proceedings against the promoters/company, change of management etc.”

2.3 In order to avoid scope of ambiguity on account of aforesaid guidelines, to facilitate the users / authorities in knowing the applicability of Most Crucial Factors while carrying credit risk ratings in PNB Trac, changes in rating models are effected which will indicate the invocation of Most Crucial Factors by giving the following message on the screen:

“Detail of any major event, if any, the effects of which are not yet cleared (major damage to plant/stocks, court judgement on environmental threats, involvement of promoters/company in excise/FERA/tax-evasion, recovery suit/winding-up petition filed by creditors/FIs/banks, any civil/criminal proceedings against the promoters/company, change of management etc.) OR any other crucial factor, which has come to the notice of the bank and has a substantial effect on the implementation/ stabilization/ operational efficiency/ viability of the unit/ project affecting willingness/ ability of the promoters to repay the debt as per the agreed terms and conditions.”

Operational Procedure for Marking of Most Crucial Factor in PNB Trac is given at Annexure-3.

3. Evaluation of Conduct of Accounts

The credit risk rating of the borrowers having existing operations includes evaluation of Conduct of Account of the borrowers. PNB Sajag Rank/Score forms an important constituent for evaluating the “**Conduct Evaluation**” in the credit risk rating of any borrower.

PNB SAJAG 2.0 system titled “**For Rating Purpose in Trac**” and w.e.f. February 2024, the “Conduct of Account” Evaluation of a particular borrower under different Internal Credit Risk Rating Models shall be assessed based on this Rank/ Score the below mention benchmark scores:

Benchmark Scores	PNB Sajag 2.0 Rank
0	5
1	4
2	3
3	2
4	1

Guidelines for use of Sajag rank in Credit Risk Rating: The ranks from the Sajag 2.0 are generated on daily basis as per IRMD Cir. No. 05/2024 dated 14.02.2024. The detailed guidelines are as under:

- i. The above-mentioned Rank/ Score shall be generated subject to availability of minimum 3 months of data for a borrower in new PNB SAJAG 2.0 system, else the system will display the Rank/ Score as “Not Applicable”.
- ii. Conduct of Account Evaluation in PNB Trac should be assessed based on 3 subjective parameters viz. “Status of Account”, “Operations in Account” and “Submission of Financial Data/Statements” in such cases where the Rank/ Score of the borrower is marked as “Not Applicable”.
- iii. For companies which have not been banking with PNB earlier and as such their Sajag Ranks are not available, the section of ‘conduct of account’ is to be treated and marked as ‘Not Applicable’.
- iv. As the said Rank/Score in PNB SAJAG 2.0 shall be generated on a daily basis, it is to note that for Internal Credit Risk Ratings in PNB Trac, the Rank/ Score as on the date when the rater submits the Internal Credit Risk Rating for approval, i.e., the date of the final “Industry Desk Report” and “Risk Information Report” placed before the Competent Authority, shall be considered.

4. Frequency of Credit Risk Rating

- 4.1** The credit risk rating exercise should be done immediately on receipt of audited Balance sheet of the company and should not be linked to regular renewal exercise. Each eligible borrower (standard category) irrespective of the nature of facilities must be rated at least on an annual basis.
- 4.2** “All internal credit risk ratings must be renewed in time without any reference to the renewal proposal. In no case any internal credit risk rating be allowed to remain overdue for renewal. Allowing interest rate charged in the account based on rating even after the rating has become overdue for rating is not in line with the policy prescription and it must be ensured that the pricing in a borrower account must be charged as per valid internal rating.”

5. Marking of Specialized Lending in PNB Trac:

Under the IRB approach, to arrive at the risk weighted assets (RWA) for exposures, banks may categorize banking-book exposures broadly into six asset classes with different underlying risk characteristics viz.

- i. **Corporate,**
- ii. **Sovereign,**
- iii. **Bank,**
- iv. **Retail,**
- v. **Equity, and**

vi. Others

The corporate asset class includes, but is not limited to, four separate subclasses of specialized lending (SL). The four sub-classes of specialized lending are:

- (i) Project finance (PF),
- (ii) Object finance (OF),
- (iii) Commodities finance (CF) and
- (iv) Income producing real estate (IPRE).

The provision for marking of above mentioned corporate sub-classes has been provided on common detail page of ratings in PNB-Trac. Authority for marking has been given at BO/MCC/PLP/ZRMC/HO. Rater has to mark the appropriate category if borrower falls under specialized lending definition.

6. MULTI CURRENCY OPTION IN ONLINE CREDIT RISK RATING SYSTEM - PNB TRAC

There is provision in PNB-Trac for entering foreign currency in which limits are sanctioned and currency in which financials of the borrower are available. The Multi currency option provides option for the user to select the relevant currency separately for 'limits' and 'financial statements' and feed the 'Equivalent Indian Rupees (per unit of currency)' in 'Common Details Page' of the rating model. There is no change in the remaining procedure for carrying out the rating.

The option for selection of currency will have the following nine currencies:

1. Indian rupee
2. Norwegian kroner
3. Euro
4. US dollar
5. Singapore dollar
6. Nepalese rupees
7. Hong Kong dollar
8. Australian dollar
9. Dirham(UAE)
10. Swedish Krona (SEK)

For addition of any other currency in the list for selection, users should request Help Desk functioning at IRMD, HO, New Delhi (Email: trac@pnb.co.in, Tel.: 011-28044666).

Users in Indian branches shall select the 'Indian Rupee' during the rating process and continue to follow the earlier procedure for the rating of the company.

7. Credit Risk Rating- Provisional (un-audited) Accounts

The online Credit Risk Rating System viz. PNB Trac comprising of various Credit Risk Rating Models is in use in the Bank since 2005. It should be our endeavor that the

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exercise of credit risk rating of a borrower is conducted on the basis of audited annual accounts only.

The guidelines for conducting the provisional credit risk rating of **Govt. owned/ Patronized Corporations, Undertakings, Federations, Board, Local Bodies etc.** are given as under:

i) Provisional (un-audited) Annual Accounts

The credit risk rating should be conducted on the basis of provisional (un- audited) annual accounts to the best judgement of the rater keeping in view the last audited reports, stock audit reports, notes on Accounts in the last audited annual accounts and conduct of account etc. Conservative approach should be adopted in evaluation of parameters under subjective assessment of financials. The score under 'Transparency in Accounting' should be assigned 'Zero'.

If the credit risk rating conducted on provisional annual accounts is lower compared to the last rating conducted on the basis of audited accounts, then the rating arrived at on the basis of the provisional balance sheet should be assigned. But if the credit risk rating on the basis of the provisional balance sheet is better/higher compared to the last rating conducted on the basis of audited accounts then the last rating as per the audited accounts should be retained. However, **the outlook on the basis of current rating conducted on the basis of provisional (un-audited) annual accounts should be discussed in the note placed to the authorities for approval of the rating.**

ii) Audited annual accounts but without auditor's reports (Annual accounts which are subject to audit by another agency/authority such as CAG).

The fresh rating should be conducted on the basis of audited annual accounts without auditor's report. The subjective assessment of financials including transparency in accounting should be evaluated on the basis of quality of report/notes, as per the previous audited accounts and conduct of account etc.

In some of the borrowal accounts, the previous audited annual accounts also may not be available. In such cases, the score 'zero' should be assigned to the parameter '**Transparency in Accounting**' under subjective assessment of Financials.

It should be stated in the note that the rating has been conducted on the basis of provisional (un-audited)/audited annual accounts but without auditors' report. The rating awarded/assigned will be considered as provisional and the alphabet (P) should be suffixed along with the rating, for example A2 (P) etc. In both the cases, the expected date of audited balance sheet/auditor's report be mentioned and the receipt of same be followed up closely. The regular credit risk rating should be conducted immediately on receipt of the audited annual accounts in such cases.

These guidelines are applicable to Govt. owned/Patronised Corporations, Undertakings, Federations, Board, Local Bodies etc. irrespective of quantum of aggregate limits and applicability of credit risk rating model. The credit risk rating of

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companies under private sector shall continue to be done on the basis of audited balance sheet only as per extant guidelines.

In terms of our aforesaid guidelines, at least one rating based on audited annual accounts is required to be conducted to arrive at the latest rating of a borrower based on unaudited / provisional accounts.

However in respect of cases of Govt. owned / Patronized Corporations, Undertakings, Federations, Board, Local Bodies etc. where no audited balance sheet is available, ratings in such cases may be conducted based on the provisional financial statement with the prior specific approval of Group Chief Risk Officer/ Chief Risk Officer (IRMD). The fact that rating has been conducted on the basis of provisional (un-audited) financial statements may be specifically stated in the note placed for approval. Further, the alphabet (P) should be suffixed along with the rating, for example PNB-A2 (P) etc.

Further, the expected date of audited balance sheet / auditor's report be mentioned and the receipt of same be followed up closely. The regular credit risk rating should be conducted immediately on receipt of the audited annual accounts in such cases.

Since for conducting rating based on unaudited / provisional annual accounts the software of PNB Trac requires the score / rating as per last audited accounts of the borrower, the user cannot proceed without entering the score/rating as per last audited accounts.

8. Mandatory feeding of PAN

In terms of extant guidelines, only one Borrower Id must be created while conducting risk rating of a borrower on PNB-Trac and all the subsequent ratings of the same borrower must be carried out with the same Borrower Id. However, new borrower IDs are created by the branches instead of using already existing Borrower IDs for rating a borrower, resulting hindrance in tracking movement of ratings and various analysis thereof.

- a. In order to avoid scope of creation of multiple Borrower IDs, feeding of unique PAN is made mandatory for the entire borrower IDs created in PNB Trac. Proprietor Name has also been made mandatory in all the sole proprietorship borrowers.
- b. List will be displayed after login for existing borrower IDs of a particular SOL ID, where PAN is not available in PNB Trac. Users are required to feed PAN in these borrower IDs.
- c. Users are advised to ensure that correct PAN is being updated in all borrower IDs of that particular SOL ID.

Detailed process of PAN feeding in PNB Trac is attached as **Annexure-4**.

9. Marking borrowers as Not Sanctioned/ Not Availed/ Account Closed in PNB Trac

The Credit Risk Rating System – PNB TRAC is in use since 2005 and has undergone various modifications to deal with the changing business scenarios and operational requirements, which have been advised from time to time.

Due/Overdue rating reports of the borrowers where rating has become due / overdue as per extant guidelines and requires renewal as part of the MIS reports introduced in PNB Trac.

It has been observed that some rated accounts appear in Due and Overdue Reports which do not require to be renewed on account of following reasons:

1. The borrower was rated but facilities not sanctioned
2. Facilities were sanctioned but not availed by the borrower
3. Account is closed
4. Borrower Shifted to PNB Score/ SME Score
5. Duplicate Borrower Id.

As such, to remove the anomaly, a system of recording / marking all above mentioned accounts is available in PNB Trac, so that these accounts can be excluded while generating due / overdue position of rated accounts. The users of PNB Trac can deactivate/ activate such borrowal accounts-

Status of the borrower **“Active”** or **“Disabled”** can be viewed on Borrower Details Page while going through **“Search →borrower”** option.

However, at the time of creation of borrower while initiating new rating, users can view list of all Active / Disabled borrowers in order to avoid creation of multiple borrowers ID for same borrower.

Detailed procedural guidelines in respect of marking of Borrowers are attached as **Annexure-5**.

10. Approval of Rating in PNB Trac

It is essential that all approved ratings are promptly submitted in PNB Trac.

All Vetter's are advised to promptly approve/ reject/ cancel the ratings by following the below mentioned steps:

1. Open and go through each sheet of the rating.
2. View the rating report by clicking on the **“View Rating Report”** button.
3. Close the rating report by clicking on **“Close Window”** button. This will activate the **“Complete Rating Process”** button.
4. Select the appropriate item out of the following list in the Action drop down box.
 - i. **Accept:** This will submit the rating in PNB Trac and remove it from Vetter's ID.
 - ii. **Reject:** This will reject the rating and send it back to the rater's ID.
 - iii. **Cancel:** This will delete the rating from Vetter's ID and PNB Trac.
5. Click on the **“Complete Rating Process”** button.

IN ORDER TO CLEAR THE BACK LOG, ALL VETTERS ARE ADVISED TO CLEAR ALL RATINGS LYING IN THEIR IDs BY FOLLOWING THE **ABOVE PROCESS LATEST BY EVERY MONTH.**

On approval of the rating from Vetter's user ID, print out can be taken from rating option under Search menu on Home page. This print out will have the following notation:

“APPROVED RATING REPORT”

Further, only **“Approved Rating Report”** will be valid for any credit / pricing decisions and Draft Rating Report cannot be used for any credit / pricing decisions.

In addition to the notation **“APPROVED RATING REPORT”**, the approved rating reports generated from rating option under Search menu on Home page will also have the following notation:

“(Computer Generated Report Need Not be Signed)”

Accordingly, the concerned officials (Raters and Veters) are, henceforth, not required to put their signatures on **“Approved Rating Report”** as these are generated from data base of approved ratings and no changes are possible in these ratings after their approval.

Further, the controlling offices (Head Office / ZRMCs) will stop sending print outs of approved rating reports to their respective subordinate offices (ZRMCs/BO/MCC/PLP) and subordinate offices will generate the required approved rating reports from PNB TRAC using the Rating option under Search menu on Home page.

However, controlling offices will continue to send copies of Approval Notes, Variance Reports, Financial Statement Feeding sheets and Peer Group List (in case of Large Corporate Model) as hitherto fore.

11. Treatment of “Unsecured Loans” in Credit Risk Rating Models

On the basis of feedback received and experience gained, it has been decided that in case of proprietorship/partnership firms, the unsecured debts having characteristics of capital may be treated as Quasi Capital and as part of Tangible net worth subject to certain stipulations as under:-

- 11.1.** The unsecured loans only from the guarantors/friends and relatives/partners, supported by an undertaking by the lenders not to withdraw the said loans during the currency of our loan, without the prior written consent of the bank, may be considered as quasi capital and thus as a part of tangible net worth. The firms borrowing such loans as well as the lenders would also undertake that no interest shall be paid on the Loan in the event of the firm making any default with the bank.

However in the cases where the party has also given some loan to any of the lenders, the same would have to be netted off from the amount of unsecured loans from these lenders for the purpose of computation of quasi capital.

- 11.2.** The extent of quasi capital should not exceed 100% of the capital.

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The above treatment of unsecured loans is applicable for Sole Proprietorship/ Partnership firms only irrespective of size i.e. large, mid and small borrowal accounts.

11.3. Unsecured loans from friends/relatives/ guarantors/directors can also be considered as quasi capital to the extent of max of 100% of paid up equity capital (excluding Reserves & Surplus) in case of private limited companies subject to satisfaction of following conditions:

- a) Undertaking provided by the borrower to the dealing branch that "Unsecured loans shall not be withdrawn during the currency of bank loan". Confirmation from the dealing branch to be duly recorded by the vetting authority office.
- b) However, in cases where unsecured loans show declining/fluctuating trend over last five years in ratings under LCRM and MCRM and over last 2 years in ratings under SLRM, proper justification be recorded in Industry Desk report (IDR) finalized by vetting authority office for considering the unsecured loans as quasi equity.

12. Methodology for Credit Risk Rating for borrowal accounts involving takeover of management/ purchase of assets of other business enterprise.

12.1. Bank has developed and implemented various credit risk rating models covering borrowal accounts availing aggregate limits of above Rs. 1 crore.

12.2. We have been receiving references on methodology to be adopted for evaluation of credit risk for borrowal accounts involving changeover of management/purchase of assets of other business enterprise.

12.3. In normal course of business, an enterprise may takeover the management or purchase the assets/unit (which may be running/closed or sick/healthy) of any other business enterprise with the objectives such as:

- Expansion of capacities
- To avoid competition in the market
- Gain control on the market
- Backward or forward integration

In such cases, new management/purchaser may provide better managerial and financial support so as to improve business prospects for the unit taken over.

12.4. The methodologies for credit risk rating to be adopted for various modus operandi for takeover of management/purchase of unit/assets of business enterprise by a purchaser are discussed as under:

(i) Takeover of management through acquiring shares (majority stake)

Takeover of management through acquisition of controlling stake (Majority Stake) is applicable in respect of enterprise with separate legal entity such as Pvt./ Public Ltd companies. In such cases, the company being a separate legal entity, its operations and assets-liability structure is not affected by change of management consequent upon transfer of shares and the company continues its existing structure of the financials. The performance of a company critically depends upon the managerial and financial capabilities of the new management. In certain cases depending upon the financial capabilities of the new management, there might be restructuring of assets and liabilities by induction of fresh funds or reduction in liabilities through one time settlement, reliefs in interest/principal etc granted by Banks/FIs, settlement with creditors or write off of assets etc.

In such cases the rating may be done on the basis of latest balance sheet (Restructured, if any i.e. accounting for the restructuring of assets and liabilities) on the applicable model. However, to reflect the impact of new management on future prospects of the company, evaluation of the following parameters may be based on managerial and financial support/capabilities of new management instead of the old management.

- Future financial risk
- Business Evaluation
- Management Evaluation

In respect of conduct of account, the same should be made 'Not Applicable' in case the company was dealing with other bank (s). But in cases where the company is dealing with our bank, the conduct of account should be evaluated based on its latest Sajag 2.0 Rank.

(ii) Purchase of assets/units only of an enterprise with or without liabilities by the management by proposing to run the purchased unit as a separate entity/subsidiary.

Purchase of assets/units of an enterprise with or without liabilities by the management by proposing to run the purchased unit as a separate entity/subsidiary can be treated akin to setting up of new unit with a marginal difference that instead of setting up a new unit altogether, the enterprise has opted for purchase of a unit, which is already installed.

Such projects will be subjected to the normal techno-economic appraisal. The past financial data depicting the past trend of business, liabilities of the company / unit purchased may or may not be available. If available, it may provide a comfort in evaluation of the appraisal.

On purchase of units/assets, the purchaser/management usually draws a balance sheet as on a particular date with the value of assets purchased and means of its

financing and also compile the projections based on its managerial, financial and business synergies.

Such cases may be termed as setting up of new project and should be rated on our regular New Project Model wherein the borrower is rated based on his financial and business projections.

(iii) Purchase of a unit/assets with or without liabilities by a purchaser/ management under its existing running business.

Purchase of unit/assets with or without liabilities by a purchaser/management under its existing running business can be treated as expansion of operations, which may be either the additions to the existing capacities or Backward/ forward integration or diversification. These types of cases may be covered under our existing system of rating and rated on our regular models.

The extant guidelines provide that in case the value of assets purchased/added exceeds 50% of existing value of block assets, two separate rating should be conducted i.e. i) under the new project and ii) of the existing business. Thereafter, single point score should be worked out. In cases, where the value of gross block assets purchased/added is less than 50% of its exiting value of gross block assets, a single rating may be conducted on our regular model.

13. Credit Risk Rating of India Joint Ventures/Wholly owned subsidiaries abroad

- 13.1** Presently our bank has implemented various credit risk rating models to evaluate credit risk in borrowal accounts availing aggregate sanctioned limits (Fund Based + Non-Fund Based) above Rs. 1.00 Cr.
- 13.2** The sanction of credit facilities to Indian Joint Ventures/Wholly owned subsidiaries abroad is subject to same scrutiny/appraisal as applicable to Indian borrower. As such, all information required for conducting credit risk rating for these companies would be available with the branch except that financial information which may be in foreign currency and based on accounting standards/practices followed in those countries.
- 13.3** All our credit risk rating models, while evaluating the financials of the borrower evaluate financial ratios only and absolute value is not considered except in case of "trend analysis" under Large Corporate and Mid Corporate. Even in trend analysis, the values are considered for the company for past year performances and do not require currency conversion or benchmark evaluation. As such, evaluating the borrower in our existing rating model would not pose any difficulty.
- 13.4** It is expected that a rater shall judiciously evaluate all the parameters required for evaluation of credit risk rating for Indian Joint Ventures/Wholly owned subsidiaries abroad and extract the information from available sources. In

case, rater finds difficulty in evaluation of any parameter due to inadequacy of information/data, the parameter may be made “not applicable” with proper justification for the same e.g. peer group comparison shall not be possible in case of rating under large corporate model due to non-availability of data. Vetting authority while vetting the rating would take note of such information/limitation.

- 13.5** While assessing rating of such borrowers i) credit rating of parent company, ii) rating awarded to the borrower by any external credit assessment institutions, etc. may also be analysed to take a holistic view on credit risk rating of borrower and should be incorporated in the note placed to the vetting authority.

14. Credit Risk Rating - Accounting of Deferred Tax Liabilities (DTL)/Deferred Tax Assets (DTA) – Financial Analysis of annual accounts.

Accounting standard (AS) 22, ‘Accounting for Taxes on Income’, issued by the Council of the Institute of Chartered Accountants of India, came into effect in respect of accounting periods commencing on or after 1.4.2001. It is mandatory in nature for:

14.1 All the accounting periods commencing on or after 01.04.2001, in respect of the following:

14.1.1 Enterprise whose equity or debt securities are listed on a recognized stock exchange in India and enterprises that are in the process of issuing equity or debt securities that will be listed on a recognized stock exchange in India as evidenced by the board of directors’ resolution in this regard.

14.1.2 All the enterprise of a group, if the parent presents consolidated financial statements and the Accounting Standard is mandatory in nature in respect of any of the enterprise of that group in terms of above.

14.2 All the accounting periods commencing on or after 01.04.2002, in respect of companies not covered by above.

14.3 All the accounting periods commencing on or after 01.04.2003, in respect of all other enterprises.

DTL/DTA is disclosed under a separate head in the balance sheet from current assets and current liabilities. Further the breakup of DTL/DTA in the major components is disclosed in the notes to accounts.

The matter has been examined and it has been decided to adopt the following approach in accounting treatment of deferred tax liability and deferred tax assets.

Deferred Tax Asset (DTA)

DTA is arrived at through increasing the profits/reducing the loss. The eligible tax rebate reflected as DTA can be recognized only if it is reasonably certain that the company will earn adequate profits in the subsequent accounting periods. Till such time it is in the

nature of an intangible assets. As a prudent accounting policy, the income, which is not earned, should not be recognized and therefore, DTA should be treated as Intangible Assets and be deducted from the Net Worth to arrive at the Tangible net worth.

Deferred Tax Liability (DTL)

Deferred tax liability arises on account of tax benefits claimed in advance and there is no payment obligation attached to it. Its reversal in the subsequent periods will be by transfer to the tax and in turn to profits/surplus.

Balance sheet depicts the position of Assets & Liability as at a particular date. As at the date of Balance sheet, deferred tax liabilities are not an outside liability. However, the future profits after tax will be lower to that extent.

As such, Deferred Tax Liability should be accounted as part of Tangible Net Worth.

Profit and Loss Account

Where DTA is shown in the balance sheet the taxable income is shown at the higher level/ loss is shown at the reduced level correspondingly. Therefore DTA, which has the effect of increasing the profit/reducing the loss, should be deducted from the Net profit (Profit after tax)

Where DTL is shown in the balance sheet the taxable income is shown at the lower level/ loss is increased. Therefore DTL, which has effect of reducing the profit/ increasing the loss, should be added to the net profit. (Profit after tax)

In the event there is a reversal in a particular accounting year of DTA/DTL either in full or in part, in respect of DTA/DTL in an earlier accounting period, the amount of such reversal should be ignored.

15. Other Guidelines

In order to obviate the common deficiencies observed during MARD Audit, the guidelines are hereby reiterated for necessary compliance at Zones, Circles & branches :

15.1 The external rating should be made integral part of the terms and conditions of the sanction in terms of regulatory requirements in all the eligible accounts. Penal interest shall be applicable in respect of those eligible borrowers which are still not externally rated. Penal charges be levied in terms of IRMD L&A Cir. No. 40/2024 dated 30.03.2024 "Policy on penal charges on advances".

15.2 All internal credit risk ratings must be renewed in time without any reference to the renewal proposal. Credit risk rating system allows three months period of turnaround time for Renewal of a rating after it becomes due for Rating. The Rating is categorized as Overdue if the Rating is not renewed within three months of its becoming due. The Branch/MCC/PLP/ CO/ ZO should start making efforts for renewal of ratings as & when they become due so that the Ratings are renewed well before they become overdue. Penal charges be levied in terms of IRMD L&A Cir. No. 40/2024 dated 30.03.2024 "Policy on penal charges on

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advances.” as per extant guidelines in all accounts where Rating has become overdue.

- Every Circle/Zone/ZRMC has got an administrator to look after management of Credit Risk ratings. Necessary reports in respect of Credit risk ratings/ overdue ratings/ variance in ratings can be generated from PNB TRAC. The administrator at CO/ZO should generate the said reports on monthly basis and make necessary follow up with the branches under their control.
- Concurrent Auditors / Regular Auditors/ Revenue Auditors to ensure that Penal charges are levied as per extant prevailing guidelines on penal charges for non-obtaining/non-renewal of Internal/External Risk Rating.

16. CREDIT RISK RATING SYSTEM –MIS REPORTS IN PNB TRAC

Various MIS reports are available in PNB Trac to make monitoring and control mechanism more efficient and effective:

S. No.	Name of Report	Purpose
1	Due Ratings Report	List of borrowers whose ratings are due.
2	Overdue Ratings Report:	List of borrowers whose rating has become overdue.
3	List of Users Report	List of Active users in an office.
4	List of Borrowers without CBS CUST ID:	List of borrowers without CUST ID
5	List of Borrowers with CBS CUST ID	List of borrowers with CUST ID in an
6	Approved Credit Risk Rated Accounts	List of approved ratings initiated from an office selected as input between particular months
7	Variance Analysis Report:	List of ratings where variance is more than 5% between final drafts at
8	Borrower-wise Movement Report:	a.) Rating movement as on date of all the Borrowers related to a particular office. b.) Ratings movement of a particular selected borrower as on date.
9	Dynamic Review Rating Report	List of eligible borrowers for Dynamic Review Rating
10	Dynamic Check Report	List of borrowers pending for Dynamic Rating

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S. No.	Name of Report	Purpose
11	Eligible A/c for pricing Change	List of borrowers downgraded during the Dynamic Review Rating
12	Rating Monitoring Report	For Monitoring of Rating pending at any offices
13	Non-Investment Grade	List of ratings of borrowers below non-investment grade
14	Peer Group	For downloading the Peer file for any rating
15	Downgraded Rating Report	List of Downgraded Borrowers due to treatment of overdue ratings
16	Pending RIR to be uploaded*	List of pending RIR to be uploaded in a particular office
17	Pending IDR to be uploaded*	List of pending IDR to be uploaded in a particular office

The MIS reports are to be generated as and when required. The reports can be accessed by the authorized users using '**Report Menu**' option on the '**Work list**' page.

Access Privileges to the reports:

With a view to avoid unnecessary slowdown of server, access privileges have been restricted as under:

Offices	Access privileges to
CO/MCC/PLP	All users with respect to attached branches to that office
ZO/ZRMC	All Rater/Vatters/Administrator and Dak User in ZO/ZRMC
HO	All Rater/Vater/Administrator and Dak User in HO.

Further, the reports can be extracted only in excel format so that further analysis can be carried out based on the requirement of user.

17. CREDIT RISK RATING – SUBJECTIVE EVALUATION

17.1 While evaluating subjective parameters under various credit risk rating models in PNB-Trac there should be rational use of fractional decimals. The broad indicative guidance notes for evaluating credit risk on various factors under different credit rating models are given in the respective Risk Rating Manuals.

17.2 However keeping in view the increased use of scores in fractional decimals while evaluating subjective parameters under various models which also result in increasing number of Variance it is hereby reiterated that:

“As there is no judicious/scientific method/approach for awarding the score to a parameter in decimal points under subjective evaluation, it has been decided that assigning of scores in decimals while evaluating subjective parameters should be avoided.

18. DISCLOSURE OF REASONS AND IMPLICATIONS OF CREDIT RISK RATING DOWNGRADE TO THE BORROWER

18.1 The extant guidelines, inter alia, stipulate that secrecy of the rating mechanism has to be maintained and it should be ensured that the exercise on the rating of the borrower i.e. format/rate assigned to various parameters and the notes on justification for assigning the rate etc. should not be provided to the borrower/consortium/other bank under any circumstances. However, the final rating may be informed to the borrower/consortium members etc.

18.2 The broad reasons for downgrade of credit risk rating of the borrower have to be disclosed to the borrower without sharing the risk methodology/parameters by sending appropriate communication. However, while sharing the general description of the parameters, the methodologies/benchmarks and scoring patterns of the rating models may not be disclosed in any case to keep the secrecy of our models. It should also be kept in mind that only those parameters where borrower needs to improve are to be disclosed broadly.

18.3 The following system on a bank wide basis be adopted to comply with the direction of CRMC:

- Any downward change in rating grade by one notch or more, shall be eligible for such a communication.
- This downgrade shall be observed from the previous approved rating on an Annual Balance Sheet not older than one year or more than 18 months old in other cases.
- Communication shall be sent by rating confirming authority, through the Branch Incumbent where the concerned Borrower is availing credit facilities.
- Communication shall be sent on standard pre-approved format only and shall not invite any further communication. **(Enclosed as Annexure-6)**
- Any improvement could only be reflected in the next due rating process only and no revision shall be undertaken only on the basis of the communication immediately thereafter.
- Branch Incumbent shall be required to keep a keen eye on adoption of any manipulative tactics immediately on receipt of information of rating downgrade and shall inform the same to rating approving authority.

At HO, IRMD the said communication on pre-approved format shall be enclosed with the Industry desk report being sent to the office for onward delivery to the concerned Borrower by Branch Incumbent.

19. Credit Risk Rating System – PNB Trac – Other Operational Changes

19.1 Rating Return

There is a provision in the software enabling Vetter's in ZRMC and Head Office to return the rating to Vetter (who has submitted the rating) in the submitting office

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using 'Send Back to Prev. Office' option. The revised system will also ensure maintenance of proper audit trail in all rating return cases.

All Vetter's at ZRMC/ Head Office are advised to use the option sparingly only when there are compelling reasons to return the ratings and with prior approval of competent authority, which should not be below the rank of a SCALE IV officer.

19.2 Partial save of financial data:

In the PNB Trac system, there are certain large screens for feeding of financial data, such as, feeding of Financial Projections for IRR, feeding of Profit and Loss account and feeding of Balance Sheet. These screens take considerable time to feed the data and data fed cannot be saved until complete data is fed into the system. If in the meanwhile, the raters have to attend to some other job/there is sudden power tripping/session time out/ loss of connectivity etc, the partially entered data gets lost and the users are required to feed the entire data again.

There is a system for partial saving of data for the aforesaid screens. Users will be able to save the financial data in Rating Models, if required, partially i.e. before feeding the entire sheet by clicking on the **"Interim Data Save"** button provided on top right hand corner of the screens. However, users shall have to finally submit the relevant sheet, as hitherto, after completion of feeding data for generating the rating report.

19.3 Integration of Facility rating with default rating:

Check have been placed in PNB Trac that Default rating can only be forwarded/approved/sent back to previous office/ rejected only if facility rating is present with the User. If any user tries to send the Default rating without initiating the facility rating or obtaining the facility rating in his/her ID, system will give a pop-up message **"Please initiate /Obtain the facility rating in your User ID for submitting/approving the default rating."**

If any user tries to send facility rating first before sending the default rating, the system will give a pop-up message **"Please submit/approve the default rating first in order to submit/approve the facility rating."**

However, same check will not be applicable in case of deletion of rating.

19.4 Digital Submission of Documents:

In order to reduce the email communication as well as to reduce Turnaround Time (TAT) for submission of supporting documents, Bank has developed a functionality within PNB Trac for digital submission and storage of rating request format along with supporting documents.

The Standard Operating Procedure (SOP) for the said functionality is enclosed as annexure-16

19.5 Pop-up message for negative IRR/Sensitive IRR:

If IRR/sensitive IRR is negative, system will give a pop-up message "IRR/sensitive IRR is negative. Please check."

19.6 Change of Field in Small Loan Rating model:

Revenue from operations should carry all incomes from operations. Therefore, the said field has been changed from Revenue from operations to Revenue from Operations (including other operating incomes).

19.7 Whether borrower is newly incorporated:

Borrowers shall be treated as newly incorporated, if Borrower is newly incorporated OR Incorporated in past, but yet to start commercial operations OR Past financial results of at least one complete financial year is not available. All other borrowers shall be treated as existing borrower for rating purpose

19.8 Total Project Cost (Rs in Lakhs):

User has to feed value of total project cost in the field if the borrower is setting up/going to set up new project. However, parameter shall be made NA, if Borrower is not setting up any new project or Investments in diversified activities/expansion of existing operation not more than 50% of gross value of block assets at the end of last financial year.

19.9 Whether Borrower is listed with stock exchange:

If the borrower is listed with any recognized stock exchange in India/Abroad (like NSE/BSE etc), then parameter shall be made Yes, else No

19.10 Clarification on definition of turnover for selection of rating model:

It is clarified that for selection of rating model, Projected Turnover or Last Year Turnover, whichever is higher shall be considered.

OPERATING INSTRUCTIONS FOR FACILITY RATING

1. Login to your User ID.
2. **For starting a new facility rating:**
 - Click on the “New Rating” button provided below your work list or alternatively select the “New Rating” option from the Rating menu from the menu list provided on top of your work list.
 - Click on the Search Borrower hyperlink in the Common Details Page that appears
 - Type a few continuous distinguishing characters in your borrower’s name in the space provided against Borrower Name and click on the “Search Borrower” button provided after the list.
 - Select the relevant borrower from the list that appears and click on its hyperlink below Borrower ID. This will transfer some details of the relevant borrower to Customer Identification on Common Details Page.
 - Complete the others details on the Common Details Page.
3. Select Facility Rating from the list of options against Rating Model proposed for use.
4. Click on the “Start Rating” button provided on the bottom of the page.
5. Rating Details Page will appear.
6. Rating category of the borrower, Effective Rating Category, Probability of Default (PD) and Total Exposure items on this page will be populated automatically by the software and are not to be filled.
7. Feed the rating score of the borrower as per its latest approved default rating.
8. Select the appropriate option (No or Yes) from the list provided against Guaranteed Account.
9. If the selection is no, the next step is as per step 16. If the selection is yes, the software will ask for the Category of Guarantor. Select the appropriate option (Central Govt or State Govt or Other Entities) from the list provided against Category of Guarantor.
10. If the selection is either Central Govt or State Govt, the contents against Effective Rating Category and Probability of Default (PD) will be appropriately amended by the software.
11. If the selection is Other Entities, the software will ask whether guarantor rated by PNB. Select the appropriate option (No or Yes) from the list provided.
12. If the selection is yes, the software will ask for Rating of Guarantor by PNB. Select the appropriate option (PNB-A1 or PNB-A2 or PNB-A3 or Below PNB-A4) from the list provided. Based on the selection, the contents against Effective Rating Category and Probability of Default (PD) will be appropriately amended by the software.
13. However, if the selection as per step 11 is no, the software will ask whether

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guarantor rated by CRISIL/ICRA/FITCH/CARE. Select the appropriate option (No or Yes) from the list provided.

14. If the selection is yes, the software will ask for Rating of Guarantor by CRISIL/ICRA/FITCH/CARE. Select the appropriate option (AAA or AA or Below AA) from the list provided. Based on the selection, the contents against Effective Rating Category and Probability of Default (PD) will be appropriately amended by the software.
15. If the selection as per step 13 is no, the contents against Effective Rating Category and Probability of Default (PD) not be amended by the software.
16. Select the appropriate option (Loans and Advances or Investment in Bonds/Debentures/Equity/Securitization Papers/Commercial Papers etc.) from the list provided against Type of Facility.
17. Click on “Facilities/Securities” button against Add / View Facilities & Securities. This will open a new page View Securities and Exposures. In case of a new rating, there will be no entries on this page.
18. For adding facilities/securities, Click on “Add New Securities/Facilities” button provided on the page. This will open a new page Add Securities and Exposures.
19. Select the appropriate option (Fund Based or Term Loan or Non Fund Based) if the selection in step 16 was Loans and advances, from the list provided Facility Group. If the selection in step 16 was Investment etc., the option will be investment which has to be selected.
20. Select the appropriate option from the list of facilities appearing against Facility.
21. Feed the amount of limit against Limit.
22. Click in the box provided against each security to select the relevant security / securities and feed the amount of security against the selected security / securities.
23. Click on “Save Securities” button to save the entries.
24. Click on “Close Window” button to close this page after saving securities.
25. Users can delete facilities/securities on View Securities and Exposures by clicking in the box provided and then clicking on the “Delete Securities” button.
26. Users can also edit a particular security on this page.
27. After adding / deleting / editing facilities / securities click on “Close Window” button.
28. Click on “Submit” button on Rating Details page to save this page.
29. Users will reach the submit page.
30. The instructions for submission of ratings are same as in case of other ratings.

(Frequently Asked Questions on Facility Rating)

Below is the list of issues raised by raters at the time of test rating of the model along with the suggestions thereon:

Issue No. 1:

Which are the eligible accounts where facility rating is to be conducted?

Suggestion:

All accounts where borrower (default) rating is conducted are eligible for facility rating. Facility Rating is not applicable for accounts reviewed under Dynamic Review rating model.

Issue No. 2:

What is the frequency at which facility ratings are to be conducted?

Suggestion:

There is no fixed frequency for conducting facility rating. Whenever there is a change in the default rating / facilities / securities, the facility rating should be conducted afresh except review rating conducted under Dynamic Review rating model.

Issue No. 3:

In majority of accounts, default rating is evaluated at the time of enhancement / renewal. At the time of enhancement of limits, only projected level of chargeable securities is available which commensurate to the limits proposed. As such, value of securities for the purpose of facility rating need to be defined.

Suggestion:

In case of enhancement of limits for working capital, chargeable securities as accepted in the PBF note are to be considered as security for assigning facility rating. In case of term loan, the value of machinery proposed to be purchased or tangible assets proposed in the cost of project, which will be charged to the bank, are to be considered as securities.

Issue No. 4:

In case of NFB limits, there is no value of security given in the PBF note. Hence value of security need to be defined.

Suggestion:

In case of Letter of Credit, the value of securities may be taken equal to the amount of limit, as liability under these facilities will crystallize only when the borrower has received the actual material. However, any cash margin in such facilities should be taken as additional cash security for arriving at facility rating.

In case of DPG limit, the value of machinery being acquired is to be taken as value of security.

In case of Bank Guarantee limits only the amount of cash margins, if any, is to be taken as value of security.

Issue No. 5:

What should be done in cases where no PBF note etc. Is available?

Suggestion:

In such cases, value of security should be arrived at based on limit sanctioned/proposed and stipulated/proposed margin.

Issue No. 6:

How are collateral securities to be considered?

Suggestion:

The value of collateral security may be considered for all facilities to which it is charged on proportionate basis in proportion to limits.

Issue No. 7:

How is the facility rating to be done in cases where a borrower has different facilities which have different securities charged to them?

Suggestion:

The facility rating is to be carried out separately for facilities, which do not have common securities.

Issue No. 8:

In cases where proposal is received for enhancement of working capital limits and the company has already availed term loan and the facility rating for term loan was carried out at the time of sanction of term loan, it is difficult to work out fresh facility rating for term loan due to inadequacy of information.

Suggestion:

Facility rating should be assigned based on latest default rating and present value of securities.

Issue No. 9: In case 'Principal only' is guaranteed, what treatment is to be given?

Suggestion:

In case "principal only" is guaranteed the security value should be taken equal to the amount of limit sanctioned.

Issue No. 10:

If we have sanctioned certain facilities which are workable under other facilities (sub- limits), what should be the treatment?

Suggestion:

If any sub limit/s are unsecured or less secured, they are to be accounted for. Balance is to be treated as main limit.

Issue No. 11:

What should be the treatment in cases where a common CC (H) facility is sanctioned against both Stocks and Book Debts?

Suggestion:

As per PBF note, if available. If PBF note is not available, as per sub limit of BD. If that is also not available, to be conservative, entire security to be treated as Stocks because Minimum Collateralization level, Hair cut & LGD% are higher in its case.

Issue No. 12:

What should be the treatment in cases where a facility is sanctioned against Inventory having different margins for stocks, work in progress and finished goods?

Suggestion:

Take value of security as per PBF note. If PBF note is not available, workout value of security considering lowest stipulated margin.

Issue No. 13:

What is the treatment of Standby facilities given to Gold Card holders?

Suggestion:

The standby facilities may be considered as part of main operative limit.

Issue No. 14:

What is the treatment for Clean DD secured against III party Cheques / Advance against clearing / Usance bills facilities / CC (BD)?

Suggestion:

All these facilities may be treated as unsecured.

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Issue No. 15:

In case of Guarantors rated by outside agency which rating is to be considered 'facility rating' or 'issuer rating'?

Suggestion:

'Issuer rating' may be considered.

Issue No. 16:

In case valid mortgage is not created in case of existing sanction (whether primary or collateral), whether the value of IP is to be considered for facility rating?

Suggestion:

Securities are to be captured in terms of the sanction / proposal.

Issue No. 17:

In case valid mortgage is not created in case of existing sanction (whether primary or collateral), whether the value of IP is to be considered for facility rating?

Suggestion:

Securities are to be captured in terms of the sanction / proposal.

Issue No. 18:

In case collateral security is EM of IPs, which value is to be considered - value as per last sanction, present book value or the realisable value?

Suggestion:

Realisable value is to be considered.

Issue No. 19:

Where "Line of Credit" facility should be considered.

Suggestion:

It can be covered under "Others".

Issue No. 20:

Our CRR captures exposures from one branch only, for facility rating facilities to the co. from entire PNB should be known.

Suggestion: Total facilities from bank to be considered, if securities are common. If any facility is covered by a specific security that facility is to be rated separately.

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Annexure-3

Operational Procedure for Marking of Most Crucial Factor in PNB Trac

'Most crucial Risk Factor' page is available under PNB Trac. To refrain from the positive comments given by users under 'Most Crucial Risk Factor' page. The user gets a pop-up option with default value as "Not Applicable" on the "Most Crucial Factor" page as shown below:

Most Crucial Risk Factor [HELP](#)

Detail of any major event, if any, the effects of which are not yet cleared (major damage to plant/stocks, court judgement on environmental threats, involvement of promoters/company in excise/FERA/tax-evasion, recovery suit/winding-up petition filed by creditors/FIs/banks, any civil/criminal proceedings against the promoters/company, change of management etc.) OR any other crucial factor, which has come to the notice of the bank and has a substantial effect on the implementation/ stabilization/ operational efficiency/ viability of the unit/ project affecting willingness/ ability of the promoters to repay the debt as per the agreed terms and conditions.

Please select the applicability of Most Crucial Risk Factor Not Applicable ▼

NA

If user has to invoke most crucial factor for any reason as stated in the circular, user has to select "Applicable" option from the drop down box. On selection of "Applicable option", system will give an alert message with "Ok" and "Cancel" button as given below

"Evaluation of this parameter will pull down the rating of the borrower by one notch, do you want to evaluate the parameter"

The page with pop-up message has been reproduced below:

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GO-TO

Most Crucial Risk Factor [HELP](#)

Detail of any major event, if any, the effects of which are not yet cleared (major damage to plant/stocks, court judgement on environmental threats, involvement of promoters/company in excise/FERA/tax-evasion, recovery suit/winding-up petition filed by creditors/FIs/banks, any civil/criminal proceedings against the promoters/company, change of management etc.) OR any other crucial factor, which has come to the notice of the bank and has a substantial effect on the implementation/ stabilization/ operational efficiency/ viability of the unit/ project affecting willingness/ ability of the promoters to repay the debt as per the agreed terms and conditions.

Microsoft Internet Explorer

Evaluation of this parameter will pull down the rating of the borrower by one notch, do you want to evaluate the parameter

OK Cancel

Submit

On clicking “Ok”, system will prompt to give the comment on the box provided while “Cancel” button will made the parameter “Not Applicable”.

Note: User has to submit the page by clicking “submit” button to save the comments given in the box and to move further on the “View Rating Report Page” to view the report page.

PAN Feeding in PNB Trac

1. Options Available For Pan Feeding:

Users have been provided three links for feeding/updation of PAN for their convenience as under:-

1.1 Pan Feeding Sheet On Login

Whenever user will login, PAN feeding Sheet will appear showing records of all the Borrower IDs of that sole, where PAN Field is blank as under:

1.2 Pan Feed Link Given Under “Rating” Drop Down Menu On Home Screen

To avoid frequent login for PAN feeding, additional link “**PAN FEED**” is provided under “**Rating**” menu. On clicking the **PAN Feed** link, “**PAN Feeding Sheet**” will appear as discussed in para 1.1-

1.3 Pan Updation Through “New Rating” And “Search Rating” Option

PAN feeding for new as well as existing borrower ID is now made mandatory and the same can be fed by updating “**Borrower Management**” through “**New Rating**” and “**Search Rating**” Option.

1.4 Authorization Of Records With Duplicate PAN

In case of Multiple borrower ID Vetter is empowered to authorize PAN entered by the user.

“Authorize PAN Feed” link is provided to the Vetter for authorization of such records.

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Annexure-5

Marking borrowers as Not Sanctioned/ Not Availed/ Account Closed in PNB Trac

The procedure for marking borrowers as Not Sanctioned / Not Availed / Account Closed in PNB Trac is explained below.

1. The link for marking of borrower is being provided under “Update” menu as sub menu “Borrower Marking” in menu bar on home page of the PNB Trac in the user id.
2. The user can select either Borrower Name/Borrower ID by feeding the name/ID of the borrower or office wise. For branch users, the borrowers of only corresponding branch and for Admin, borrowers of all concerned branches will be displayed.
3. The user can mark the borrower by selecting the relevant option i.e. Account closed, not sanctioned or not Availed from a drop down box appearing against the name of the borrower.

Select to Disable	Borrower ID	Borrower Name	city	Closing Reason
☐	000319	Tata Ceramics Ltd.	Kakkanad	--Select--
☒	003537	TATA CERAMICS LTD	KOCHI	--Select--
☐	004881	TATA CERAMICS LTD	KOCHI	--Select--
☐	017454	Tata Capital Ltd.	MUMBAI	--Select--
☐	022404	Tata Communications Limited	Mumbai	--Select--
☐	065801	New Tata Cement Industries	Jamshedpur	--Select--
☐	078758	Tata Communications (Netherlands) B.V.	Amsterdam	--Select--

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4. The closing reason once submitted cannot be changed. So make sure that the reason entered is correct. On clicking „YES“ button the message comes as “Borrower has been closed successfully”.

Borrower Marking

Select to Disable	Borrower ID	Borrower Name	city	Closing Reason
☐	000319	Tata Ceramics Ltd.	Kakkanad	--Select--
☒	003537	TATA CERAMICS LTD	KOCHI	FACILITIES WERE SANCTIONED BUT NOT AVAILED BY THE BORROWER
☐	004881	TATA CERAMICS LTD	KOCHI	--Select--
☐	017454	Tata Capital Ltd.	MUMBAI	--Select--
☐	022404	Tata Communications Limited	Mumbai	--Select--
☐	065801	New Tata Cement Industries	Jamshedpur	--Select--
☐	078758	Tata Communications (Netherlands) B.V.	Amsterdam	--Select--

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Borrower Marking

Select to Disable	Borrower ID	Borrower Name	city	Closing Reason
☐	000319	Tata Ceramics Ltd.	Kakkanad	--Select--
☒	003537	TATA CERAMICS LTD	KOCHI	FACILITIES WERE SANCTIONED BUT NOT AVAILED BY THE BORROWER
☐	004881	TATA CERAMICS LTD	KOCHI	--Select--
☐	017454	Tata Capital Ltd.	MUMBAI	--Select--
☐	022404	Tata Communications Limited	Mumbai	--Select--
☐	065801	New Tata Cement Industries	Jamshedpur	--Select--
☐	078758	Tata Communications (Netherlands) B.V.	Amsterdam	--Select--

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Status of the borrower “Active” or “Disabled” can be viewed on Borrower Details Page while going through “Search→borrower” option.

5. However, at the time of creation of borrower while initiating new rating, users can view list of all Active / Disabled borrowers in order to avoid creation of multiple borrowers ID for same borrower.

Click On Borrower Code Hyperlink to Edit/Select Borrower

Borrower Code	Borrower Name	Address	City	State	Pincode
000319	Tata Ceramics Ltd.	25, Cochin Special Economic Zone	Kakkanad	Kerala	682037
003537	TATA CERAMICS LTD	COCHIN SPECIAL ECONOMIC ZONE	KOCHI	KERALA	682037
004881	TATA CERAMICS LTD	25, COCHIN EXPORT PROCESSING ZONE,	KOCHI	KERALA	682 037
017454	Tata Capital Ltd.	One Forbes	MUMBAI	MAHARASHTRA	400001
022404	Tata Communications Limited	VS8, MG Road,	Mumbai	Maharashtra	400001
065801	New Tata Cement Industries	N.H.33,Asanbani,	Jamshedpur	JD	831018
078758	Tata Communications (Netherlands) B.V.	Science Park 400	Amsterdam	Netherlands	null

In case borrower does not exist,create one by clicking on the Create Borrower hyperlink.

[Create Borrower](#)

[Search Borrowers Again](#)

6. On clicking borrower id hyperlink, the user will get the following screen-

The borrower selected has been disabled.

Are you sure, you want to activate the same. If yes, Please press 'Activate Borrower' button

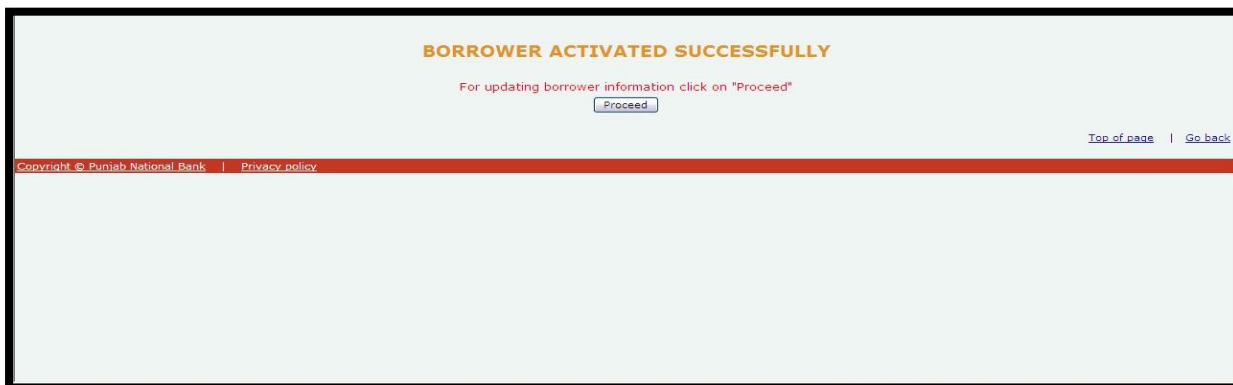
[Activate Borrower](#)

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7. On clicking “Activate Borrower” button, the borrower will be activated and new rating will be possible with the same borrower id.

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On clicking “Proceed” button the ‘Borrower Management’ page will be displayed. Users can update the information of borrower on clicking ‘Update’ button otherwise on clicking ‘Continue’ button, users will be redirected to the common details page of corresponding rating.

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Annexure-6

Format of Communication to Borrower in case of Decline in Credit Risk Rating



IRMD/INDRATINGDESK/_____/202__

Date: _____

To,

(Full Address for communication).

(Sample)

Sir/ Madam,

Regarding: Decline In Credit Risk Rating

This is in respect of credit facilities being availed by the concern from our BO _____. It is to inform that the credit risk rating has declined from PNB _____ (rating grade) indicating _____ (type of risk) to PNB _____ (rating grade) indicating _____ (type of risk) mainly due to following reasons (major reasons):

A)

B)

C)

Please note that this downgrade in credit risk rating shall impact the rate of interest being charged in the account. It is therefore in your interest to improve upon factors under your control so as to reflect suitably in the next rating process.

Group Chief Risk Officer/ZRMC Head/ Zonal Head/Dy Zonal Head/Circle Head/ Branch Incumbent

Disclaimer: Credit Risk Rating is an internal process of the Bank, any information contained herein in this letter is therefore proprietary of The Bank and the Borrower shall not divulge the same to anyone except for his own use. Bank shall not entertain any further communication in this regard. Borrower shall also note that merely obtaining valid credit risk rating shall not qualify him for credit facilities from the Bank. Bank reserves the right to accept or reject any credit proposal as per norms laid down by RBI from time to time.

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Annexure-7

Format of Email message for Borrower

Punjab National Bank
Integrated Risk Management Division
HO : Dwarka Sec-10, New Delhi

Date:

_____ (Name of the borrower)
_____ (City)

Reg: Credit Risk Rating – A/c (Name of the borrower)

The credit risk rating of your above mentioned account is _____ (status i.e. Due/Overdue) on/ since _____ (date). You are requested to submit immediately the latest audited financials to the branch for renewal of credit risk rating of the account.

In case of non-submission of latest financials, penal charges will be charged in terms of extant bank guidelines.

Please ignore the message if you have already submitted the documents at the branch.

Kindly contact the branch for any further information/clarification.

Assuring you of best services.

With Regards
Punjab National Bank

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INTEGRATED RISK MANAGEMENT DIVISION, HEAD OFFICE

Annexure-8

Format of Email message for BO/MCC/PLP/ZRMC

Punjab National Bank
Integrated Risk Management Division
HO : Dwarka Sec-10, New Delhi

Date:

Incumbent Incharge / Circle Head/ Zonal Manager
_____ (Name of BO/MCC/PLP/ZRMC)

Reg: List of Due/Overdue Ratings

The credit risk rating of below mentioned accounts are Due/Overdue for renewal:

S. No.	Borrower id	Borrower Name	Borrower Branch	Status	On/Since
1					
2					

You are requested to immediately renew the credit risk ratings of these accounts.

Note:

A. Please mark the borrower through the menu Update->Borrower Marking in PNB Trac which do not require to be renewed on account of the reasons mentioned below:

1. The borrower was rated but facilities not sanctioned
2. Facilities were sanctioned but not availed by the borrower
3. Account is closed
4. Borrower Shifted to PNB Score/ SME Score
5. Duplicate Borrower Id.

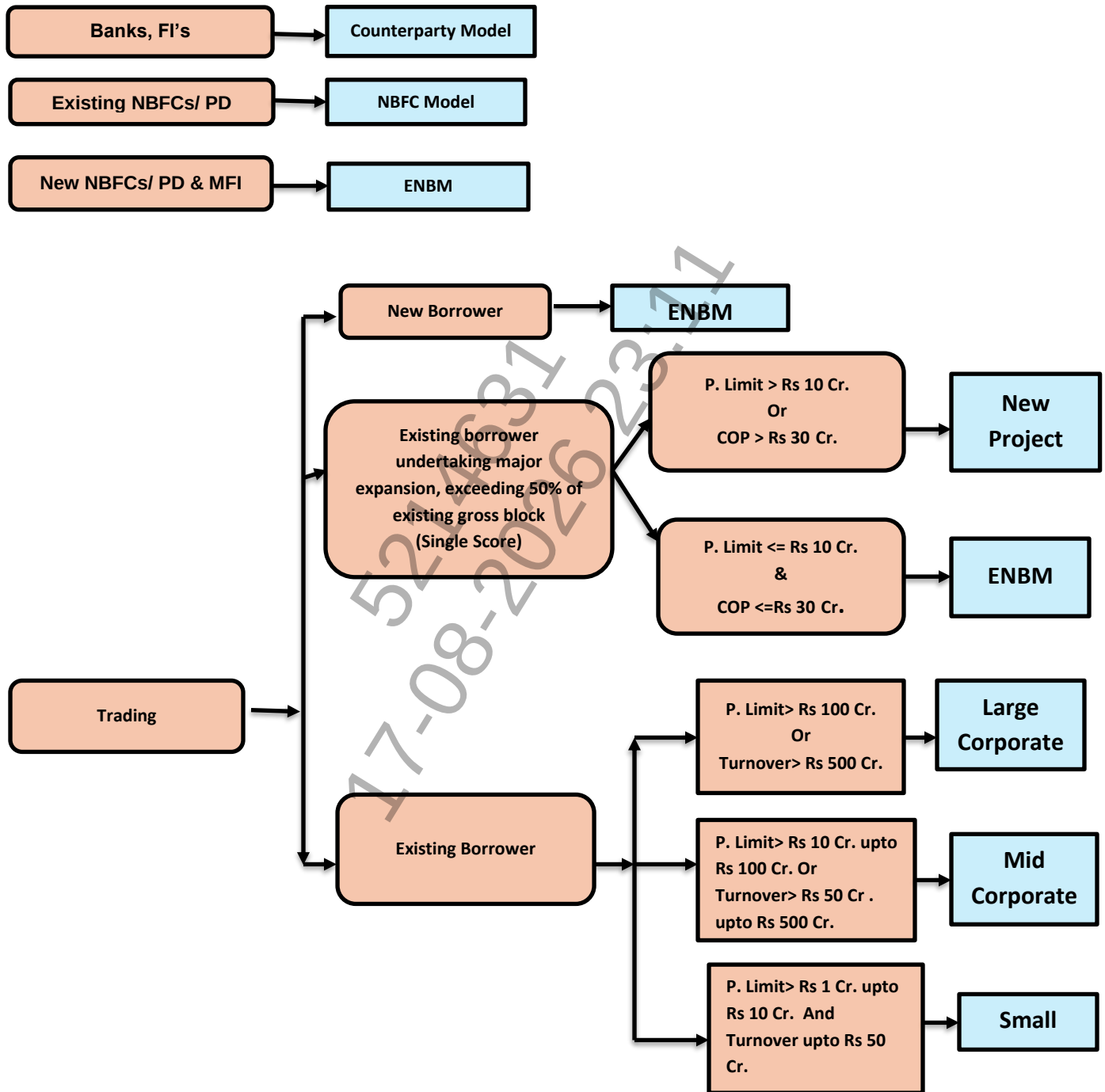
B. Further for accounts which are classified as NPA in CBS, Please conduct the rating in NPA Model.

With Regards

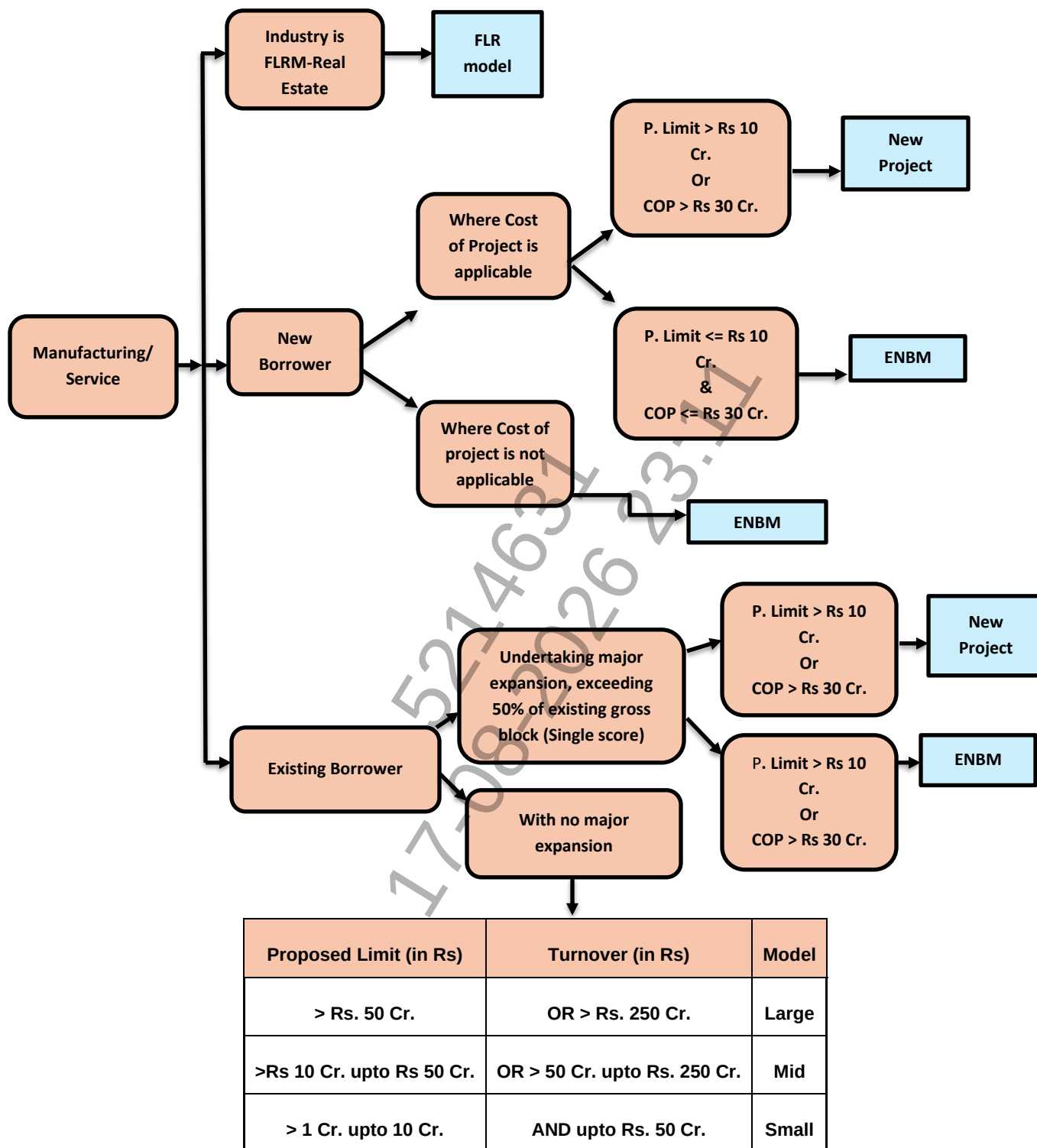
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Model Selections Flow Chart



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Annexure-10

RISK INFORMATION REPORT

Date:

GENERAL MANAGER

S. No.	Risk Indicator	Description															
1	Name of the borrower Branch/Circle/Zone																
2	Group Name, if applicable																
3	Exposure to the borrower																
4	Whether loan facilities covered under Infrastructure lending	Yes/No															
5	Borrower entity exposure Ceiling (as % of Bank's capital fund).	<table border="1" style="width: 100%; border-collapse: collapse;"> <thead> <tr style="background-color: #d3d3d3;"> <th style="width: 20%;">Particulars</th> <th style="width: 15%;">Borrowing (Rs. in Cr)</th> <th style="width: 15%;">Actual</th> <th style="width: 15%;">RBI Ceiling</th> <th style="width: 15%;">Internal Ceiling</th> </tr> </thead> <tbody> <tr> <td>Borrower</td> <td></td> <td></td> <td></td> <td></td> </tr> <tr> <td>Group</td> <td></td> <td></td> <td></td> <td></td> </tr> </tbody> </table> Deviation: Nil	Particulars	Borrowing (Rs. in Cr)	Actual	RBI Ceiling	Internal Ceiling	Borrower					Group				
Particulars	Borrowing (Rs. in Cr)	Actual	RBI Ceiling	Internal Ceiling													
Borrower																	
Group																	
6	Industry exposure ceiling as on DD/MM/YYYY Source: MISD/CRMD	Industry: <table border="1" style="width: 100%; border-collapse: collapse;"> <tbody> <tr> <td style="width: 60%;">Total Industry exposure</td> <td></td> </tr> <tr> <td>% of total Advances</td> <td></td> </tr> <tr> <td>Industry exposure Ceiling</td> <td></td> </tr> <tr> <td>Total NPA of the industry</td> <td></td> </tr> <tr> <td>NPA % of the industry</td> <td></td> </tr> </tbody> </table> Deviation: Nil	Total Industry exposure		% of total Advances		Industry exposure Ceiling		Total NPA of the industry		NPA % of the industry						
Total Industry exposure																	
% of total Advances																	
Industry exposure Ceiling																	
Total NPA of the industry																	
NPA % of the industry																	
7	Industry Outlook (quarterly movement)	<table border="1" style="width: 100%; border-collapse: collapse;"> <thead> <tr style="background-color: #d3d3d3;"> <th style="width: 20%;">Industry</th> <th style="width: 20%;">Previous dd/mm/yyyy</th> <th style="width: 20%;">Present Dd/mm/yyyy</th> <th style="width: 40%;">Movement</th> </tr> </thead> <tbody> <tr> <td></td> <td></td> <td></td> <td></td> </tr> </tbody> </table>	Industry	Previous dd/mm/yyyy	Present Dd/mm/yyyy	Movement											
Industry	Previous dd/mm/yyyy	Present Dd/mm/yyyy	Movement														

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8	Credit Risk Rating	Present Credit Risk Rating & Facility Rating:											
		Rating Grade	Score	Risk category	As on	Date of Rating	Valid upto						
		Risk category: Last 3 Ratings: <table border="1" style="width: 100%; border-collapse: collapse; margin-top: 5px;"> <tr> <th style="width: 25%;">Rating Grade</th> <th style="width: 25%;">Score</th> <th style="width: 40%;">Risk category</th> <th style="width: 10%;">As on</th> </tr> <tr> <td> </td> <td> </td> <td> </td> <td> </td> </tr> </table>						Rating Grade	Score	Risk category	As on		
Rating Grade	Score	Risk category	As on										
9	External Risk Rating	<u>Present:</u>											
		<table border="1" style="width: 100%; border-collapse: collapse; margin: 5px auto;"> <tr> <th style="width: 25%;">Rating Agency</th> <th style="width: 25%;">Rating</th> <th style="width: 25%;">Date of Rating</th> <th style="width: 25%;">Valid upto</th> </tr> <tr> <td> </td> <td> </td> <td> </td> <td> </td> </tr> </table>				Rating Agency	Rating	Date of Rating	Valid upto				
		Rating Agency	Rating	Date of Rating	Valid upto								
		<u>Last 3 Ratings:</u>											
<table border="1" style="width: 100%; border-collapse: collapse; margin: 5px auto;"> <tr> <th style="width: 25%;">Rating Agency</th> <th style="width: 25%;">Rating</th> <th style="width: 25%;">Date of Rating</th> <th style="width: 25%;">Valid upto</th> </tr> <tr> <td> </td> <td> </td> <td> </td> <td> </td> </tr> </table>				Rating Agency	Rating	Date of Rating	Valid upto						
Rating Agency	Rating	Date of Rating	Valid upto										
10	Applicable Risk Weight	52146312317 17-08-2025											
11	Additional provision required												
12	Whether borrower is listed with stock exchanges												
13	Status of Compliance of sanction T&C (including documentation)												
14	Major risk factors (Industry & Borrower Specific) require attention for taking any credit decision are as under												

Manager/Senior Manager

Assistant General Manager

Chief Manager

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Annexure-11

Industry Desk Report/ Vetting Report

Dated:

CREDIT RISK RATING "UNDER" Rating Model				
RATING	GRADE	AS ON	SCORE	INDICATES
Current HO Default Rating (Post Covid)				
Current HO Default Rating (Pre Covid)				
Current HO Facility Rating				
Current Default Rating by ZRMC (Post Covid)				
Current Default Rating by ZRMC (Pre Covid)				
Previous Approved Ratings by HO				

EXTERNAL RISK RATING						
RATING	AGENCY NAME	GRADE	AS ON	Risk Weight	INDICATES	Mapping with IRR
Current						Mapped/ – notch above or below
Previous						NA

GENERAL MANAGER

1) Brief Background of the Company	
a. Name of Borrower	
b. Branch/ZRMC	
c. Constitution and Group	
d. Banking Arrangement (Sole/Multiple/Consortium)	
e. Lead bank & %share of our bank (in case of consortium)	
f. Exposure to the borrower	
g. Date of Incorporation & Dealing with us since	

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h. Activity	
i. Purpose (fresh exposure/ renewal/enhancement in case of existing borrower)	
Any other relevant information:	

2. Credit Risk Rating Movement

Parameters	%age Score obtained based on ABS			
	31.03.2020		31.03.2021	
	Pre-Covid	Post Covid	Pre-Covid	Post Covid
Financial Evaluation				
Business & Industry Evaluation				
Management Evaluation				
Conduct Evaluation				
Aggregate Weighted Score				
Rating				
Rating after implementation of hurdle point (If any)				

Mention the following (if only Applicable)

- i) Hurdle point:
- ii) Any other relevant information:

The detailed parameter-wise evaluation/ variance in score are as under:-

A. Financial Evaluation:

Parameter	Previous Year (Amt in Crs)	Current Year (Amt in Crs)	%Change
Sales			
PBT			

Strengths			Weaknesses		
Industry Comparison (Comparison is done in reference to the peers available in Capitaline Neo)					
Factors	Max Peer Value	Co Value	Factors	Max Peer Value	Co Value
<u>(Examples)</u> * Gross Sales growth rate * OPBDIT/ Sales * Net Op Cash Flow/Total Debt			<u>(Examples)</u> * Operating cash Flow/ Total Debt * Short term borrowings/ Net Sales		
Absolute Comparison					

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Factors	Max Benchmark Range	Co. Value	Factors	Max Benchmark Range	Co. Value
<u>(Examples)</u> * Debt Equity Ratio * TOL/TNW * Current Ratio			<u>(Examples)</u> * ROCE * DSCR * Interest Coverage		
Trend Adjustment					
Factors	Trend	Last	Last -1	Last -2	Last -3
<u>(Example)</u> * Net Sales * PBDT less Non Recurring Income or Expenditure					
Factors	Trend	Last	Last -1	Last -2	Last -3
<u>(Example)</u> * Op Cash Flow/Total Debt * TNW					
Future Risk/ Subjective Assessment (If any)					
Factors (Strengths)			Factors (Weaknesses)		
*			*		
*			*		

Increase/ Decrease in score in comparison to previous rating:

Parameters	31.03.2019	31.03.2020	Industry Comparison (With ref to peers)			
	Max Peer Value	Co. Value	Score Assigned	Max Peer Value	Co. Value	Score Assigned
<u>(Examples)</u>						
Gross Sales growth rate						
OPBDIT/ Sales						
Short term bank borrowings/ Net Sales						
Operating Cash flow/ Total debt						
Net Operating Cash flow/ Total debt						

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Parameters		Absolute Comparison (With ref to benchmark value)									
		Max Benchmark Range		Co. Value	Score Assigned	Max Benchmark Range		Co. Value	Score Assigned		
(Examples)											
Debt Equity Ratio		=0.00				=0.00					
TOL/TNW		<=0.00,>0.00				<=0.00,>0.00					
Current Ratio		>=2.00				>=2.00					
Interest Coverage		>=3.50				>=3.50					
DSCR		>=2.50				>=2.50					
Return on capital employed		>=16.00%				>=16.00%					
		Trend Adjustment (considering trend for last 4 years)									
(Examples Below)		Last	Last-1	Last-2	Last-3	Score	Last	Last-1	Last-2	Last-3	Score
Net Sales											
PBDT less Non recurring income/ Expenditure											
Operating cash flow/ Total debt											
Tangible Networth											
(Any subjective Reasons; if Applicable)											
Total Score											

B. Business & Industry Evaluation: Manufacturing/ Services/ Others

Strengths				Weaknesses		
Operating Efficiency Evaluation (Comparison is done in reference to the peers available in Capitaline Neo)						
Factors	Max Peer Value	Co. Value		Factors	Max Peer Value	Co. Value

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(Examples) * Operating leverage * Net Sales/Op Assets * Credit period allowed			(Examples) * Inventory Turnover * Raw Material Consumed/Net Sales		
--	--	--	---	--	--

Increase/ Decrease in score in comparison to previous rating:

Parameters	31.03.2020			31.03.2021		
	Max Peer Value	Co Value	Score Assigned	Max Peer Value	Co Value	Score Assigned
(Examples)	Industry Comparison (With ref to peers)					
Operating Leverage						
Inventory turnover						
Net sales/ Op assets						
Raw material consumed/ Net Sales						
Credit Period allowed						
Industry Risk Evaluation	 Industry outlook(40%)			 Industry Outlook(50%)		
(Any Subjective Reasons, if Relevant)						
Total Score						

C. Management Evaluation:

Targets Achievement				
Parameter	Target	Actual	%Achieved	Score Assigned
Sales	1447.93 Cr	1052.97 Cr	72.72%	0.00
PBT	442.19 Cr	30.68 Cr	6.94%	0.00
Subjective Assessment of Management (If any)				
Factor (Strengths)			Factor (Weaknesses)	
Corporate Governance			NIL	
Commitment and Sincerity				
Track record in debt repayment				
Management appetite for business expansion				
Parental support				

Increase/ Decrease in score in comparison to previous rating:

Targets Achievement		
	Previous Year	Present Year

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Parameter	%Achieved	Score Assigned	%Achieved	Score Assigned
Sales				
PBT				
(Any Subjective Reasons)				
Total Score				

D. Conduct Evaluation:

Sajag Rank

	Sajag rank	MM/YYYY	Indicates	Reasons if Rank is below 2	Score Assigned
Current Rating					
Previous Rating					

OR

Manual Conduct of Account- As recommended by ZRMC

Reason for Manual Evaluation of Conduct of Account:

S No	Parameter	Score
i)	Status of Account	
ii)	Operations in Account	
iii)	Submission of financial data/statement	
Increase/ Decrease in score in comparison to previous rating (If applicable):		

Comparison between ZRMC and HO Rating:

Rating At:	ABS as on	Rating	Score	Significance	Difference
ZRMC	31.03.2021				Nil/ Less than 3%
HO	31.03.2021				
*Reason if variance is more than 3%					

3. Industry Rating & Outlook:

Activity:

Industry	Previous 3.10.2020	Present 4.03.2021	Movement

4. Rating from External Agency:

ERR:	
Strengths	Weaknesses
➤	➤

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HO rating PNBis ... notch lower/above in comparison to external rating ...

REASONS FOR VARIANCE B/W ERR and IRR

Parameters factored in IRR	Score Assigned
•	

5. Facilities Sanctioned/Proposed And Securities Stipulated:

(Rs in Cr)

Nature of facility	Limit sanctioned	Brief description of securities	Value of security	GD grade	Facility rating

6. Group Leverage:

No data available in Capitaline Neo for the Company/ Group.

Or

Based on the data retrieved from Capitaline Neo for the Group _____ is as follows:

Or

As per the data submitted vide Appraisal Note dated.... group leverage is.....

Group Revenues	Total Debt (excluding group company's investment/ loans & advances)	Adjusted TNW	Group Leverage Ratio	Score Assigned

7. Major risk factors (Industry & Borrower Specific) require attention for taking any credit decision are as under: (Indicative)

- Gross sales growth rate at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- OPBDIT/ Sales at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- Short term bank borrowings at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- Operating cash flow/ Total debt at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00
- Net Operating cash flow/ Total debt at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- Debt Equity Ratio at _____ has resulted in score of _____ as against desirable benchmark value of ≤ 0.00 for achieving maximum score of 4.00.

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- Further, as per IRMD Cir 10/21 dated 07.01.2021 on benchmark ratios for different industries, acceptable level for Debt Equity Ratio is <.... in industry
- vii) TOL/TNW at _____ has resulted in score of _____ as against desirable benchmark value of ≤ 1.00 , > 0 for achieving maximum score of 4.00.
- Further, as per IRMD Cir 10/21 dated 07.01.2021 on benchmark ratios for different industries, acceptable level for TOL/TNW is <.... In..... industry
- viii) Current Ratio at _____ has resulted in score of _____ as against desirable benchmark value of ≥ 2.00 for achieving maximum score of 4.00.
- Further, as per IRMD Cir 10/21 dated 07.01.2021 on benchmark ratios for different industries, acceptable level for Current Ratio is $\geq$ in industry.
- ix) Interest Coverage at _____ has resulted in score of _____ as against desirable benchmark value of ≥ 3.50 for achieving maximum score of 4.00.
- Further, as per IRMD Cir 10/21 dated 07.01.2021 on benchmark ratios for different industries, acceptable level for Interest Coverage is $\geq$ in.....industry.
- x) DSCR at _____ has resulted in score of _____ as against desirable benchmark value of ≥ 2.50 for achieving maximum score of 4.00.
- Further, as per IRMD Cir 10/21 dated 07.01.2021 on benchmark ratios for different industries, acceptable level for DSCR is $\geq$ inindustry.
- xi) ROCE at _____ has resulted in score of _____ as against desirable benchmark value of $\geq 16\%$ for achieving maximum score of 4.00.
- xii) Operating leverage at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- xiii) Inventory Turnover at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- xiv) Net Sales/ Operating Assets at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- xv) Raw material consumed/ Net Sales at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- xvi) Credit period allowed at _____ has resulted in score of _____ as against desirable peervalue of _____ for achieving maximum score of 4.00.
- xvii) Net sales reflects erratic Trend under Trend Adjustment with values of,,, and in the years 20.., 20.., 20... and 20.. respectively & Score Assigned isas against the maximum score of 4.00.
- xviii) The Operating Cash Flow/Total Debt reflects erratic Trend under Trend Adjustment with values of,,, and in the years 20.., 20.., 20... and 20.. respectively & Score Assigned isas against the maximum score of 4.00.
- xix) PBDT less non-recurring income/expenditure reflects erratic Trend under Trend Adjustment with of,,, and in the years 20.., 20.., 20... and 20.. respectively & Score Assigned isas against the maximum score of 4.00.
- xx) TNW reflects erratic Trend under Trend Adjustment with values of,,, and in the years 20.., 20.., 20... and 20.. respectively & Score Assigned isas against the maximum score of 4.00.
- xxi) The O/s Contingent Liability as per ABS... is Rs.....i.e.. ...% of TNW and the Score assigned under "Impact of contingent liability" is "..." as against maximum score of 4.00 which corresponds to O/s being $< 25\%$ of TNW.

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- xxii) The firm achieved Targeted Sales of RsCr as per ABS as against the Projected Sales of Rs Cr i.e.....% achievement & Score Assigned under Sales Achievement is as against maximum score of 4" (for >= 95% of Sales Achievement).
- xxiii) The firm achieved Targeted PBT of RsCr as per ABS as against the Projected PBT of Rs Cr i.e.....% achievement & Score Assigned under PBT Achievement is as against maximum score of 4" (for >= 90% of PBT Achievement).
- xxiv) Firm has invested Rs ... Cr (...% of TNW) in allied/group. Any delay in realisation of the same may have adverse impact on the borrower's repaying capacity & liquidity. The Score Assigned under 'Quality of Investment Advances made to group companies' is "...." against maximum score of 4.00.
- xxv) As per ABS, Out of Total Receivables of Rscr, debtors exceeding six months arecr which is ...% total debtors. The Score assigned under "Realisability of Debtors" is "...." as against maximum score of 4.00.
- xxvi) Sajag rank of the company is.....for the month of.....and score assigned under conduct evaluation is '...' as against maximum score of '4' corresponding to Sajag Rank 1.

Other Major Risks not incorporated elsewhere that may require attention for taking any credit decision are as under: (Indicative)

- i) Financials as onare yet to be verified from MCA website. Company should be rerated if any variation is found in financials of FY... uploaded on MCA and financials of FY.... incorporated in present rating.
- ii) The Auditor has given Qualified Opinion vide Audit Report for & same is as detailed below :.....
- iii) Following T&C of previous sanction stand uncompiled.....
- iv) Resurgence of Covid 19 pandemic, may trigger mass migration of labour, supply chain disruption, fluctuation in input prices and resulting govt restrictions which may have adverse impact on profitability of the company.
- v) The profitability of the company is exposed to fluctuation in the foreign exchange rates as critical raw material is imported from
- vi) Company is exposed to concentration risk as majority of operations are concentrated in..... states/counterparty only.

8. Recommendation:

a) **Default Rating:** Based on the audited financials for the year the company has been rated under Large Corporate Rating Model as '..... with a score of% signifying '.....which is recommended for approval.

b) **Facility Rating:** Based on the value of securities & Default Risk Rating, the facilities proposed have been rated as '.....' with **LGD** signifying '.....which is recommended for approval.

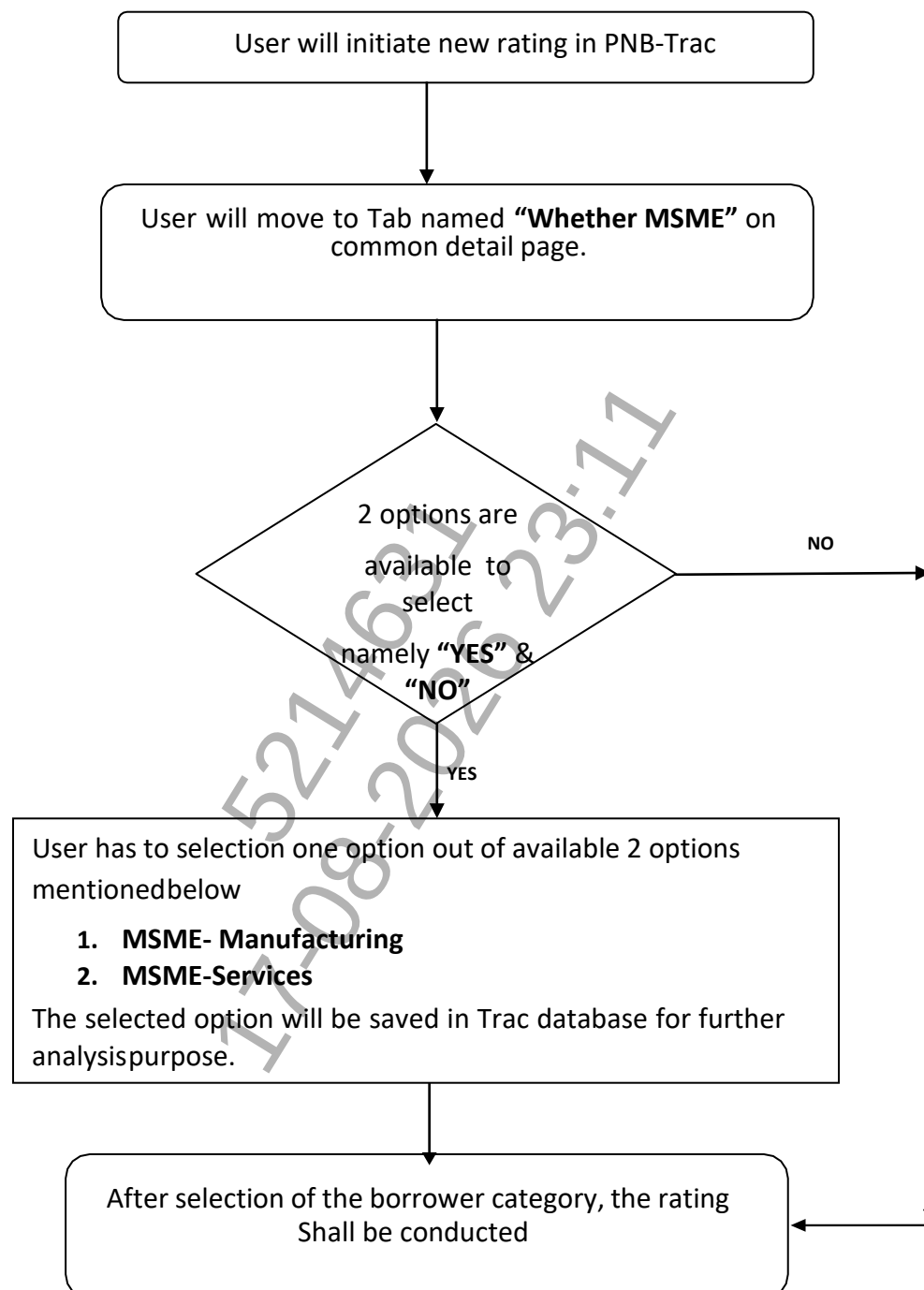
Submitted for approval please.

Name
Manager/Sr. manager

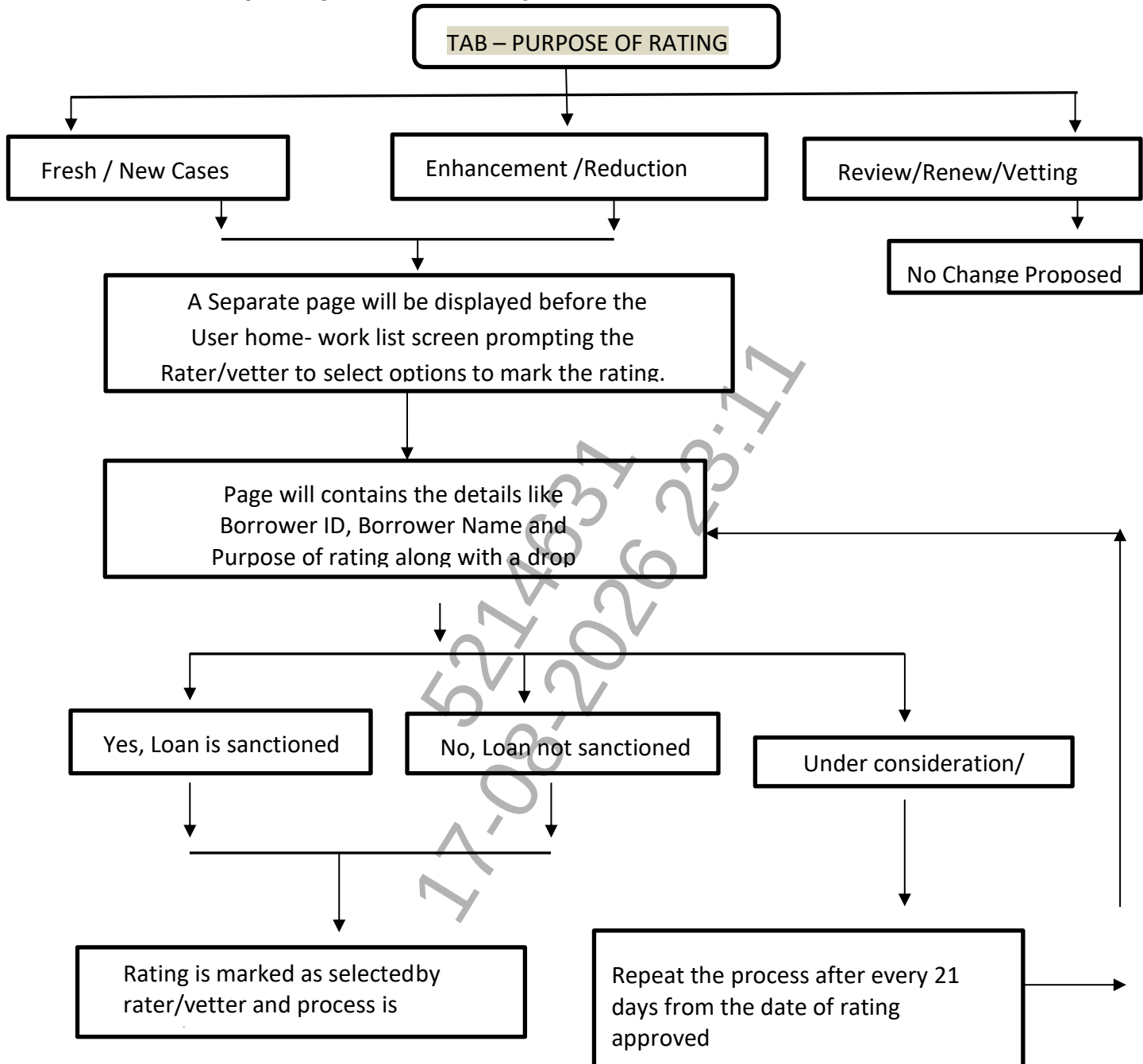
Name
Chief Manager

Name
Asstt. General Manager

Process flow of marking MSME borrowers in PNB-Trac



Capturing of Sanction/ Rejection of loans rated on PNB-Trac



Indicative trigger points identified for Dynamic review of credit risk rating:

1. Frequent change in the scope of the project
2. Frequent invocation of BGs and devolvement of LCs
3. Funding of the interest by sanctioning additional facilities
4. Substantial increase in unbilled revenue
5. Large number of transactions with inter-connected companies and large o/s due from these companies
6. Significant movements in inventory, disproportionate to growth in turnover
7. Significant movements in receivables, disproportionate to growth in turnover
8. Increase in ageing of the receivables
9. Critical issues highlighted in the stock audit report
10. Substantial related party transactions
11. Frequent TOD sanctions
12. Not routing of sales proceeds through bank/lead bank
13. Maintaining current account with bank(s) other than lenders without approval of lenders/consortium.
14. LCs issued for local trade / related party transactions.
15. Reduction in the stake of promoter / director
16. Resignation/death of the key personnel/promoters and frequent changes in the management
17. Raid by Income tax /sales tax/GST/ central excise duty officials
18. Default in payment of statutory dues such as Income Tax, TDS, VAT, GST etc.
19. Bouncing of the high value cheques
20. Project(s) stalled due to non-receipt of clearances from Statutory/Govt. authorities.
21. Delay in acquisition of land for the project
22. Adverse news in media/public domain about the promoter/management of the borrower.
23. Defaulted in payment of debts on respective due dates.
24. Projects executed by the borrower with substantial time/cost overrun.
25. Borrower/promoter are in willful defaulter's list
26. Delay in infusion of promoter's contribution
27. Downgradation of rating by external rating agency
28. Scarcity in availability of raw material/other critical inputs
29. Operating the unit/plant at below breakeven point
30. Cancellation of Fire / Water /Electricity/factory license etc.
31. Restrictions on plant/unit are imposed by authorities such as HC/SC/Green Tribunal etc
32. Cancellation on PPA/Order by major buyer of output produced by the borrower
33. Adverse change in Govt. policies related to industry in which borrower is operating.
34. Adverse impact of operations of borrower due to natural calamities/external events.
35. Low credit summation in working capital accounts

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ਏਕੀਕ੍ਰਿਤ ਜੋਖਿਮ ਪ੍ਰਬੰਧਨ ਪ੍ਰਭਾਗ, ਪ੍ਰਧਾਨ ਕਾਰਜਾਲਯ
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- 36. Low variance in maximum & minimum availment of working capital limits
- 37. Delayed submission of stock/receivables statement, Annual report, QMS forms etc
- 38. Overdrawings in working capital limits
- 39. Downgradation in industry outlook

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Indicative Check List of Documents/Information Required For Credit Risk Rating

A. For Credit Risk Rating Models:

RENEWAL:

1. Copy of last 1 years Audited Balance Sheet with Auditors Report and ITRs.
2. Copy of ABS from stock exchange (NSE, BSE and others) site for all listed companies and from MCA site for other companies.
3. Quarterly/ Half Yearly financials from stock exchange (NSE, BSE and others) site for all listed companies and Provisional financials up to last quarter in case of all other companies/firms.
4. Copy of last PNB SAJAG 2.0 Report
5. Copy of External Rating Report, if rated by external agencies.
6. Copy of Peer Group and Group Leverage – Capital Line Neo.
7. Copy of CRISIL Industry Analytics Report.
8. Copy of search report for information / negative news available on internet/ Media.
9. Copy of documents in support of justification on adverse report on borrower/guarantors along with borrower representation, if any obtained.
10. Copy of CIR extracted from CIBIL/Equifax/Experian etc. and due diligence report obtained if any.
11. Hard copy of rating with feeding sheet, wherever applicable.
12. Any other supporting document.

FRESH ACCOUNTS:

1. Copy of last 3 years Audited Balance Sheet (5 Year in case of Large Corporate Model/Single Point Score Case) with Auditors Report and ITRs.
2. Copy of ABS from stock exchange (NSE, BSE and others) site for all listed companies and from MCA site for other companies.
3. Quarterly/ Half Yearly financials from stock exchange (NSE, BSE and others) site for all listed companies and Provisional financials up to last quarter in case of all other companies/firms.
4. Copy of CMA Data and Project Report (including project implementation data/ status report).
5. Copy of External Rating Report, if rated by external agencies.
6. Copy of details of Share Price, If listed.
7. Copy of Peer Group and Group Leverage – Capital Line Neo.
8. Copy of CRISIL Industry Analytics Report
9. Copy of search report for information / negative news available on internet/ Media

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10. Copy of documents in support of justification on adverse report on borrower/guarantors along with borrower representation, if any obtained.
11. Copy of ABS of Allied/Associate concerns.
12. Copy of sanction letters of other banks (in case of consortium/ multiple banking arrangement and in case of takeover)
13. Copy of CR obtained from existing Lenders or bank statement for 6 months as applicable.
14. Copy of CIR extracted from CIBIL/Equifax/Experian etc and due diligence report obtained if any
15. Copy of Valuation reports of IPs by approved valuer and Head of office from ELCB/LCB/PLP/MCC
16. Hard copy of rating with feeding sheet.
17. Any other supporting document.

Particular data is required for specific risk rating models. Model-specific data requirement is detailed below:

❖ **NEW PROJECT MODEL (Fresh Cases)**

- Copy of Detailed Project Report/Information Memorandum
- Copy of Progress report as per approved format, if project already started for implementation
- Lender's independent engineer report, if available/appointed.
- Any other supporting document having relevance to project/its execution

(Care be taken to ensure that if borrower party is in the process of executing more than one project, projections from all such projects will be combined for the purpose of doing rating, irrespective of the fact whether party is availing finance for these projects from our bank or from other banks).

❖ **NEW PROJECT MODEL (Under Implementation)**

- Copy of Progress report as per approved format.
- Lender's independent engineer report, if available/appointed.
- Any other supporting document having relevance to project/its execution

❖ **SINGLE POINT SCORE CASES (Involving Large/Mid Corporate Model and New Project Model taken together)**

- Copy of Detailed Project Report/Information Memorandum
- Any other supporting document, having relevance to project/its execution

❖ **FUTURE LEASE RENTAL MODEL**

- Copy of Lease Deed.

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- Copy of last 3 years Audited Balance Sheet with Auditors Report and ITRs of Lessee (if available)

(It is to be ensured that all documents to be submitted to the Vetting Office are duly signed/stamped by Submitting Office.)

Note: The above list is illustrative and not exhaustive. The documents maybe added / deleted on case to case basis

B. FOR 'PNB SUPER SCORER':

- Approved Rating sheet along with Vetting/Industry Desk Report
- Appraisal Note
- Audited Balance Sheets, Auditor's report, Annual Report, Director's Report.
- Latest Stock Audit Report/Credit Audit & Review Report/Other report observations, if any.
- Latest Lender's Independent Engineer Report/Observations, if any.
- Latest External rating report
- Latest report of PNB SAJAG 2.0
- Latest Industry Outlook.
- CRILIC reports/Observations, if any.
- Fraud Risk Management Information System (FRMIS) report/Observations, if any.
- CIR reports/Observations, if any, of the Borrower/ Promoters/Directors/Guarantors.
- News/Media reports, if any, on the Company/Industry/Promoters/Directors/ Guarantors etc.
- Copy of documents in support of justification on adverse report on borrower/guarantors along with borrower representation, if any obtained.
- Group Risk data from Capitaline Neo.
- Any other supporting document.

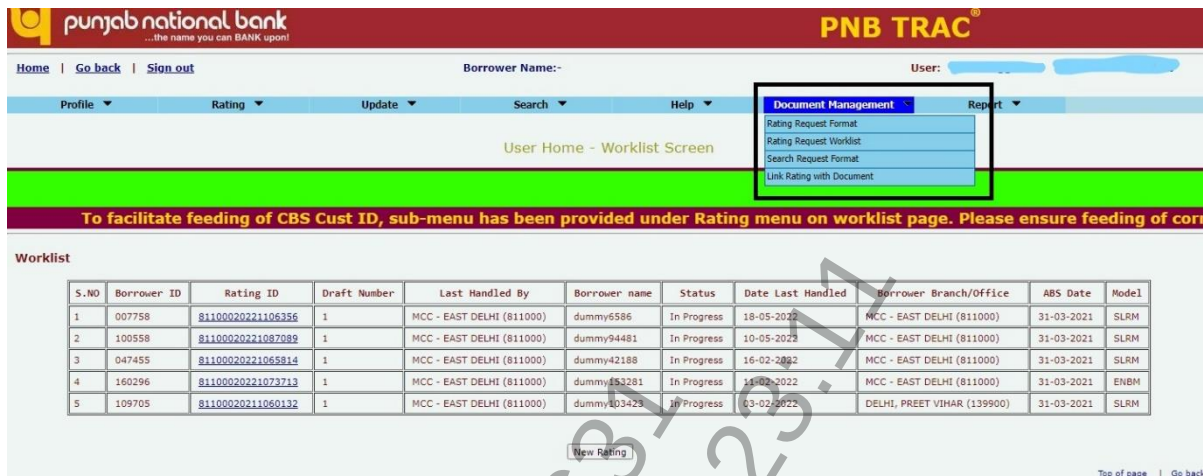
Note: The above list is illustrative and not exhaustive. The documents maybe added / deleted on case to case basis.

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Annexure-16

Document Management

The functionality can be accessed through homepage of PNB Trac application under newly added Tab titled “**Document Management**” as highlighted in following screenshot:



As Displayed above there are following four options available under the Document Management Tab:

1. Rating Request Format
2. Rating Request Worklist
3. Link Rating with Document
4. Search Request Format

Stepwise Details of each option is furnished as under:

1. Rating Request Format

Step-1: On click of the Rating Request Tab, a new page will open wherein the user shall input the borrower id and Date of Balance sheet (in prescribed format i.e. DD-MM-YYYY) for which rating is required to be initiated.

The screenshot shows the PNB Trac application interface for the "RATING REQUEST FORMAT AND DOCUMENT UPLOAD" form. The form has two input fields: "Borrower ID" and "ABS Date" (with a placeholder "(DD-MM-YYYY)"). Below the input fields is a "Submit" button. The form is titled "RATING REQUEST FORMAT AND DOCUMENT UPLOAD" in orange text. At the bottom of the form, there is a footer with the text "Copyright © Punjab National Bank | Contact Us" and links for "Top of page" and "Go back".

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Step-2: On submission, Annexure A i.e. format for submission of rating request to ZRMC will open and a unique reference number shall assign by the system automatically as highlighted below. On this page, user shall input the necessary details and select the relevant open i.e., whether the rating is to be conducted under future lease rating model or other rating models.

FORMAT FOR SUBMISSION OF RATING REQUEST TO ZRMC

Ref:10150/217500/YYYY-YY/ DATED

The ZRMC Head,
ZRMC - MUMBAI

Reg: Rating Request for Existing/Prospective Borrower
We have initiated process for [SELECT] of credit facilities to M/s **dummy614** and submitting request for credit risk rating to be [SELECT] at your office.

Name of the Applicant :- **dummy614**

Details of Credit Facilities Requested :

Nature of Facility	Existing Limit	Proposed Limit	Value Of Security	Drawing Power	Outstanding	Overdue, if any	Asset Classification
1	2	3	4	5	6	dfhdfh	hdsh

*Information of Adhoc Limit, if any to be provided.
Any other relevant information :

☒ Emp ID:-

Activate Windows
Go to Settings to activate Windows.

Top of page | [Go back](#)

Thereafter, user will input the employee id of “Branch/Credit Vertical Head” and click on the Submit button and on the next page printable version of the format will be displayed.

FORMAT FOR SUBMISSION OF RATING REQUEST TO ZRMC

Ref:10150/217500/2024-2025 DATE :- 19/01/2024

The ZRMC Head,
ZRMC - MUMBAI

Reg: Rating Request for Existing/Prospective Borrower
We have initiated process for of credit facilities to M/s **dummy614** and submitting request for credit risk rating to be at your office.

Name of the Applicant :- **dummy614**

Details of Credit Facilities Requested :

Nature of Facility	Existing Limit	Proposed Limit	Value Of Security	Drawing Power	Outstanding	Overdue, if any	Asset Classification
1	2	3	4	5	6	dfhdfh	hdsh
Total	2	3		5	6		

*Information of Adhoc Limit, if any to be provided.
We have attached the documents as per checklist alongwith the format of information given in the ZRMC operations guide and request you to initiate/approve the rating.

Branch/Credit Vertical Head
KUMAR SHUBHAM
Manager (Risk Mgmt)

Step-3: On clicking of save and continue button, Annexure-B or Annexure-C will open based on the selection made by the user in step- 2.

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Home | Go back | Sign out Borrower Name:- User:

FORMAT TO BE SUBMITTED FOR ALL CASES OTHER THAN FUTURE LEASE RENTAL (FLR) RATING ALONGWITH REQUISITE DOCUMENTS AS PER CHECKLIST (CHAPTER 10)

Ref:10133 ELCB MUMBAI 217500 DATE :- 18/01/2024

1. Brief Detail :

Name of Borrower	dummy614
Customer ID No.	150380732
Address of Regd/Corporate Office	BOMBAY HOUSE,24,HOMI MODY ST,FORT,
Group Name (if applicable)	TATA
Industry/Sector	Manufacturing
PAN	AAACT2803M
CIN	
UDYOG AADHAR	
Name & Telephone No with E-mail ID	/01128044666;tatasteel@gmail.com

The user will be required to input the necessary details and click on submit to proceed further and on the next page printable version of the format will be displayed

Step-4: On submission of the printable version in step 3, a new page will open for uploading of supporting documents.

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Home | Go back | Sign out Borrower Name:- User:

INDICATIVE CHECKLIST OF DOCUMENTS/INFORMATION REQUIRED FOR CREDIT RISK RATING.

Ref:10133

DOCUMENT NAME	CHECKBOX	FILE	DOCUMENT PDF
Audited Balance Sheet with Auditors Report and ITRS.	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
ABIS from stock exchange (NSE, BSE and others) site for all listed companies and from MCA site for other companies.	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
Quarterly/Half Yearly financials from stock exchange (NSE, BSE and others) site for all listed companies and Provisional financials upto last quarter in case of all other companies/firms.	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
CMA Data and Project Report (including project implementation data/status report)	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	
	☐	Choose File No file chosen	

User will tick (✓) the checkbox against the document and upload button will be enabled for uploading of the same. The file size has been restricted 2 MB. However, restrictions are not placed to LIE report and Audited Balance sheet due to average file size of these two documents. After uploading all the necessary documents user will click on submit button to proceed further.

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Step-5: On the next page, user will be provided, list of the Vetter in his office for submission of the format.

The screenshot shows the PNB TRAC interface. At the top, there's a header with the Punjab National Bank logo and 'PNB TRAC'. Below the header, there's a navigation bar with 'Home', 'Go back', and 'Sign out'. The main content area displays 'Ref:10186' and a message box stating 'Documents has been uploaded successfully.' Below this message, there's a dropdown menu with 'SELECT' and a 'Submit' button. The footer contains 'Copyright © Punjab National Bank' and 'Contact Us'.

2. Rating Request Worklist

Step-6: On submission by the rater in step-5, the same will reflect under rating request worklist of the Vetter.

The screenshot shows the PNB TRAC interface with a table displaying the rating request worklist. The table has columns for REF ID, DRAFT NO, BORROWER ID/RATING ID, STATUS, DATE, and REMARKS. The data is as follows:

REF ID	DRAFT NO	BORROWER ID/RATING ID	STATUS	DATE	REMARKS
10186	1	000768	In Progress	2024-01-23	NA
10159	1	148721	In Progress	2024-01-23	NA
10150	1	000768	In Progress	2024-01-20	NA
10148	1	000768	In Progress	2024-01-19	NA
10157	1	148721	In Progress	2024-01-19	NA
10135	1	148721	In Progress	2024-01-18	NA
10128	1	148721	In Progress	2024-01-16	NA
10126	1	000768	In Progress	2024-01-16	NA
10123	1	000768	In Progress	2024-01-16	NA
10122	2	148721	In Progress	2024-01-16	ritik123
10103	1	000768	In Progress	2024-01-16	NA
10097	1	000768	In Progress	2024-01-16	NA
10106	1	000768	In Progress	2024-01-16	NA
10105	1	000768	In Progress	2024-01-16	NA

The Vetter will open the format by clicking on the highlighted hyperlink and verify the correctness of the details submitted by the rater by visiting all the pages. On the last page Vetter will have two option i.e. either to submit the format or reject the same. On submission the format, the same will move to the Higher Office i.e. Dak user of the respective ZRMC while on rejection the same will be revert back to worklist of the concerned rater.

Step-7: On submission in step-6, the format will reflect in the worklist of the Dak user at ZRMC. The Dak user then visit all the pages of the format and also ensure that all the necessary documents required for IRR are uploaded by the Respective office. On the last page Dak User will have three option i.e. Approval (to approve the format), Rejection (return back to previous office with remarks for necessary rectification) and Submit to Higher Office (for onward submission to HO: IRMD). Similarly, Dak User at HO: IRMD will have two option i.e. Approval (to approve the format), Rejection (return back to previous office with remarks for necessary rectification).

Options for Dak User at ZRMC

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The screenshot shows the PNB TRAC interface. At the top, there is a red header with the Punjab National Bank logo and the text "PNB TRAC". Below the header, there is a navigation bar with links: Home, Go back, Sign out. The main content area displays "Ref:10131" and a message "Documents has been uploaded successfully." Below this message, there is a box containing two buttons: "Approve" and "Send to Higher Office". Below these buttons, there is a "COMMENT" field and a "Reject" button. At the bottom right, there are links "Inquiry" and "Go back".

Options for Dak User at HO: IRMD

This screenshot is identical to the one above, showing the PNB TRAC interface with the "Documents has been uploaded successfully." message and the "Approve" and "Send to Higher Office" buttons.

3. Link Rating with Document

Step-8: Under this menu, user will have to enter Reference ID and Rating ID and on submission of the same, documents shall be linked to the Rating ID.

The screenshot shows the "LINKING OF DOCUMENT WITH RATING" form. It has a red header with the Punjab National Bank logo and the text "PNB TRAC". Below the header, there is a navigation bar with links: Home, Go back, Sign out. The main content area displays the title "LINKING OF DOCUMENT WITH RATING" and a form with two input fields: "Reference ID" and "Rating ID". Below these fields is a "Submit" button.

4. Search Request Format

Step-9: Under this menu, Rater/Vetter can search the format using Reference ID, Borrower ID, Rating ID and download the necessary documents required for IRR.

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Step-10: After approval of the Rating, the Linked Document will available under existing search rating tab.

PNB TRAC®

Borrower Name:-

User:

Showing Results for Search on Borrower's Details

Borrower name	Credit Rating	Rating Model Used	Date of Rating	ABS DATE	Rater	Vetter	Search Case	P&L Data	Balance Sheet	Cash Flow	IRR Sheet	Provisional Data	Estimated P&L Data	Peer Group	IDR	RIR	Rating Format	Rating Document
dummy614	PNB-A2	Large Corporate	25/11/2020	31/03/2020	Nishant Nilaw	Anup Singh Rathore	17-06-2026 Click here	Click here	Click here	NA	NA	NA	Peer	IDR	RIR	10133	Rating Document	